Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
And
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Direct Testimony

of

The Customer Panel

Date: April 28, 2023

Testimony of The Customer Panel

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I. Introduction

Q. Please introduce the members of the Customer Panel.

A. The Panel consists of Christopher McCusker, Brittney Pietro, Arlene Gans, Kristin Hess, and Jeffrey Koenig.

Q. Mr. McCusker, please state you name and business address.

A. My name is Christopher McCusker. My business address is 170 Data Drive, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid USA Service Company, Inc. ("Service Company"), a subsidiary of National Grid USA ("National Grid") as Vice President of Energy Efficiency Program Management. In this role, I am accountable for the strategy, policy, and delivery of National Grid's energy efficiency programs in New York and Massachusetts. I also oversee the Second Line Controls, Risk, and Compliance team for National Grid's customer organization.

Q. Please describe your educational background and business experience.

A. I hold a Bachelor of Science degree in Accounting and Finance from Fairfield University and a Master of Science in Accounting from the

University of Connecticut. I joined National Grid as its New England Controller in 2018. Prior to assuming my current responsibilities in November 2022, from July 2021 until November 2022, I served as National Grid's U.S. Controller. In that role, I was accountable for the accounting, reporting, and first line design and operation of internal controls for National Grid's U.S. utility operating companies.

Prior to joining National Grid, I was employed by InterGen as Director of Accounting. In that position, I was responsible for the company's accounting for its Mexico and United Kingdom operations as well as the global consolidation of its financial information and external financial reporting. Prior to joining InterGen I was a manager in PwC's power and utilities practice with audit clients consisting primarily of electric and gas utilities and independent power producers.

Q. Ms. Pietro please state your name and business address.

A. My name is Brittney Pietro. My business address is 55 Bearfoot Road Northborough, Massachusetts 01532.

Q. By whom are you employed and in what capacity?

A. I am employed by the Service Company as Manager of Low-to-Moderate Income ("LMI") Customer Support Products. My responsibilities include the design, development, strategy and policy of the LMI energy efficiency portfolio that supports the New York Public Service Commission's (the "Commission") clean-energy targets set forth in the New Efficiency: New York ("NE:NY") Proceeding (Case 18-M-0084) and low-income bill discount program, known as the Energy Affordability Program ("EAP"), set forth in the Energy Affordability Policy Proceeding (Case 14-M-0565) for National Grid's operating companies, including The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies").

Q. Please describe your educational background and business experience.

A. I received a Bachelor of Arts in Environmental Science and Policy from Clark University in 2014 and a Master of Science in Environmental Science and Policy from Clark University in 2015. I joined National Grid in 2013 as an intern and became a full-time employee in 2015. During that time, I have held various positions of increasing responsibility on the energy

efficiency and low-income teams related to strategy, policy, and program design, development, and planning.

Q. Ms. Gans, please state you name and business address.

A. My name is Arlene Gans. My business address is 2 Hanson Place, Brooklyn, New York 11217.

Q. By whom are you employed and in what capacity?

A. I am employed by the Service Company and currently hold the position of Director, Customer Contact Centers, New York. I am responsible for call center operations in New York State, including KEDNY and KEDLI's call centers and walk-in centers.

Q. Please describe your educational background and experience.

A. I received a Bachelor of Business Administration in Human Resources from American Intercontinental University in 2005. I joined National Grid in 2009 as Director of KEDNY's call center. Prior to joining National Grid, I held various leadership positions in call center operations during my 17-year career at MCI Telecommunications and MCI Worldcom in locations in Rye Brook, New York and Greenville, South Carolina. I also held positions as Director of Training, Quality and Workforce Management and

Vice President Borrower Services at First Marblehead Educational Resources in Boston, Massachusetts.

Q. Have you previously testified before the Commission?

A. Yes. I testified on behalf of KEDNY and KEDLI in the 2019 KEDNY and KEDLI Rate Cases. I also testified on behalf of Niagara Mohawk Power Corporation d/b/a National Grid ("NMPC") in both the 2020 NMPC Rate Case and the 2017 NMPC Rate Case.

Q. Ms. Hess, please state your name and business address.

A. My name is Kristin Hess. My business address is 300 Erie Blvd West, Syracuse, New York 13202.

Q. By whom are you employed and in what capacity?

A. I am employed by the Service Company as the Director of Customer Operations and Vendor Management. My current responsibilities include managing the quality, coaching, training, communications, and knowledge management tools in support of the Companies' Call Center Operations teams along with the partnerships with National Grid's external Call Center third-party vendors.

Q. Please describe your educational background and experience.

A. I received a Bachelor of Business Administration from Empire State College in 2019. In 1991, I joined Niagara Mohawk and transitioned to National Grid following its 2002 acquisition of Niagara Mohawk. Prior to assuming my present responsibilities, I have managed call-center teams, credit and collections teams, developed strategies to improve bad debt and streamline customer protections processes, and supported major customer system conversion projects, including implementation of a field force automation system (MWork).

Q. Mr. Koenig, please state your name and business address.

A. My name is Jeffrey Koenig. My business address is 300 Erie Boulevard West, Syracuse, New York 13202.

Q. By whom are you employed and in what capacity?

A. I am employed by the Service Company and currently hold the position of Director, Credit and Collections and Payment Processing. My responsibilities include the development of strategy and processes for the Credit and Collection and Payment Processing organization, which provides services to all National Grid US operating companies, including KEDNY and KEDLI.

Q. Please describe your educational background and professional experience.

A. I graduated from the University of Buffalo with a Bachelor of Science in Business Administration majoring in Accounting and Finance and completed a Master of Business Administration from LeMoyne College. I have been employed by National Grid and previously by Niagara Mohawk for 32 years. In 1990, I began my career in the Customer Accounting functions working in Credit and Collections as an Analyst and a Supervisor in the Accounting Processing Department. From 1996 to 1998, I worked in the Accounting Department as a Lead Financial Accountant. From 1998 to 2008, I worked in the IT Customer System Support Department to implement the Customer Service System ("CSS") and managed the IT CSS Finance and Billing teams. In 2008, I rejoined the Credit and Collections team as Manager and led the Systems, Forecasting and Reporting function as well as the Commercial Collections team. In 2016, I was promoted to Director of Strategy and Performance Management for the Business Services function, and also worked in the IT Regulatory Department prior to re-joining Credit and Collections and Payment Processing as Director in December 2020.

Q. What is the purpose of the Panel's testimony?

A. The Panel's testimony addresses several topics. First, the Panel will describe the Companies' efforts and proposals to address customer affordability – particularly for LMI customers – and to support Disadvantaged Communities.[1] This testimony will focus on the Companies' efforts and programs to assist LMI customers in paying their energy bills and obtaining the benefits of increased energy efficiency directed at achieving New York's clean energy goals, as set forth in the Climate Leadership and Community Protection Act ("CLCPA").

Second, the Panel will discuss the Companies' customer service quality programs and metrics and discuss several proposed programs aimed at improving the customer experience and maintaining high rates of overall customer satisfaction.

Third, the Panel will discuss the Companies' proposals to recover uncollectible expense and collection replevin costs, as well as the

[1] The CLCPA established a Climate Justice Working Group ("CJWG") charged with developing and identifying criteria "to ensure frontline and underserved communities' benefit" from the clean energy transition. On March 27, 2023, the CJWG formally adopted the criteria and maps for defining and identifying Disadvantaged Communities. The Companies use the CJWG's definition when referring to Disadvantaged Communities in their testimony. *See* https://climate.ny.gov/resources/disadvantaged-communities-criteria/.

Companies' proposal to adopt a "no-fee" model for accepting residential customer payments using debit or credit cards.

Fourth, the Panel will discuss the status and benefits of National Grid's consolidation of its operating companies' two customer information systems into a single CSS system.

Fifth, the Panel will discuss the Companies' Energy Efficiency and Demand Response programs, their role in achieving the goals of the CLCPA, various proposed enhancements to the programs and the recovery of associated costs.

Finally, the Panel will discuss the Companies' proposed economic development programs, including enhancements to support the goals of the CLCPA.

Q. Are you sponsoring any exhibits as part of your testimony?

A. Yes. The Panel is sponsoring the following exhibits that were prepared under our direction and supervision:

(i) Exhibit___ (CP-1) consists of six schedules and provides information concerning the Companies' proposed program to

enhance the services provided to LMI customers and Disadvantaged Communities and the incremental full-time equivalent ("FTE") positions needed to provide the enhanced services;

(ii) Exhibit___ (CP-2) consists of three schedules and provides additional information concerning the Companies' proposals to enhance their customers' experience;

(iii) Exhibit ___ (CP-3) consists of five schedules and provides additional information concerning KEDNY's proposals for recovering uncollectible expenses;

(iv) Exhibit ___ (CP-4) consists of five schedules and provides additional information concerning KEDLI's proposals for recovering uncollectible expenses;

(v) Exhibit ___ (CP-5) provides additional information concerning the Companies' proposal to adopt a no-fee model for accepting residential customer payments using debit or credit cards;

(vi) Exhibit ___ (CP-6) consists of five schedules and provides additional information concerning the Companies' proposed energy efficiency-related programs and the incremental FTEs needed to provide the Companies' Energy Efficiency program in the future;

(vii) Exhibit ___ (CP-7) sets forth information concerning the Companies' proposed Strategic Account Mangers to assist large commercial and industrial ("C&I") customers;

(viii) Exhibit ___ (CP-8) sets forth additional information concerning the Companies' proposal to add two additional FTEs to support the Demand Response program; and

(ix) Exhibit ___ (CP-9) consists of two schedules and provides additional information concerning the Companies' proposed economic development programs.

II. Affordability

Q. Please provide a brief overview of the demographics of the Companies' customer base.

A. National Grid serves approximately 1.3 million customers in New York City, including Brooklyn, Queens, and Staten Island through KEDNY and 600,000 customers in Nassau and Suffolk Counties on Long Island and the Rockaway Peninsula in Queens through KEDLI. Based on National Grid's calculations using demographic data matched against the Companies' residential customer data, and applying the New York State Energy Research and Development Authority's ("NYSERDA") income

guidelines,[2] National Grid determined that 32 percent of the Companies' New York City residential customers and 17 percent of the Companies' Long Island residential customers qualify as low-income with annual incomes less than 60 percent of the state median income. When adding moderate-income customers, those at 60 to 80 percent of the area median income for New York City and Long Island, the percentage of low- and moderate-income ("LMI") residential customers in the Companies' service territories rises to nearly 47 percent in New York City and 29 percent on Long Island.

Q. What is the significance of this data?

A. This data highlights the fact that affordability is a key concern for our customers, especially those with low- and moderate-incomes. The Commission has affirmed the importance of maintaining affordability for customers, highlighting the need to identify cost-effective investments as part of the collective effort to achieve the CLCPA goals. Programs that assist customers with managing their energy usage and paying their bills are essential to help customers meet their energy needs.

[2] The NYSERDA income guidelines can be found at: https://www.nyserda.ny.gov/All-Programs/assisted-home-performance-with-energy-star/income-guidelines.

Q. Have the Companies conducted any additional research concerning LMI customers?

A. Yes. National Grid conducted both qualitative and quantitative research into LMI customer needs. In early 2022, as further detailed below, National Grid engaged ESource, a research, consulting, and data science firm, to conduct a study to help the Companies develop a better understanding of their LMI customers' energy needs and to create a forward-thinking customer experience strategy. The study confirmed that LMI customers' biggest concern is bill affordability. They want to pay their utility bills but worry about their ability to pay. Customers want more payment options and flexibility and for the Companies to provide them with programs that are easy to navigate. They are also interested in making energy efficiency improvements.

Q. How have the Companies used the findings from National Gird's research and the CLCPA's focus on delivering benefits to Disadvantaged Communities to develop the customer service and energy efficiency proposals in these rate filings?

A. The Companies have taken the research findings and customer feedback to heart and are proposing a number of customer service and energy efficiency programs and initiatives designed to address the feedback and deliver

customer benefits, while managing costs. The Companies are also proposing initiatives to improve customer service efficiency and productivity.

Q. How is National Grid working to support the State's CLCPA requirement that Disadvantaged Communities receive at least 35 percent of overall benefits of spending on clean energy and energy efficiency programs, projects, or investments?

A. National Grid believes energy efficiency is a key driver of an equitable energy transition for customers. National Grid began an internal project in 2022 to identify and map Disadvantaged Communities within the operating companies' service territories,[3] and to develop energy efficiency products and programs to meet customer needs in the communities. Increasing participation in these programs in Disadvantaged Communities requires a concerted effort to address significant barriers to access, including economic challenges and the lack of language accessibility. With this in mind, the Companies are advancing a number of proposals intended to overcome these hurdles and enable customers in Disadvantaged Communities to realize the benefits of energy efficiency offerings, as

[3] On December 13, 2021, the CJWG, as part of the draft criteria, issued an interactive map identifying Disadvantaged Communities.

discussed in more detail below. The Companies anticipate that, as part of the NE:NY Interim Review in Case 18-M-0084, the Commission may identify additional energy efficiency programs to best meet the needs of the State's Disadvantaged Communities and drive further action toward achieving the CLCPA goals.

Q. Please identify the Companies' current programs, products and services that assist LMI customers.

A. KEDNY and KEDLI have a long-standing commitment to LMI programs and continue to work proactively to support their most vulnerable customers. The diverse demographics, energy usage profiles, housing, and costs of living across the Companies' service territories can impact energy affordability. Energy costs place a relatively larger burden on LMI families, as energy bills represent a larger percentage of income than for other households. To assist these customers while managing affordability for all customers, the Companies are committed to balancing LMI benefits and program costs.

The Companies offer a low-income bill discount program, referred to as the Energy Affordability Program ("EAP"), that provides a monthly credit on enrolled customers' bills (discussed in further detail below). The

Companies also offer several bill-assistance programs, such as budget billing, deferred payment agreements ("DPAs"), and specialized payment arrangements. In addition, KEDLI supports the United Way of Long Island's Project Warmth. Likewise, KEDNY's similar Neighborhood Heating Fund program is administered by HeartShare Human Services. In 2022, the Companies partnered with HeartShare Human Services to donate additional money to the fuel fund and start two new programs to support their customers, the Hope and Warmth Energy Fund and Hearts Fighting Hunger. The Hope and Warmth Energy Fund provides moderate-income customers who qualify with a $200 grant during the winter heating season. The Hearts Fighting Hunger program provides moderate-income customers with a vulnerable household member who qualify a $150 grocery store gift card/food voucher.

To further assist customers with their energy bills, the Companies have a Consumer Advocacy program where customers can meet directly with an advocate who will help them navigate their energy bills and available assistance programs. As discussed below, the Companies also offer a suite of LMI energy efficiency programs as part of the NE:NY Statewide LMI Energy Efficiency Portfolio that are aimed at helping manage customers'

energy usage through weatherization and heating system upgrades, which also may improve customers' health, safety and comfort.

A. <u>Low-Income Bill Discount Program – Additional EAP Resources</u>

Q. Please describe the EAP and any other programs offered by the Companies to assist low-income customers.

A. KEDNY and KEDLI's EAP provides low-income customers with a monthly fixed credit on their bill. The amount of the credit is based on the customer's Home Energy Assistance Program ("HEAP") benefit and offers a four-tier structure. Consideration is given to the customers' income, energy costs, and family size. If applicable, there are two add-ons available to eligible households as part of the regular HEAP program to assist the neediest households — lowest income and vulnerable household member. Households receiving a regular HEAP benefit are enrolled in Tier 1. Households receiving one HEAP add-on are enrolled in Tier 2 and households with two HEAP add-ons are enrolled in Tier 3. Households enrolled in Tier 4 are currently enrolled in a Utility Guarantee/Direct Voucher ("GU/DV") program. The tiered benefit level chart is set forth below.

KEDNY also has a Reconnect Fee Waiver program for customers participating in the EAP who have had their service disconnected for non-payment. KEDLI does not charge low-income customers reconnect fees. No change is proposed to the Reconnect Fee Waiver program.

Q. What are the benefit amounts for each tier based on the Commission's Low-Income Order (Case 14-M-0565)?

A. The current benefit amount for each tier based on the annual recalculations are as follows:

KEDNY EAP Discount Rate Program – Tiered Benefit Levels

Tier Description	Tier	Heat Discount	Non-Heat Discount
Regular HEAP & Non-Utility	Tier 1	$46.10	$3.00
Regular HEAP + 1 Add-on	Tier 2	$70.73	$3.00
Regular HEAP + 2 Add-ons	Tier 3	$89.10	$3.00
DV/GU	Tier 4	$82.06	$3.00

KEDLI EAP Discount Rate Program – Tiered Benefit Levels

Tier Description	Tier	Heat Discount	Non-Heat Discount
Regular HEAP & Non-Utility	Tier 1	$31.86	$3.00
Regular HEAP + 1 Add-on	Tier 2	$55.79	$3.00
Regular HEAP + 2 Add-ons	Tier 3	$74.16	$3.00
DV/GU	Tier 4	$67.12	$3.00

Q. Who is eligible to participate in the Companies' EAPs and how are customers enrolled?

A. KEDNY and KEDLI customers who have received a HEAP grant or are enrolled in a GU/DV program are automatically enrolled in the EAP when the grant is received. Customers remain in the program for 14 months following receipt of the last HEAP grant. In addition to automatic enrollment, the Companies implemented a self-certification process in 2021-2022 for customers to apply for enrollment in the EAP, which included a standardized application form and a process to apply online via the Companies' websites. The Companies continue to utilize manual methods of enrollment such as calls to the call center or referrals from customer advocates or social services agencies to enroll both heating and non-heating customers in the EAP. Manual enrollment helps identify a wide range of customers, including customers who would qualify for HEAP but have not

applied for HEAP benefits. The Companies' existing manual enrollment process identifies participants in the following programs:

- Temporary Assistance for Needy Families (Family Assistance);
- Safety Net Assistance - Public Assistance;
- Supplemental Security Income;
- Medicaid;
- Low Income Home Energy Assistance Program;
- Veteran's Disability Pension;
- Veteran's Surviving Spouse Pension;
- Child Health Plus;
- Lifeline Telephone Service Program (Lifeline);
- Supplemental Nutrition Assistance Program ("SNAP");
- Federal Public Housing Assistance;
- Bureau of Indian Affairs General Assistance (if living on tribal lands);
- Head Start (if living on tribal lands);
- Tribal TANF (if living on tribal lands); and
- Food Distribution Program on Indian Reservations (if living on tribal lands).

The Companies also work with New York City's Human Resource Administration ("HRA") to implement a file-sharing mechanism that permits HRA to identify assistance program-eligible customers in KEDNY's service territory and the Rockaways portion of KEDLI's service territory. These file-sharing options have significantly increased the number of participants in the EAP. The Companies conduct file matching with HRA four times annually and reimburse New York City up to $50,000 for its mailing and associated costs for performing the file matching, which is included in the EAP deferral mechanism. The Companies propose to continue this file-sharing mechanism and reimbursement process with HRA with no changes. Notwithstanding these efforts, the Companies continue to seek to increase the number of participants in these programs. KEDLI, in particular, believes it can enroll more customers in the EAP. Therefore, the Companies support, and are actively participating in the Energy Affordability Policy Working Group effort to successfully implement file matching to enroll more low-income customers in the EAP.

Q. Did the Commission issue any orders during the COVID-19 pandemic that affected the Companies income-eligible offerings?

A. Yes. The Commission initiated the COVID-19 Proceeding (Case 20-M-0266), and the Companies established low-income, residential and small

business arrears reduction programs to reduce arrears that accumulated during the COVID-19 pandemic period to pause service disconnections and address customer financial hardship. In June 2022, the Commission authorized a significant arrears relief effort, the Phase 1 Arrears Reduction Program, working with the Joint Utilities through the EAP Working Group to leverage $250 million in State aid to assist more than 327,000 low-income customers. The following January, the Commission authorized Phase 2, assisting another 534,000 residential and small business customers address COVID-related arrears. As part of the Phase 1 and Phase 2 programs, approximately 133,000 KEDNY and KEDLI customers received much-needed relief.

Q. How have the Companies' EAP expenditures compared to the rate allowances for these programs?

A. For calendar year 2022, KEDNY's program had an average of 149,078 participants and an annual rate allowance of $38.45 million. During that year, KEDNY overspent the rate allowance by approximately $0.59 million, primarily due to increasing discounts driven by increasing energy bills. KEDLI's program had an average of 13,064 participants and an annual rate allowance of $6.75 million. KEDLI's program had expenditures of $8.95

million, an overspend of $2.17 million, which was also due to increasing discounts driven by increasing energy bills.

Q. What are the proposed annual rate allowances for the EAP in the Rate Years and the Data Years?

A. Proposed rate allowances for KEDNY and KEDLI's EAP use forecast program budgets, which are based on anticipated participation and tier discount amounts calculated in accordance with the Commission's orders in Case 14-M-0565. The forecast annual rate allowance included in the revenue requirement for KEDNY and KEDLI in the Rate Year and Data Years is $46.90 million and $8.85 million, respectively, an increase of $8.45 million and $2.10 million, respectively from the current rate allowance. Pursuant to the Commission's orders, the Companies are required to adjust benefit levels to keep program costs within the two percent budget cap. The testimony of the Rate Design Panels discusses the calculation of incremental EAP costs associated with the proposed rate increases and the issues that arise as a result of the updated discount calculations.

Q. Do the Companies currently reconcile EAP costs?

A. Yes. In accordance with the Commission's order in the 2019 KEDNY and KEDLI Rate Cases, the Companies fully reconcile the amount recovered in the rates to the actual cost of the EAP each year and defer any differences.

Q. How do the Companies propose to recover costs of the EAP?

A. The Companies propose to continue recovering the costs associated with the EAP through base rates.

Q. Do the Companies propose any changes to the current reconciliation mechanism?

A. Yes. Under the current reconciliation mechanism, if actual annual program costs are below the amount recovered in rates, the Companies would establish a deferred credit for use in future low-income programs and if the actual annual program costs exceed the amount recovered in rates, the Companies would establish a deferral for future recovery from all customers. As described in the testimony of the Rate Design Panels, the Companies are proposing to include any over or under recoveries in the proposed Rate Adjustment Mechanism ("RAM").

Q. Do the Companies require additional resources to improve awareness of, and increase participation in the Companies' LMI programs, products, and services?

A. Yes. The Companies propose to add two customer Residential Segment Energy Equity Analysts split evenly between KEDNY and KEDLI and one Data Analyst split two-thirds to KEDNY and one-third to KEDLI. The Residential Segment Energy Equity Analysts would be responsible for developing a comprehensive strategy for serving LMI customers, researching and benchmarking the Companies' existing LMI programs and services (not limited to EAP), and supporting customer surveys and studies to track program performance. They would also assist with identifying existing gaps and designing solutions to meet customers' needs. The Data Analyst would be responsible for gathering, organizing, and analyzing data on the Companies' LMI customers, as well as customers in Disadvantaged Communities more broadly. The Data Analyst would conduct impact analyses for rate designs, as well as performing propensity modeling to better inform the Companies' marketing and outreach strategies for increasing participation in EAP and energy efficiency programs. The Data Analyst would also be responsible for automating data processes and creating and maintaining dashboards for internal use and reporting purposes relative to activities and expenditures benefitting LMI customers and

Disadvantaged Communities. Further information concerning the three additional positions is set forth in Exhibit ___ (CP-1), Schedule 1.

Q. Are the Companies also proposing to add resources to better support the strategy, implementation, and administration of the EAP?

A. Yes. The Companies propose to add three FTEs who would be split between KEDNY and KEDLI and dedicated to supporting the day-to-day implementation of the EAP. The responsibilities of the roles would include: administering file matches and manual enrollments; performing discount calculations; documenting procedures; communicating changes; supporting internal and external reporting; preparing internal and external audit requests; ensuring referrals of customers are made to the KEDLI Home Energy Affordability Team ("HEAT") program and data maintained for reporting these referrals; and ensuring that EAP implementation plans are executed to achieve new energy affordability policy objectives. Additional oversight of the implementation of the EAP will help to ensure consistency with program deliverables across the organization. Changes in the program as it evolves, as well as maintenance of current enrollment criteria, require dedicated resources with line of sight to internal and external factors affecting the success of the program as well as customer satisfaction.

Further information concerning the three additional positions is set forth in Exhibit ___ (CP-1), Schedule 2.

B. <u>Consumer Advocacy Program</u>

Q. Please summarize the Companies' Consumer Advocacy programs.

A. KEDNY and KEDLI have a longstanding commitment to their Consumer Advocacy programs. Consumer Advocates support the Companies' most vulnerable customers by connecting them with programs and services offered by the Companies and service organizations within their communities. They assist customers who have special needs (*e.g.*, elderly, blind, and disabled, or serious medical conditions), special circumstances (*e.g.*, domestic violence, death of a family member, recent crime victim, victim of sex trafficking, customers affected by damaging storms and floods, those who are new to the U.S.), or those experiencing financial hardship. In calendar year 2022, Consumer Advocates assisted 11,895 households and participated in 189 outreach and education events in the KEDNY and KEDLI service territories.

Q. Please describe the services the Consumer Advocates provide.

A. The Consumer Advocates are embedded in their communities and are constantly looking for opportunities to identify low-income and vulnerable

customers through referrals made by the contact centers, field personnel, agencies, and through customer self-referral. In addition, they make weekly, bi-monthly, and monthly visits to selected agencies such as the Department of Social Services, Community Action Program, Economic Opportunity Council offices, National Grid walk-in offices, Long Island Cares, Adelante of Suffolk County, the Salvation Army, the Huntington Resource Center, the Family Service League, one-stop job training centers, food pantries, domestic violence organizations, health clinics, public libraries, and senior apartment complexes.

These efforts focus on bringing awareness to available programs and services, such as the EAP, specialized payment arrangements, DPAs, bill extender programs, budget plan/balanced billing, online bill payment, KEDLI's HEAT program, and the Companies' support fuel funds (*i.e.*, Neighborhood Heating Fund and Project Warmth and Hearts Fighting Hunger and Hope and Warmth). Consumer Advocates are also trained to help customers access other local, State, or federal programs such as Temporary Assistance, HEAP, the Weatherization Assistance Program, and EmPower NY.

Q. Do the Companies propose any changes to the Consumer Advocacy program?

A. Yes, the Companies propose adding five new FTEs as Consumer Advocates to enhance the support provided to customers and communities. Three of the positions would be created at KEDNY and two would be created at KEDLI. Additional information concerning the proposal is set forth in Exhibit ___ (CP-1), Schedule 3.

Q. Why do the Companies need additional Consumer Advocates?

A. The Companies currently employ six consumer advocates, two in KEDNY and four in KEDLI. Based on the size of the Companies' low-income and vulnerable customer populations, additional resources are needed. Current staffing levels are not sufficient to serve the more than 690,000 potential LMI customers who could benefit from these programs.

The need for additional Consumer Advocates is being driven by the growth in the number of customers who can benefit from access to the myriad programs available to assist them.

Q. How will the addition of five Consumer Advocates enable the Companies to better address the needs of LMI customers?

A. The addition of three Consumer Advocates by KEDNY would enable outreach to an additional 7,200 to 9,000 households and support approximately 108 community outreach events in KEDNY's service territory.

Similarly, the addition of two full-time Consumer Advocates in KEDLI's service territory would enable outreach and assistance to an additional 4,800 to 6,000 households and support approximately 72 community outreach events annually. The additional Consumer Advocates would also assist in identifying new low-income customers on Long Island to increase participation in EAP and other low-income programs.

Q. Are the Companies proposing any other resources to directly assist LMI customers?

A. Yes, the Companies are proposing to create Clean Energy Advisor roles and add three FTEs to fill these positions – split evenly between KEDNY and KEDLI. The Clean Energy Advisors would be responsible for helping customers navigate the various clean energy programs. This includes discussing opportunities for customers to participate in clean energy

programs, identifying programs that are well suited to meet the customers' needs, and describing the benefit of participating in the program. The Clean Energy Advisors would then assist customers with completing clean energy program applications, scheduling appointments or services and braiding together different utility, local, State and federal programs and/or funding sources to help meet as much of the customers' needs as possible. The addition of these roles would help overcome barriers LMI customers face with understanding what clean energy programs are available and the process to participate. The goal of this effort is to increase LMI participation in clean energy programs to permanently reduce customers' energy bills. This aligns with the goals outlined in the CLCPA to reduce greenhouse gas ("GHG") emissions and ensure benefits are directed to Disadvantaged Communities.

The Clean Energy Advisors would also serve as liaisons to NYSERDA's Regional Clean Energy Hubs ("Hubs"). There are two Hubs in KEDNY's service territory; one serving Queens and Staten Island which, have over 244,000 potentially eligible LMI customers, and one serving Brooklyn and the Bronx, which have over 298,000 potentially eligible customers. There is one Hub in KEDLI's service territory, which has over 151,000 potentially eligible LMI customers. Each of the Clean Energy Advisors would have

responsibility for engaging with one of the Hubs and the communities that they serve. The Clean Energy Advisors would ensure activities being undertaken by the Hubs were coordinated with the Companies' programs and would be responsible for representing the Companies in any community events or activities held by the Hubs. Additional information concerning the proposed Clean Energy Advisors is set forth in Exhibit ___ (CP-1), Schedule 4.

Q. How are the proposed Clean Energy Advisor roles distinct from the Consumer Advocacy roles?

A. The Clean Energy Advisor roles are specifically trained and focused on assisting and advising customers on LMI energy efficiency programs and responsible for providing a concierge-like service to guide them through the end-to-end process. Because of the size and level of need in the Companies' service territories and the expansive number of activities and services the Consumer Advocates are responsible for, there is the need for additional resources to focus on LMI energy efficiency specifically.

Q. Are the Companies proposing any other programs to increase awareness of and participation in LMI programs?

A. Yes. The Companies are proposing an enhanced marketing and outreach program for the Rate Year and each of the Data Years that is aimed at increasing customer awareness and understanding of the programs and services available to income-eligible customers to help them manage their energy bills. Currently, 15 percent and 40 percent of potentially eligible customers are enrolled in the EAP in KEDLI and KEDNY, respectively. There are potentially 80,000 KEDLI customers and 222,000 KEDNY customers who may be candidates for HEAP, but do not currently receive it. Given HEAP is the main gateway to the Companies' EAP and other programs, increasing HEAP participation would increase enrollment in the EAP. The increased marketing and outreach plan would also provide information to customers on the process and eligibility for manually enrolling in EAP through one of the many qualifying programs as detailed above and in the Companies' tariffs.

The Companies know that a major barrier to participation in LMI assistance programs is continued lack of awareness. A survey conducted by the Companies shows that financial assistance is at the top of mind for customers and 60 percent of customers are interested or very interested in

learning about new programs and other assistance opportunities. The proposed marketing and outreach would utilize an omni-channel marketing approach, including mass media marketing to build baseline awareness of HEAP, EAP, and the Companies' additional income-eligible offerings, including making connections between energy bill assistance and management and energy efficiency programs. Mass media such as print ads, radio, social media, and digital communication would be utilized for proactive awareness building. The Company would also execute one-to-one communications with targeted customers through an enhanced multi-touchpoint approach, including a series of direct mail, text messages, bill inserts and e-mail communications, as well as facilitated webinars that provide an overview of available assistance programs. This would also allow the Companies to test new channels and approaches to outreach and communication with customers. The efforts would be in addition to the current outreach initiatives described already and done by the Companies' Consumer Advocates. In addition, given the differences in demographics, geographies, lifestyles, and incomes between KEDNY and KEDLI's customer base, the marketing and outreach programs and budget would be designed to address the customer needs in each region.

Q. What is the cost of the proposed outreach?

A. The annual budget for EAP outreach is $0.5 million, split evenly between KEDNY and KEDLI, in the Rate Year and each of the Data Years. The Companies propose to include those costs in base rates. Additional information concerning the EAP outreach program is set forth in Exhibit ___ (CP-1), Schedule 5.

Q. Are the Companies proposing to add any other resources to further improve the Companies' marketing and outreach efforts?

A. Yes, the Companies propose to add a Marketing and Outreach Specialist split between KEDNY and KEDLI to design, develop, and implement the above-mentioned marketing and outreach strategy and plan. This position would work closely with the EAP outreach and energy efficiency marketing resources to develop a comprehensive and holistic marketing and outreach approach to reach LMI customers. This approach would aim to improve a customer's journey through the Companies' different LMI programs and services and would help to customize communications to smaller groups of like customers. It would also aim to bring together all the communications that reach LMI customers into a single voice that bundles together different messages, products and services and builds customer relationships and trust, so the customers know where to go and what is available to them when they

need assistance. Additional information concerning this position is set forth in Exhibit ___ (CP-1), Schedule 5.

C. Collection Residential Account Management Group

Q. Please describe the role of the employees of the collection residential account management ("CRAM") group.

A. The CRAM group specializes in direct engagement via phone call and email with high-balance residential accounts that require extra assistance in reducing their balances. The group focuses on building relationships with the customers to provide financial options and assistance, improve the customer experience, and help to avoid service terminations.

Q. Please describe how the Companies' assist low-income customers through the work of the CRAM group.

A. The CRAM group helps low-income customers by providing assistance in setting up different types of DPAs. The group also provides guidance on different assistance programs, such as HEAP, Department of Social Services vouchers and guarantees, Neighborhood Heating Fund, Project Warmth, Catholic Charities, and Salvation Army.

Q. What type of customers most benefit from the CRAM group?

A. Low-income, high balance, customers receive the most benefit from the CRAM group via the direct interaction and subsequent guidance on DPAs and assistance programs that may be available. The CRAM group helps these customers avoid service termination by working directly with them to reduce their past-due balance.

Q. How does the CRAM group differ from the Consumer Advocates?

A. Consumer Advocates primary role is providing intervention with a focus on LMI customers. The CRAM group specializes in direct engagement through phone calls and emails with high-balance residential customers that require additional assistance in reducing their account balances and preventing service terminations. The CRAM group provides a single point of contact and builds long-term relationships with customers to provide financial options and identify assistance programs that can help these customers. The CRAM group improves the experience of high-balance, low-income customers and helps them to avoid service terminations.

Q. Are the Companies proposing to add additional resources to further the CRAM group's work?

A. Yes. There are over 10,000 KEDNY and 800 KEDLI residential customers with arrears greater than $5,000 for whom the CRAM group could offer support. Therefore, the Companies are proposing to add one FTE to support KEDLI's CRAM group work, and two FTEs to support KEDNY's CRAM group work. Further information concerning this proposal is set forth in Exhibit ___ (CP-1), Schedule 6.

Q. How will the work of new FTEs in the CRAM group solely focus on KEDNY/KEDLI customers only?

A. The CRAM group uses a specialized application to isolate specific operating companies for their work. The new FTEs will utilize this application to work specifically with either KEDLI or KEDNY customers as they will be dedicated to these operating companies.

III. <u>Customer Service Quality Program</u>

Q. Please describe the Companies' efforts to manage customer service quality.

A. The centerpieces of the Companies' customer service efforts are the KEDNY and KEDLI Customer Call Centers, both located at 2 Hanson

Place, Brooklyn, New York. The KEDNY and KEDLI call centers are full-service customer service facilities, providing coverage 24 hours per day, 365 days a year for emergency services. The customer call center staff includes 40 KEDLI and 132 KEDNY professional customer service representatives available to handle inbound calls for gas emergencies and customer service inquiries, such as general billing inquiries, meter reading issues, gas outage reporting and status, and available payment options. When the COVID-19 pandemic restricted employees' ability to work in the office, the Companies established a sustainable, work-from-home environment for the Customer Service staff. As a result, call center employees enjoy the flexibility to work from home, rotating into the Hanson Place office for training, coaching, and team meetings. The call centers also utilize New York State-based third-party vendors to handle some moves and collections calls.

The Companies also have a group dedicated to handling escalated complaints, the Office of the President. The Office of the President team consists of 14 full-time employees dedicated to resolving customer issues forwarded from the Commission consistent with the Commission's Quick Resolution System ("QRS") process, ensuring that the Companies' policies and Commission's regulations are followed consistently.

Under the QRS process, customer complaints received by the Commission are sent to the affected company for resolution. If the affected company and the customer cannot resolve the issue and it is sent back to the Commission by the customer, the company, or both, the complaint is categorized as part of the Commission's Standard Resolution System ("SRS") process. Complaints reaching the SRS level are considered charged complaints for purposes of the Companies' complaint rate performance metric.

Q. Please describe the customer service performance measures in KEDNY and KEDLI's current service quality programs.

A. The current customer service performance measures for KEDNY and KEDLI are: (i) annual Commission complaint rate per 100,000 customers, (ii) residential customer transaction satisfaction, (iii) percentage of customer calls answered in 30 seconds, and (iv) adjusted customer bills. Table 1 below illustrates the current metrics, performance targets, and potential negative revenue adjustments for KEDNY and KEDLI.

Table 1: Service Quality Metrics

Rate Interval (Complaints per 100,000 customers)		Negative Revenue Adjustment Linear Within Ranges
KEDNY	≤ 1.0	$0
	> 1.0	$4,680,000
KEDLI	≤ 1.0	$0
	> 1.0	$3,960,000
Residential Transaction Satisfaction Index Interval		Negative Revenue Adjustment Linear Within Ranges
KEDNY	≥ 86.7%	$0
	< 86.7%	$4,680,000
KEDLI	≥ 85.1%	$0
	< 85.1%	$3,960,000
Telephone Answer Response		Negative Revenue Adjustment Linear Within Ranges
KEDNY	≥ 60.6%	$0
	< 60.6%	$1,170,000
KEDLI	≥ 62.2%	$0
	< 62.2%	$990,000
Adjusted Customer Bills		Negative Revenue Adjustment Linear Within Ranges
KEDNY	≤ 0.62%	$0
	0.63% - 0.72%	$585,000
	0.73% - 0.82%	$877,500
	≥ 0.83%	$1,170,000
KEDLI	≤ 1.50%	$0
	1.51% - 1.60%	$495,000
	1.61% - 1.70%	$742,500
	≥ 1.71%	$990,000

Q. Please describe the Companies' most recent performance for the customer service metrics under the service quality programs.

A. Since 2015, KEDNY and KEDLI have met all performance targets.

Q. Are the Companies proposing any changes to their service quality metrics and targets?

A. With the exception of the customer satisfaction survey discussed more fully below, the Companies are proposing to continue the current service quality metrics and targets and negative revenue adjustments without modifications.

Q. Why are the Companies proposing to continue the current customer service quality metrics other than the customer satisfaction survey?

A. Based on an assessment of five years of performance data, the Companies believe that the current targets are appropriate. Data shows that the existing targets are difficult to achieve and sufficiently challenging to ensure an appropriate level of service, especially during periods of peak demand or extreme temperatures. Moreover, the results of the Residential Transaction Satisfaction Index show consistently high levels of overall customer satisfaction. Thus, there is no basis to conclude that more stringent targets are needed to encourage the Companies to be more responsive to customers.

Q. Are the Companies proposing to align the KEDNY and KEDLI Customer Satisfaction surveys with the Joint Utility Statewide Survey ("Joint Utility Survey")?

A. Yes, the Companies are proposing this change; however, the historical survey data is not sufficient to set a target. Although the Companies have been collecting KEDLI data since September 2018 and KEDNY data since January 2019, much of this time included the COVID-19 pandemic and associated collections moratorium (*i.e.*, March 2020 to September 2021 for KEDLI and March 2020 to November 2021 for KEDNY). After removing the months that were impacted by the moratorium, the Companies are left with 25 months of data for KEDNY and 33 months of data for KEDLI, half of which was collected before March 2020. Before adopting the Joint Utility Survey and establishing targets, the Companies would like to collect more post-moratorium data to ensure target accuracy.

Q. Why is the available data insufficient?

A. COVID-19 resulted in many special programs for customers, including the suspension of collections and debt forgiveness. For that reason, the results appear inflated compared to the limited data that was collected prior to COVID, which impacts the ability to set an appropriate target. The Companies have only recently returned to pre-COVID procedures.

Additionally, the Companies believe that currently they do not collect enough responses to report the Joint Utility Survey results on a monthly basis. In this regard, the monthly respondent numbers for KEDNY and KEDLI are shown on Table 2 below. The low monthly base presents a challenge in presenting statistically sound results and contributes to month-to-month variations in satisfaction performance.

Table 2: 2022 Total Joint Utility Survey Responses

Month	KEDNY	KEDLI
January	77	43
February	82	50
March	61	63
April	48	18
May	70	19
June	69	15
July	63	20
August	77	42
September	153	67
October	84	39
November	93	51
December	114	55

The Companies recommend increasing the monthly Joint Utility Survey sample size before adopting the survey.

Q. What is the Companies' recommendation concerning adoption of the Joint Utility Survey going forward?

A. The Companies recommend adopting the Joint Utility Survey once adequate business-as-usual survey data has been collected. Assuming that business-as-usual conditions continue for the next several years, the Companies recommend that a collaborative involving the Companies, Staff and all other interested stakeholders should be convened in calendar year ("CY") 2024 for the purpose of establishing a service quality metric that utilizes the results of the Joint Utility Survey beginning January 1, 2025.

Q. How will the Companies assess the data collected through the Joint Utility Survey?

A. The Companies will continue to track and measure performance against the Joint Utility Survey and will review the historical data and remove results that were affected by the payment moratorium put in effect due to the COVID-19 pandemic. The Companies will also monitor how the statewide results compare with KEDNY and KEDLI regulatory survey results and will work on setting appropriate performance targets for the Joint Utility Survey.

Q. How will the Companies report on progress towards gathering data and results?

A. The Companies will continue to file results quarterly (Case 15-M-0566) and will start to include progress as a topic during scheduled quarterly meetings with Staff.

Q. Do the Companies propose to make any changes to the way service quality performance is currently reported?

A. No. The Companies propose to maintain the existing reporting protocols.

IV. Customer Experience Programs

Q. What are the Companies' proposals to enhance the customer experience?

A. The Companies are proposing changes in the way they operate to respond to evolving business demands and customer expectations that have become evident over the past few years. As discussed more fully below, a number of these changes focus on digital and process transformation to enhance the customers' experience and fully meet their expectations. The information technology ("IT") requirements associated with some of these customer service enhancements, as well as the costs associated with such IT requirements, are discussed in the IT Panel's testimony and exhibits.

A. <u>Permitting Third-Party Vendors To Use Call Center Agents Who Live Outside New York</u>

Q. Are the Companies proposing to permit their third-party call center vendors to use call center agents who live outside New York?

A. Yes. The Companies propose to improve the quality and efficiency of call center operations by enabling third-party vendors to utilize home-based agents who live outside the State of New York.

Q. Do the Companies currently use third-party vendors to support limited aspects of call center operations?

A. Yes. The Companies currently use third-party vendors that use New York-based agents to handle certain types of customer calls.

Q. What type of customer calls do the third-party vendors handle for the Companies?

A. Third-party vendors assist with calls made by customers when they move within the service territory ("Move Calls") and calls concerning customer collection activities. Move Calls consist of a new customer calling for connecting service at an existing premise or an existing customer, disconnecting service or moving to a new location. Collections calls consist

of payments, inquiries concerning short- and long-term payment agreements, protections, and any other related past-due inquiries.

Q. What percentage of various types of customer calls are allocated to third-party vendors?

A. Currently, 100 percent of collections and Move Calls by KEDLI customers and 100 percent of collections and 70 percent of Move Calls for KEDNY customers are allocated to third-party vendors. Agents who handle both Move Calls and collections calls are currently required to reside in New York. It is the Companies' understanding that a hearing before the Commission must take place before the Companies can relocate any call center operations out of state.

Q. How is the performance of the third-party vendors managed by the Companies?

A. The Companies manage third-party vendors in the same manner as internal operations. The Companies have established contractual Key Performance Indicators ("KPIs") that measure performance in areas such as service level, average handle time, first contact resolution, and customer satisfaction. The Companies hold weekly, monthly and quarterly performance reviews

with third-party vendors to ensure that their performance meets the Companies' expectations.

Q. Why do the Companies propose to allow their third-party vendors to use call center agents that live outside New York?

A. During the COVID-19 pandemic, it became common for call center agents to work remotely. Thus, the Companies, as well as the Companies' third-party vendors, are utilizing work-from-home options to attract and retain quality employees. At the same time, recruiting for call center positions in New York, specifically downstate New York, has become particularly challenging. While the Companies will continue to attempt to hire call center employees who live in New York, it has become increasingly difficult to attract and retain New York-based employees due to an increase in higher wage opportunities for other types of employment. Enabling third-party vendors to use resources outside New York State will allow them to attract candidates from a wider range of employment markets, affording them the opportunity to achieve greater efficiencies and reduce attrition. Under the Companies' proposal, employees of the third-party vendors (except for the off-shore vendor discussed below) could be located outside of New York but within the continental United States. Further

information concerning this proposal is set forth in Exhibit ___ (CP-2), Schedule 1.

Q. What is the magnitude of the recent turnover for call center employees experienced by the Companies?

A. Turnover rates in New York were approximately 10 percent for calendar year 2022, an increase of 50 percent compared to pre-COVID rates. It appears that this attrition is attributable to the fact that call enter workers are able to find other employment with better pay and/or benefits.

Q. Do the Companies believe that reducing attrition among its third-party call center agents will assist the Companies in providing the service that customers expect?

A. Yes, reducing attrition rates will create a more consistent tenured call center agent population, which will assist in improved first call resolution, better enable the Companies to maintain high levels of customer satisfaction, increase employee satisfaction, and permit the Companies to avoid increased training costs that arise from high levels of attrition.

Q. Do third-party vendors currently offer flexibility to their agents to reduce attrition rates?

A. Yes. All third-party vendors are 100 percent work from home, offer flexible work schedules, which include days off during the week for those that prefer to work a Saturday shift, and offer comparable pay and benefits to like job descriptions.

Q. Do other New York-based utilities permit third-party call centers to utilize resources outside of New York?

A. Yes. It is the Companies' understanding that National Fuel Gas Distribution Corporation, Central Hudson Gas and Electric Corporation, Rochester Gas and Electric Corporation and New York State Electric and Gas Corporation currently utilize call center staff outside New York State.

Q. Will permitting the Companies' third-party vendors to utilize home-based agents outside of New York impose any incremental costs on the Companies?

A. No.

B. Enhancing Communications for Spanish-Speaking Customers

Q. Please describe the Companies' proposed changes to call center operations for Spanish-speaking customers.

A. The Companies propose to improve call center operations by enabling a third-party vendor to utilize their near-offshore facilities to manage the Companies' inbound Spanish call volume associated with moves, customer connections and collections. No billing or emergency calls would be assigned to this vendor. This proposal involves securing resources with one vendor in Guatemala or Jamaica to manage this volume. Further information concerning this proposal is set forth on Exhibit ___ (CP-2), Schedule 2.

Q. What is the current process for managing Spanish-speaking inbound calls?

A. When a Spanish-speaking customer contacts the Companies' inbound Call Center, the customer is connected with a Spanish-speaking agent, if available. If not, the customer is routed to an English-speaking agent. That agent then connects to the Companies' language interpreter service, which translates the conversation. In calendar year 2022, the Companies utilized a Spanish interpreter for just over 77,000 calls for KEDNY and just over 12,000 calls for KEDLI.

Q. What types of challenges does the current process create for customers?

A. Customers want to speak to an agent in their native language. Utilizing an interpreter causes added length to a call; confusion in some cases due to the back and forth with the customer, National Grid agent, and interpreter agent; and overall a less effective customer service customer experience.

Q. Do any affiliates of the Companies use near-offshore resources for inbound Spanish-speaking calls?

A. Yes. National Grid's New England third-party vendor utilizes English and Spanish-speaking employees who are located in Guatemala. The Spanish dialect in Guatemala is very similar to the Spanish-speaking population's dialect in the Northeast United States, making it transparent and easy to understand for customers.

Q. What feedback have the Companies' affiliates received from the customers currently being serviced with near-offshore resources in New England?

A. The Companies' affiliates have received positive feedback, as evidenced by the following testimonials:

- Customer A on January 11, 2023 said: "Me siento bendecida por tu atencion con cariño, forma de ser y en español."
  Translation: “I feel blessed by your attention with affection, way of being and in Spanish.”
- Customer B on January 20, 2023 said: "Gracias por atenderme en español, cuidese Dios me lo bendiga."
  Translation: “Thank you for assisting me in Spanish, take care God bless you.”
- Customer C on January 23, 2023 said: "Muy felices porque ustedes hablan español, muchas gracias!"
  Translation: “I’m very happy because you speak Spanish. Thank you very much!”

Q. What is the basis for the determination to use a third-party vendor Spanish call center outside of New York instead of attempting to retain additional New York-based, Spanish-speaking staffing?

A. Although the Companies recruit and attempt to staff with bilingual agents, the Companies have not been able to maintain sufficient staff to provide full in-language support for customers even though the wage structure is higher for a bilingual agent. For the reasons discussed previously, call center employee attrition and retention have become more challenging due

to an increase in other high-wage employment opportunities for New York-based employees. National Grid will continue to attempt to hire Spanish-speaking employees from New York.

Q. What incremental costs are anticipated to adequately handle the call volume related to the deployment of a new-offshore Call Center?

A. No additional costs are projected.

C. <u>Other Customer Experience Programs</u>

Q. What other programs are the Companies proposing to undertake to improve the Customer Experience?

A. The Companies are proposing to undertake seven additional programs to modernize and enhance the customer experience. These programs include: (1) optimizing the front-office delivery model (the manner in which calls are handled) for the Companies' contact center, (2) reducing calls with self-service, (3) minimizing average call handling time, (4) first call resolution, (5) automating manual work, (6) optimizing back-office processes and capacity, and (7) promoting e-bill (Paperless) adoption. Additional information concerning these efforts is set forth in Exhibit ___ (CP-2), Schedule 3. The Companies' proposed capital expenditures associated with these programs can be found in the IT Panel's Exhibit ___ (ITDP-3).

Q. What is the primary driver for these programs?

A. The primary driver of these programs is to improve the reliability of critical systems and enhance existing business processes to maintain or improve existing levels of customer satisfaction in a changing business environment. Dependence on traditional customer interactions via telephone and mail is inefficient compared to the digitally focused customer experience that the Companies are proposing. The Companies currently utilize technology that relies on manual processes. The proposed programs will enable technology-based solutions that customers are increasingly seeking.

Q. Will these programs create savings?

A. Yes. These savings are captured as part of the Evolution program savings that are reflected in the Companies' revenue requirements and discussed by the Companies' Revenue Requirements Panels.

Q. Please describe how optimizing the front office delivery model for the Companies' contact center will enable the Companies to maintain a high level of customer service.

A. Optimizing Call Center operations through management of internal and vendor workforce planning will permit the Companies to better respond to customer calls. The program seeks to enhance customer satisfaction by: (1)

improving the customer experiences on the Unified Web Portal ("UWP") to enable customers to better manage billing accounts with single email sign on, (2) proactively providing the right information through the customer's preferred communication channel (*e.g.*, via email or text), (3) providing customers with simpler, effortless and personalized experiences through improved voice self-service (*i.e.*, interactive voice response ("IVR")), (4) delivering customers opportunities for improved and new experiences on digital channels that utilize virtual assistants (digital assistants), and (5) delivering an enhanced digital platform (*i.e.*, My Business Account) to commercial and industrial customers to enable better and more streamlined multi-account management.

Q. Please describe how the Companies will minimize average call handle times.

A. This program focuses on process enhancements and performance management to drive efficient and effective calls with customers. By optimizing the process by which customers who contact the Companies are greeted and authenticated, customers will not have to provide duplicate information. This will result in both enhanced customer service and more efficient communication with customers.

Q. Please describe the First Call Resolution program.

A. The First Call Resolution program focuses on the Customer Service Representative ("CSR") successfully addressing an inquiry during the customer's first contact with the call center, eliminating the need for call backs with the same issues. Areas of opportunity include customer moves and billing interactions that make up 65.8 percent of repeat calls today. This program will also enable the Companies to reduce call transfer rates and keep calls contained with one CSR. This will improve customer trust, avoid unnecessary time spent on calls by the customers and improve overall customer satisfaction.

Q. Please describe the benefits of the program that will automate manual work.

A. In this program, the Companies will deploy Robotic Process Automation to reduce manual efforts. This will create operational efficiencies by reducing volumes that require manual processing and automating processing, which will, in turn, increase standardization and create capacity for the Companies' call center agents to help customers with more complex or value-added tasks.

Q. Please describe the Companies' programs for optimizing back-office processes and capacity.

A. The Billing and Collections office ("Back Office") will use a centralized platform to optimize workforce performance with the ability to forecast, plan and schedule more effectively. The Companies will be able to more accurately measure employee performance (such as the time when employees are unproductive and work handle time) and improve productivity.

Q. Please describe how e-bill (paperless) adoption will enhance the customer experience.

A. Encouraging customer participation in the paperless program will result in an easier and more convenient billing experience. The Companies will also measure and remediate the key reasons why customers return to paper billing and redesign email notifications to increase efficacy and ease of use. Customer analytics will target customer segments with tailored marketing campaigns that demonstrate the benefits of e-billing to encourage greater e-billing usage.

Q. How will the proposed customer experience programs improve service to the Companies' customers?

A. Creating digital capabilities will allow customers to resolve inquiries on a self-service basis in the manner they prefer (chat bot, web, IVR) and decrease time spent on the phone. Process automation will focus on decreasing manual, repetitive tasks for the Companies' CSRs which will increase the ability of the representatives to focus on more complex customer issues, resulting in improved customer experience and satisfaction. As a result of the implementation of the proposed customer experience programs, customer agents will educate customers on the ease of accessing their billing information and paying their bills electronically. Finally, by delivering outbound communications via email and text messaging, customers will have correct information in real-time, including information about their bills or communications about outages or upcoming storms.

Q. What benefits do the programs to improve the customer experience have on the environment and GHG emissions?

A. Electronic billing is expected to reduce GHG emissions by decreasing reliance on paper, postage, and emissions related to the delivery of such paper notifications to customers.

V. Uncollectible Expense

Q. Please provide an overview of the impact from the Companies pausing collection activity during the COVID-19 pandemic.

A. The Companies voluntarily suspended collection activity for all customers in March 2020 due to the impacts from COVID. Customer protections were extended to customers through the Parker-Mosley Act and the Parker-Richardson Act (the "Acts"). During this period, residential and commercial customers had the option to attest to financial hardship and access various customer protections including protection from disconnection for non-payment.

Commercial collection activity slowly ramped up in 2021 while residential field disconnections slowly resumed in June 2022 at KEDNY and July 2022 at KEDLI. During the disconnection moratorium both residential and commercial customer built up large arrears balances. As of June 2022, the number of customers in 60-day arrears increased by 27 percent at KEDNY and 15 percent at KEDLI compared to June 2019 and accounts receivable balances increased by 191 percent at KEDNY and 132 percent at KEDLI.

In June 2022, the Commission authorized Phase 1 of the New York Electric and Gas Arrears Relief program (Cases 14-M-0565 and 20-M-0266). This

program provided arrears relief to low-income customers and customers who received Emergency Rental Assistance Program ("ERAP") assistance through a one-time credit of all arrears outstanding that were billed through May 1, 2022. The Companies applied the first set of credits in July 2022. Customers enrolling in a low-income program (*i.e.*, EAP) or receiving ERAP assistance through December 31, 2022 also received the credit. In total, approximately 45,300 KEDNY customers received credits of $50.1 million, while 4,200 KEDLI customers received $5.3 million of credits.

In January 2023, the Commission authorized Phase 2 of the New York Electric and Gas Arrears Relief program. This phase of the program provided arrears relief to the residential customers who did not receive a credit during Phase 1 as well as to small commercial customers. These customers received an "up-to" credit for arrears outstanding that were billed through May 1, 2022. KEDNY residential customers were eligible for up to a $3,750 credit while small commercial customers were eligible for up to a $7,500 credit. KEDLI residential customers were eligible for up to a $1,750 credit while small commercial customers were eligible for up to a $2,000 credit. Credits were applied on February 22, 2023 with approximately 62,300 KEDNY customers receiving credits of $82.2 million and 21,900 KEDLI customers receiving credits of $16.9 million.

The New York State HEAP Regular Arrears Supplement ("RAS") program has also had a positive impact on KEDNY and KEDLI residential customers. In late September 2021, New York rolled out the $150 million RAS program to assist customers who received heating assistance during the year. In addition, federal funding of $2.2 billion was directed to New York for ERAP to provide economic assistance to LMI households with rental and utility assistance.

After assisting customers through the Phase 1 and Phase 2 programs, there remains a significant increase in both the number of customers in arrears and the associated accounts receivable when compared to pre-COVID levels. Although the Phase 1 and Phase 2 programs were very helpful for customers in need, as of February 2023 (after Phase 2 credits were applied), the number of customers in 60-day arrears has continued to increase (approximately 32 percent at KEDNY and 30 percent at KEDLI) compared to February 2020 and accounts receivable balances increased by 74 percent at KEDNY and 61 percent at KEDLI. The Companies anticipate that this will result in a backlog of accounts requiring additional collection activities as well as increased uncollectible bill costs. To meet the needs to manage the increased collection activity, coupled with the fact that collection activity was paused during part of the Historic Test Year, the Companies

are proposing to use a three-year pre-COVID average of replevin costs incurred during CY 2017, 2018 and 2019 to establish rates in these proceedings. In addition, the Companies are proposing to use a three-year pre-COVID average of uncollectible rates and an uncollectible reconciliation mechanism. These proposals are discussed below.

Q. What is the Companies' recent experience with uncollectible expense?

A. During the COVID-19 pandemic, the Acts required a moratorium on collections and termination activity for residential customers.[4] Due in part to the Acts, the Companies' uncollectible expenses have been volatile over the last three years. KEDNY's uncollectible expense increased from $14.6 million in 2017 to $16.3 million in 2018, then decreased in 2019 to $15.9 million. During the COVID-19 pandemic when collection activity was paused, uncollectible expense dropped to $7.8 million in 2020, followed by an increase in 2021 to $11.5 million and then a further increase in the Historic Test Year to $26.5 million, as shown in Exhibit ___ (CP-3), Schedule 1, after most collection activity resumed. KEDLI's uncollectible expense decreased from $7.3 million in 2017 to $7.0 million in 2018, then

[4] Chapter 108 of the Laws of 2020 (the "Parker Mosley Law") and Chapter 109 of the Laws of 2021 (the "Parker-Richardson Act"), which were deemed expired and repealed on July 1, 2022.

increased to $7.2 million in 2019. During the COVID-19 pandemic when collection activity was paused, uncollectible expense dropped to $4.1 million in 2020, rose to $4.5 million in 2021 and then increased in the Historic Test Year to $16.8 million, as shown in Exhibit ___ (CP-4), Schedule 1.

As set forth below, the short-term effect of reduced collection activity during the COVID-19 pandemic is lower uncollectible expense. However, the long-term effect of reducing terminations is to increase accounts receivable, which with all else being equal, lead to higher uncollectible write-offs when the accounts with larger receivable balances are eventually written off.

Q. Please describe how uncollectible expense is currently recovered by KEDNY and KEDLI.

A. Commodity-related uncollectible expense is recovered through the Merchant Function Charge ("MFC") component of the Gas Adjustment Clause ("GAC") and determined by multiplying the forecast total gas cost (inclusive of any monthly or annual imbalance surcharge or refund factors) for each GAC year times a net write-off of 0.8864 percent for KEDNY and 0.6068 percent for KEDLI. Additionally, Energy Service Companies

("ESCOs") that participate in the Companies' Purchase of Receivables ("POR") program are charged commodity related uncollectible costs. Delivery related uncollectible expense for KEDNY and KEDLI is recovered through base delivery rates and is not adjusted annually.

Q. Are the Companies proposing to change the calculation of commodity-related uncollectible expense for firm sales customers?

A. No. The Companies are updating the uncollectible rate. They are not, however, proposing to change the current methodology of charging uncollectible expense to firm sales customers or to ESCOs that participate in the POR program.

Q. How do KEDNY and KEDLI propose to calculate uncollectible expenses for the Rate Year and Data Years?

A. The Companies propose to update their net write-off rates using a three-year aggregated average uncollectible rate based on the Companies' actual experience during the three-year period CY 2017-2019, as set forth in Exhibit ___ (CP-3), Schedule 1, and Exhibit ___ (CP-4), Schedule 1, for KEDNY and KEDLI.

Q. Why are calendar years 2017-2019 being used as the historic basis period for determining the Companies' uncollectible expense?

A. The prohibition of terminations of customers for non-payment during the COVID-19 pandemic resulted in anomalous uncollectible rates during the 2020-2022 period. As a result, the level of uncollectible expense over the past three years does not present a fair or plausible estimate of the Companies' uncollectibles in the Rate Year and Data Years. Using the 2017-2019 period to determine the uncollectible expense is more likely to result in a level of expense that will be experienced in the Rate Year and Data Years.

Q. Why are KEDNY and KEDLI proposing an uncollectible rate based on the three-year aggregated average?

A. The Companies propose to use a three-year aggregated average because a multi-year average mitigates the impact of external factors that can occur in any given year. This includes the impacts of weather and the economy, which can have an acute effect on consumption and supply cost. Use of a three-year period to calculate the net write-off rate is also consistent with the methodology used in the 2019 KEDNY and KEDLI Rate Cases and the 2020 NMPC Rate Case.

Q. What is the forecast uncollectible expense for KEDNY and KEDLI for the Rate Year and Data Years?

A. Using the three-year aggregated average uncollectible rate of 0.8388 percent for KEDNY and 0.6076 percent for KEDLI, and multiplying that rate by each company's respective forecast retail revenues (including late payment charge revenue and excluding power generation revenues), the uncollectible expense for KEDNY and KEDLI for the Rate Year is $18.66 million and $9.25 million, respectively. The uncollectible expense for KEDNY and KEDLI for Data Years 1, 2 and 3 are shown in Exhibit__ (RRP-3), Schedule 31.

Q. Are the Companies proposing a reconciliation mechanism for uncollectible expense?

A. Yes. The Companies are proposing a two-way uncollectible expense reconciliation mechanism that would reconcile the uncollectible expense recovered in base rates against actual write-offs. Under the mechanism, the Companies will reconcile actual uncollectible expense (*i.e.*, net write-offs) to the amount reflected in base rates. The reconciliation will include the commodity portion of uncollectible expense that is recovered through the MFC and the amounts recovered from ESCOs through the POR discount.

Q. Has the proposed reconciliation mechanism for uncollectible expenses been proposed in other proceedings?

A. Yes. The Companies uncollectible reconciliation proposal is consistent with the uncollectible reconciliation proposal submitted by the Companies in Case 14-M-0565 as part of the Phase 2 Arrears Reduction Program.[5] In that proceeding, the Companies proposed that the period covered by the uncollectible reconciliation mechanism would be from March 2020 through the end of the current rate plans. The Companies proposed using the existing uncollectible expense over recoveries for the period of March 2020 through December 2022 as an offset to the Phase 2 surcharge, which recovers the costs of the Arrears Reduction Program. The remaining uncollectible reconciliation balances for the period January 2023 through March 2024 (*i.e.,* the end of the current rate plans) would be deferred for future pass back to or recovery from customers and would accrue carrying charges at the authorized weighted average cost of capital.

[5] For a discussion of the Phase 2 Arrears Reduction Program, *see* Case 14-M-0565, *et al.*, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers, "Order Authorizing Phase 2 Arrears Reduction Program" (issued and effective January 19, 2023) ("Phase 2 Order").

Q. Describe how the uncollectible reconciliation mechanism proposed here differs from that filed in Case 14-M-0565?

A. The mechanism in this case would essentially be a continuation of the proposal submitted on December 23, 2022 in Case 14-M-0565, but the Companies do not yet have approval for the proposal in that proceeding. In accordance with the Phase 2 Order, the Companies submitted a compliance filing on February 21, 2023 with additional information regarding the Companies' proposal including the period covered by the uncollectible reconciliation mechanism, the recovery mechanism (*e.g.*, surcharge or deferral), and the proposed carrying cost rate on any deferred balances.[6]

Q. Are the Companies' proposing to surcharge or credit customers with amounts derived from the operation of the uncollectible expense reconciliation mechanism?

A. Yes. The Companies' Rate Design Panel discusses the Companies' proposal to surcharge or credit customers for amounts arising from the operation of the reconciliation mechanism.

[6] Case 14-M-0565, et al., Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income utility Customers, "National Grid's Compliance Filing in Support of Uncollectible Expense Reconciliation Mechanism" (February 21, 2023).

Q. Please describe how KEDNY and KEDLI manage the collections process to minimize uncollectible expense.

A. KEDNY and KEDLI use a full suite of collection activities and strategies to manage the collection process and minimize uncollectible expenses. These activities and strategies are employed throughout the Companies' delinquency management process, which consists of four key components: Account Initiation, Account Management, Field Collections, and Final Bill Management.

Account Initiation is the point at which the Companies establish a service contract with the customer applying for service. Prior to initiating service, the Companies confirm the identification of each applicant. If an applicant has outstanding debt with one of the Companies within the last six years, they are required to pay the balance owed or establish a payment agreement prior to obtaining service. The past debt is then transferred to the new active account under the terms of the new payment agreement.

Account Management is the method the Companies use to actively monitor customer payment history. The Companies manage collection accounts using a behavioral scoring mechanism referred to as a Portfolio

Management Package ("PMP"). Each customer account in arrears is evaluated and scored using PMP. The output from the model, which is reviewed and updated at regular intervals, assists the Companies in determining the appropriate collections actions based on the customer's past payment behavior. Customers are divided into five risk groups, and each group is assigned the most cost-effective treatment path that is likely to be successful. In prioritizing the accounts in the portfolio, the Companies seek to identify lower risk customers that will likely self-cure and higher risk customers requiring more assertive collection measures. This process attempts to tailor the response to the specific circumstances of the individual customer and attempts to ensure that the most cost-effective steps are taken to mitigate the Companies' uncollectible expense. Additionally, the Companies have increased the use of targeted outbound calling campaigns to improve effectiveness in encouraging customers to act regarding their arrears.

Field Collections begins after a final notice has been issued to the customer. Field Collections are the actions taken by the Companies to collect payments in a manner that is mindful of customer rights, protections, and safety. As a last resort, service may be terminated because of non-payment. Final Bill Management is the process of collecting

final or written-off accounts with the assistance of outside collection agencies. The Companies utilize a tool that enables them to manage this collections work stream and to track and execute strategies to maximize resources and minimize costs.

The Companies also conduct ongoing email campaigns for residential customers with an arrears balance of at least $50 pending for 60 or more days. Reminder emails are sent on a weekly basis to customers that meet the criteria.

For KEDLI, the Company also executes a collection residential account management strategy directed at high arrears residential accounts. This strategy focuses on reaching out to customers by phone to find ways to reduce arrears and decrease terminations using alternative methods when normal collection paths have been unsuccessful. While uncollectible expense and the Companies' mitigation efforts are a significant focus, bad debt expense in a given year is also driven by a number of factors outside the Companies' control - including weather, commodity cost, customer protections, and economic health.

Q. Please describe the termination and uncollectible incentive performance measure that was adopted by the Commission in Cases 16-G-0058 and 16-G-0059 (the "2016 KEDNY and KEDLI Rate Cases").

A. In the 2016 KEDNY and KEDLI Rate Cases, the Commission adopted a termination and uncollectible incentive to encourage the Companies to identify and implement new measures to reduce residential service terminations for non-payment while decreasing or maintaining the level of bad debt for residential accounts. Under the incentive mechanism, the Companies had the ability to earn positive revenue adjustments if they achieved certain targets for residential terminations and/or bad debt expense.

Q. Was the termination and uncollectible incentive suspended in the 2019 KEDNY and KEDLI Rate Cases?

A. Yes. The incentive was suspended during the term of the rate plans subject to the outcome of the Commission's COVID-19 proceeding.

Q. Do the Companies propose to re-establish the current termination and uncollectible incentive performance measure?

A. Yes. While, as discussed above, the Companies are concerned with efforts to further reduce the level of terminations, the Companies propose to re-establish the termination and uncollectible incentive performance measure during the proposed rate plans. However, due to the uncertainty of resuming collection activities after being paused during COVID, the Companies propose to continue to suspend the incentive performance measures during the Rate Year and Data Year 1. Beginning with Data Year 2, the incentive performance measures would resume.

Q. What was the Companies' performance against the measure over the last two pre-COVID calendar years 2019 and 2018?

A. Tables 3 and 4 below illustrate KEDNY and KEDLI's performance over the last two years before COVID. Detailed monthly performance data is set forth in Exhibit__ (CP-3), Schedule 3 and Exhibit __ (CP-4), Schedule 3 for KEDNY and KEDLI, respectively.

Table 3 - KEDNY Two-Year Service Termination and Uncollectible Incentive Performance Measure

Year	Terminations		Uncollectibles	
	Actual	Target	Actual	Target
2018	29,214	34,638	$12,334,392	$12,494,661
2019	28,077	34,638	$13,036,200	$12,494,661
Two-Year Avg	28,646		$12,685,296	

Table 4 - KEDLI Two-Year Service Termination and Uncollectible Incentive Performance Measure

Year	Terminations		Uncollectibles	
	Actual	Target	Actual	Target
2018	10,786	12,470	$5,035,650	$4,392,413
2019	12,286	12,470	$5,470,290	$4,392,413
Two-Year Avg	11,536		$5,252,970	

KEDNY earned an incentive of $1.26 million for meeting the termination and uncollectibles incentive targets in CY 2018 and earned an incentive of $0.54 million for meeting the termination incentive target in CY 2019. KEDLI earned an incentive of $0.36 million each year for meeting the termination incentive target in CY 2018 and CY 2019.

Q. What was the Companies' performance against the measure over the 2020-2022 period in which the incentive mechanism was suspended?

A. Exhibit ___ (CP-3), Schedule 4 and Exhibit __ (CP-4), Schedule 4 show

the detailed monthly performance data for KEDNY and KEDLI, respectively, during the 2020-2022 period.

Q. How were the incentive measures calculated in the 2016 KEDNY and KEDLI Rate Cases?

A. For KEDNY, seven years of termination and uncollectible expense data was used, with the high and low outliers omitted, to calculate average amounts of each measure. The targeted reductions were then set at one standard deviation from the average. Because only two years of data were available for KEDLI following the separation of the Long Island Power Authority's ("LIPA") electric business from National Grid in 2014, the percentages for KEDNY were applied to KEDLI's data to determine the incentive.

Q. How do the Companies propose to calculate the incentive measures in these cases?

A. The Companies propose to continue the measure, which is positive only, using the same methodology approved for KEDNY in the 2016 KEDNY and KEDLI Rate Cases, as discussed above.

Q. What are the Companies' proposed targets and thresholds for the termination and uncollectible incentive performance measures?

A. KEDNY and KEDLI's proposed targets for the performance measure are the targets established in the 2016 KEDNY and KEDLI Rate Cases set forth in Tables 5 and 6 below:

Table 5: KEDNY Service Termination Proposed Metrics

Metric	Terminations	Uncollectibles
Average	≤ 34,638	≤ $12,494,661
Threshold	≤ 37,916	≤ $16,119,628

KEDNY's average is based on an adjusted five years of data (*i.e.*, seven years of data with the highest and lowest years omitted), with the threshold being a reduction of one standard deviation from the average, as shown in Exhibit __ (CP-), Schedule 5.

Table 6: KEDLI Service Termination Proposed Metrics

Metric	Terminations	Uncollectibles
Average	≤ 12,470	$4,392,413
Threshold	≤13,647	$5,602,568

KEDLI's average is based on the two years of available data, with the threshold being a reduction of one standard deviation from the average, as shown in Exhibit __ (CP-X), Schedule 5.

Q. What incentive amounts are the Companies proposing for the Service Termination and Uncollectible Performance Measure?

A. The Companies propose to use the same incentive amounts established in the 2016 KEDNY and KEDLI Rate Cases as set forth in Tables 7 and 8 below:

Table 7: KEDNY Incentives

Targets Achieved	Incentive Amount
Both targets achieved	$1.26m
One target achieved while the other target is ≤ threshold	$0.54m

Table 8: KEDLI Incentives

Targets Achieved	Incentive Amount
Both targets achieved	$0.84m
One target achieved while the other target is ≤ threshold	$0.36m

VI. Residential Credit Card Fees

Q. Please describe the Companies' current options regarding payments made using credit and debit cards (collectively "CC/DC")?

A. Currently, customers can pay their utility bills via CC/DC in several ways. Customers can pay using a card on the Companies' website or through the

Companies' mobile app. Customers enrolled in electronic billing receive an email with a link that takes them to a site where they can pay via CC/DC. Finally, customers can pay by phone using the automated telephone system (*i.e.*, IVR). Residential customers who use one of these options to make a CC/DC payment incur a transaction fee of $1.75 for payment amounts up to $1,300. The customer can make up to five payments in a 30-day period.

Q. Do the Companies propose to change how CC/DC payments are handled?

A. Yes. The Companies propose to include in base rates the estimated cost to recover the fees incurred by KEDNY and KEDLI when residential customers make CC/DC payments. This is referred to as a "no-fee model." The no-fee model would eliminate the per-transaction cost to customers paying by CC/DC by shifting the cost into base rates.

Q. Why are the Companies making this proposal for a no-fee model?

A. According to Federal Reserve payment data collected in 2020, there was a decline in card usage due to COVID. Prior to the COVID-19 pandemic, the Companies saw steady increases in card usage. The Companies experienced a decline during COVID, but volumes have begun to increase back to the standard yearly increase experienced pre-COVID. KEDNY saw

a 35 percent increase in CC/DC volumes from 2020 to 2021. KEDLI volumes increased at a lower rate but are now trending back to the typical annual year over year increases.

In response to surveys, customers have indicated a preference for CC/DC payments with no fee. Customers have become accustomed to paying without convenience fees when shopping online or paying for services like their mobile phones. Moving to a no-fee model will help meet customer expectations for improved payment options and enhance customer ease and overall experience. In addition, the Companies believe transitioning to a no-fee model will benefit customers who receive public assistance benefits via pre-paid debit cards. Under the current model, these customers can pay their utility bill with their pre-paid debit card but must use a portion of the benefits to cover the vendor fee for CC/DC payments, resulting in an economic disadvantage. Adopting a no-fee model will eliminate the need for a portion of public assistance benefits to be used to pay this administrative fee. A no-fee model would provide customers options to enroll in recurring CC/DC payments. Also, with a no-fee model the Companies can apply to VISA for a utility rate that would potentially reduce the fees even lower than current rates for all accepted credit cards.

Additional details concerning the Companies' no-fee model proposal are set forth in Exhibit __ (CP-5).

Q. Has the Commission approved utility proposals to shift to the no-fee model?

A. Yes. The Commission has approved similar proposals for New York State Electric and Gas Corporation, Rochester Gas and Electric Corporation, Central Hudson Gas and Electric Corporation, and Orange and Rockland Utilities. The Companies' proposal is similar to other utilities' practices.

Q. What are the Companies' estimated total annual costs resulting from a transition to the no-fee model?

A. Using existing per transaction costs for CC/DC payments, the estimated annual costs for KEDLI associated with the new program would be $1.255 million, $1.883 million, $2.825 million, and $4.237 million for the Rate Year, Data Year 1, Data Year 2, and Data Year 3, respectively. The estimated annual costs for KEDNY would be $3.174 million, $4.761 million, $7.142 million, and $10.712 million for the Rate Year, Data Year 1, Data Year 2, and Data Year 3, respectively. Details on the calculation of estimated costs are provided in Exhibit ___ (RRP-3, Schedule 40).

Q. Do the Companies anticipate seeing an increase in payments made via CC/DC under a no-fee model?

A. Yes. Based on an analysis involving National Grid's current third-party payment processor and the Companies' current volumes of CC/DC payments an increase is anticipated in overall CC/DC usage. The Companies have seen an average of a 12 percent increase for KEDNY and a 19 percent increase for KEDLI since 2017, not including the impact of COVID. The no-fee model would attract more customers; therefore, the Companies anticipate an additional increase on top of this. The Companies also anticipate an increase in CC/DC payments that are re-occurring.

Q. Do the Companies believe a reconciliation mechanism is appropriate for implementation of the no-fee model?

A. Yes. Considering the uncertainty associated with the transaction fees and potential increase in customers making CC/DC payments in response to the no-fee model, the Companies believe a two-way deferral mechanism should be put in place for the no-fee model. If the costs to provide the no-fee model exceed the rate allowance, the Companies would defer the shortfall for future recovery from customers, or alternatively, if the costs are less than the rate allowance, the Companies would defer the excess for the benefit of customers. As discussed in the testimony of the Rate Design Panel, the

Companies are proposing to include the reconciliation of the no-fee model in the Rate Adjustment Mechanism ("RAM").

VII. Collection Replevin Costs

Q. Please describe the collection process used by the Companies to disconnect service for non-payment.

A. Field Collections begin after a final notice has been issued to the customer. Field Collections are the actions taken by the Companies to collect payments in a manner that is mindful of customer rights, protections, and safety. As a last resort, service may be terminated because of non-payment. If, while attempting to terminate service, access to the meter is not available during a visit, a second field visit is issued. If access is still not available, the account will be referred for either a curb valve cut or collection replevin.

Collection replevin is the legal process used to gain access to a meter for termination including notifications to the customer, securing a warrant/writ to obtain access to the meter, and ultimately a field visit to serve the warrant/writ that includes a field collector, sheriff/law enforcement and a locksmith. This is used as a last resort to obtain access to the meter.

Q. Please describe how the Companies' collection replevin costs in the Historic Test Year compare to other years.

A. Collection replevin costs in the Historic Test Year are well below normal years as residential field activity did not resume after being paused during COVID at KEDNY until June 2022 and at KEDLI until July 2022. Because collection replevin occurs after a field visit to terminate service, collection replevin activity was limited in the first half of the Historic Test Year.

Table 9 below shows the collection replevin costs for the three years prior to the COVID-19 pandemic, 2017, 2018 and 2019 as well as the costs incurred during the three COVID-19 pandemic years including the Historic Test Year.

Table 9: Collection Replevin Costs CY 2017-2022

Year	KEDNY	KEDLI
CY 2017	$1,870,676	$250,126
CY 2018	$1,960,169	$201,242
CY 2019	$1,692,176	$366,238
3 Year Avg 17-19	**$1,841,007**	**$272,536**
CY 2020	$794,955	$235,486
CY 2021	$0.00	$0.00
CY 2022 (HTY)	$769,977	$301,555
3 Year Avg 20-22	**$521,644**	**$179,013**

Q. What level of collection replevin costs are the Companies proposing to include in their revenue requirements in these cases?

A. The Companies are proposing to include the amount of collection replevin costs incurred on average over the three-year period 2017-2019, or $1,841,007 for KEDNY and $272,536 for KEDLI, as reflected in the direct testimonies of the Revenue Requirement Panels, Exhibit ___ (RRP-3), Schedule 2. The Companies project that the number of customers in arrears during the COVID-19 pandemic has increased, field activity will resume to historic levels which will result in higher volumes of accounts needing to go through collection replevin and an increase in collection replevin expense to levels incurred during the CY 2017-CY2019 period.

VIII. CRIS to CSS Conversion

Q. Is National Grid currently engaged in consolidating the customer system used by its utility operating companies into a single system?

A. Yes. As described throughout this testimony, the transformation of National Grid's key customer processes, systems and capabilities is critical to ensuring that customer expectations can be met and existing levels of customer satisfaction can be maintained in a constantly evolving environment. As one of the initial steps in this process, National Grid is consolidating the Customer Response Information System ("CRIS") used

by KEDNY and National Grid's Massachusetts gas operating companies into the Customer Service System ("CSS") used by National Grid's other utility operating companies, including KEDLI and Niagara Mohawk.

The conversion to CSS will result in a single customer information system for all National Grid operating companies focusing on single invoicing and receivables management. The consolidation of the Companies' customer information systems will enable National Grid to meet customers' changing expectations with greater efficiency, reliability, scalability, and extensibility for future products and services. The flexibility afforded by the CSS system will allow the Companies to make incremental changes to the system to address individual customer experience issues as they arise.

The primary benefits that the Companies will obtain over time from operating a single customer information system are more consistent customer service through a unified customer experience, the development of consistent employee processes, and the ability to eliminate duplicative operational and support teams.

Q. What are the incremental costs to the Companies associated with the CSS conversion?

A. The costs of the CSS conversion are discussed by the IT Panel and are set forth in Exhibit __ (ITDP-4).

Q. When will the CSS system be placed in service for KEDNY?

A. The CSS system is anticipated to be placed in service in the spring of 2024.

IX. Energy Efficiency

Q. Please provide an overview of the Companies' energy efficiency programs.

A. The Companies offer a variety of gas energy efficiency programs for their customers, as described in the 2019 – 2025 System Energy Efficiency Plan ("SEEP") filed with the Commission on October 31, 2022, in Cases 18-M-0084 and 15-M-0252 ("2022 SEEP Filing"), and subsequently updated in quarterly revisions, filed most recently on March 31, 2023. The Companies' energy efficiency programs are designed to support the progression of market-based solutions and the penetration of emerging and transformative technologies in New York, consistent with the CLCPA, the NE:NY proceeding, and overall gas system modernization efforts. The Companies continue to strive to meet or exceed the current energy savings

goals established in the NE:NY proceeding while finding new opportunities to reduce implementation and administration costs of their energy efficiency programs. Expanded energy efficiency offerings will take a more holistic approach to delivering customer solutions that are accessible to a wider range of customers, including those in Disadvantaged Communities, and achieve energy savings in the most cost-effective manner possible. The portfolio of programs includes non-residential, residential, and multi-family sector-specific offerings designed to serve the diverse needs of all three broad market sectors.

During the past three years, the Companies' overall gas energy efficiency program processed more than one million applications and helped customers save approximately 3.73 million dekatherms. With the ramp-up in dekatherm savings expected through 2025 in the NE:NY Order, it is clear that new and innovative programs will be required to meet not only these goals, but also those that are to be established in the NE:NY Interim Review (described more fully below). Continued growth and expansion of midstream and upstream programs will increase the volume of participants. Work with trade allies such as home improvement contractors, plumbers and insulation installers will position more customers and contractors to participate in our programs. Innovative program structures will open more

potential financing programs. In addition, a deeper, more holistic clean energy transition process with larger customers could help to unlock significant potential savings. In the Companies' Annual Demand-Side Management filings, the Companies have demonstrated the impact that building envelope programs can exhibit, as well as the need for additional resources to ensure the programs' success.

Q. Have the energy efficiency programs helped the Companies achieve their billed gas usage reduction goals?

A. Yes. In the 2019 KEDNY and KEDLI Rate Cases, the Companies agreed to operate their systems with the objective of achieving one half of one percent reductions in billed gas usage as compared to the levels in the then-current forecast. The energy efficiency programs are one of the primary means by which the Companies can enable customers to reduce their annual gas consumption. In the Companies' gas load forecast, a certain amount of energy efficiency savings is assumed to be delivered by the Companies' energy efficiency programs; energy efficiency savings achieved over and above that amount would contribute to the attainment of the billed gas usage reduction goals for the lifetime of the energy efficiency measures.

Q. Please describe the New Efficiency: New York Order.

A. NE:NY is a statewide, comprehensive energy efficiency strategy that was initially outlined in a Whitepaper developed by DPS Staff and NYSERDA, and adopted by the Commission in its "Accelerated Efficiency Order" issued on December 13, 2018 in Case 18-M-0084. The Accelerated Efficiency Order established energy efficiency as the cornerstone of New York's national leadership on clean energy and climate change by introducing a statewide goal of 185 trillion British Thermal units ("TBtu") of customer-level energy reduction by 2025. The Order also established an iterative approach with immediate accelerated utility targets and budgets for 2019-2020, and was followed by the Commission's "The Energy Efficiency and Electrification Order" (the "2020 NE:NY Order"), issued January 16, 2020 in Case 18-M-0084, which authorized the energy efficiency budgets and targets through 2025 to support achievement of the State's goals. For LMI customers, the 2020 NE:NY Order commits 20 percent of incremental energy efficiency funding to support LMI energy efficiency programs. Consistent with these orders, National Grid has been fully engaged in the clean energy future by creating a suite of energy efficiency programs under NE:NY.

Q. Please describe the NE:NY Order Interim Review.

A. As required by the 2020 NE:NY Order, the utility energy efficiency portfolios must undergo "interim reviews." These reviews are intended to provide an opportunity to assess progress to date and consider modifications that will improve the management of the portfolios, increase the effectiveness of the programs, and ensure alignment with evolving state policies. The interim review process is currently underway, and it is expected that the Commission will issue an order in mid-to-late 2023 with updated energy efficiency program budgets and targets.

Q. Describe the Companies' energy efficiency efforts over the term of the current rate plans.

A. At the beginning of the period, the Companies' efforts focused on energy efficient furnaces and heating and cooking equipment. More recently, because the Companies are not positioned to deliver electrification options as gas-only utilities, the approach has shifted focusing on building envelope enhancements (*i.e.*, weatherization) and the associated long-lived and durable usage and peak reductions that may be obtained. This focus is consistent with the Commission's direction in the 2020 NE:NY Order and the Climate Action Council's ("CAC") Final Scoping Plan. The Companies launched weatherization programs late in calendar year 2021. In 2022, The

Residential Weatherization Program in KEDLI and KEDNY reacted to market feedback resulting in improvements to the program and the customer experience. These changes increased customer and contractor participation, resulting in serving over 2,000 customers from October 2022 to March, 2023 compared to 25 customers served from October 2021 to March 2022. This success has continued in 2023 with high interest from customers and contractors who want to become Approved Program Partners.

The Companies anticipate serving around 3,000 customers this year, with that number continuing to grow as more contractors submit project applications. To continue scaling these programs to deliver meaningful reductions in customers' energy usage, the Companies are using unspent funds from prior years, and planning to pull forward funding that was allocated for NE:NY 2024 and 2025 annual energy efficiency budgets. With these efforts, however, the Companies are forecasting to spend the entire budget sooner than 2025 to achieve accelerated benefits, which leaves a potential funding gap. As a result, the Companies are considering opportunities (*e.g.*, the NE:NY Interim Review) to propose additional energy efficiency funding to continue delivering these meaningful programs at scale in 2024 and 2025.

Q. How have the Companies' energy efficiency efforts over the term of the current rate plan assisted LMI customers?

A. The Companies offer a number of energy efficiency programs tailored to LMI customers and participate in the LMI Joint Management Committee, which coordinates offerings for LMI customers on a statewide basis. KEDNY provides funding to the statewide Empower residential 1-4 family program, which is administered by NYSERDA. KEDLI administers the HEAT program, which provides low- to no-cost energy efficiency upgrades to customers. The KEDLI HEAT program built upon the growing momentum from 2021 to achieve higher savings than previous program years and higher than planned savings for 2022 as compared to targets in the Statewide LMI Implementation Plan. In 2022, KEDLI HEAT expanded the pool of potential program participants by launching a moderate-income incentive pilot. An increase in participants has led to an increase in program spending and savings achieved. The KEDLI HEAT program will continue its moderate-income pilot in 2023 and then evaluate the effectiveness of that incentive structure.

Additionally, the Companies have an Affordable Multifamily Energy Efficiency Program ("AMEEP") for residential multifamily customers, which is coordinated with other utilities to ensure consistency across Downstate New York. The AMEEP program built a significant number of

projects during the first full year the program was in the market in KEDNY's service territory in 2022. While KEDLI's service territory features a lower proportion of multifamily housing and has had limited uptake to date, the Companies are actively partnering with other utilities to boost participation in this program.

Q. What are the current NE:NY budgets and how are energy efficiency costs recovered?

A. The Companies' energy efficiency and low-income NE:NY program costs are recovered through base rates as established in the 2019 KEDNY and KEDLI Rate Cases. The annual budgets for the KEDNY portfolio were $20.52 million, $26.57 million, and $33.71 million for calendar years 2021, 2022, and 2023, respectively. The annual budgets for the KEDLI portfolio were $20.57 million, $24.87 million, and $29.12 million for calendar years 2021, 2022, and 2023, respectively.

As discussed previously, KEDLI also administers the KEDLI HEAT program as part of its LMI NE:NY portfolio, using funding authorized in the 2019 KEDNY and KEDLI Rate Cases at $2.5 million per year in addition to NE:NY LMI budgets. The Companies propose to continue this program and the associated funding.

Q. How are energy efficiency program budgets determined?

A. In the 2020 NE:NY Order, the Commission set utility-specific targets and budgets for calendar years 2021-2025, which the Companies are using as a baseline for the proposed budget amounts in these rate filings.

Q. What budgets and targets for gas energy efficiency did the 2020 NE:NY Order set for the Company?

A. The 2020 NE:NY Order established budgets and targets from calendar year 2021 through calendar year 2025. Appendix A of the 2020 NE:NY Order set an aggregate budget for the KEDNY energy efficiency portfolios of $154.99 million to achieve a target savings of 4.26 million MMBtu and an aggregate budget for the KEDLI energy efficiency portfolio of $113.55 million to achieve a target savings of 3.70 million MMBtu. The Companies anticipate that continued budgets and targets for years beyond 2025 will be established during the NE:NY Interim Review process described previously.

Q. As the 2020 NE:NY Order only sets forth budgets through 2025, how have the Companies forecast budgets beyond 2025?

A. The Companies propose to incorporate the previously approved NE:NY budget into each year of the revenue requirements, as illustrated in

Exhibit___(RRP-3), Schedule 25 to the Revenue Requirement Panels' testimonies. For years beyond 2025, the Commission-authorized 2025 budget was used. The NE:NY Interim Review is currently underway and the Companies anticipate revised budgets and targets will be established. Once the updated NE:NY budgets and targets become available, the Companies will update their revenue requirements accordingly, assuming that those updates are finalized prior to the conclusion of these rate proceedings.

Q. How have the Companies' spending on energy efficiency programs compared to previously authorized NE:NY budgets?

A. The Companies' spending in 2020 and 2021 was lower than the Commission-authorized budgets. In 2022 and 2023, the Companies have spent and will spend in excess of the Commission-authorized budgets for those years while also exhausting previously authorized unspent funding from the prior years of the NE:NY period. To allow for the weatherization programs to continue alongside the traditional energy efficiency program portfolio mix, the Companies are accelerating spending of the Commission-authorized 2024 and 2025 budgets, as permitted by the 2020 NE:NY Order.

Q. Do the Companies have a proposal in the event that the updated NE:NY Commission-approved budgets are not available before rates are set in this proceeding?

A. Yes. If there are no updated NE:NY budgets and targets available before these proceedings are concluded, the Companies propose a true-up mechanism that will reconcile recovery of the subsequently updated budgets for NE:NY programs against the NE:NY annual energy efficiency budgets used in these filings and permit the Companies to surcharge any shortfalls.

Q. Are the Companies proposing additional programs in these filings beyond those set forth in the NE:NY proceeding?

A. Yes. The Companies are proposing the following incremental energy efficiency programs:

(1) Weatherization Health & Safety

(2) Disadvantaged Community Outreach

(3) Energy Efficiency Language Access Pilot

(4) Digital Building Replica Pilot (School Buildings in Disadvantaged Communities)

To deliver these new programs, achieve the significantly expanding energy efficiency targets in future years, and support the goals of the CLCPA,

especially in Disadvantaged Communities, the Companies will require additional resources, including 14 full-time equivalent ("FTE") positions. Additional information concerning these proposed programs is set forth in Exhibit ___ (CP-6).

Q. Please describe the proposed Weatherization Health & Safety Program and the associated costs.

A. The Weatherization Health & Safety Program will enable remediation of health and safety barriers to weatherization, at no cost to the customer. This effort is needed to allow LMI customers and customers in Disadvantaged Communities to access weatherization services more equitably, because weatherization often involves significant home construction projects. Barriers can include carbon monoxide hazards, mold, pests, insufficient wiring or ventilation, plumbing problems, blocked access to spaces in the home, unsafe appliances, and unsafe condition of the customer-owned gas line. Over the last fiscal year, the Companies began providing these remediation and removal services as a pilot, using National Grid shareholder funding. During the pilot, remediation actions include installation of ventilation fans, installation of carbon monoxide detectors, tuning natural gas equipment, septic and plumbing troubleshooting, roof

replacement, removal of mold and asbestos, pest control, moisture control, and correcting potential electrical hazards.

KEDNY and KEDLI administered the pilot program in somewhat different ways. In KEDLI's case, the contractor responsible for installing the energy efficiency measures hires all the necessary installation or repair contractors to remediate one or all issues at a customer's premises and then invoices the Company upon completion. Initially, these activities are identified through the energy audit, performed as part of the application for the KEDLI HEAT program. When health and safety barriers are identified during the audit, then they are prioritized, and contractors are hired to perform remediation. Upon completion, the actual weatherization will commence. In KEDNY's case, it coordinates with and provides funding to NYSERDA for the program, which in turn covers the necessary health and safety items as part of its EmPower projects.

Because the pilot program has proven beneficial for the uptake of weatherization in Disadvantaged Communities served by the Companies, the Companies propose to continue offering the program in the Rate Year and beyond. The program will operate as a companion to NYSERDA's EmPower Plus and the KEDLI HEAT programs and allow continued

progress in the Companies' approach to addressing these types of barriers, enabling better service for LMI customers and those living in Disadvantaged Communities. The Companies will track the health and safety spending that allows weatherization participation. The requested budgets will be designated to serve LMI and Disadvantaged Community customers (those being served by EmPower or KEDLI HEAT). The proposed costs to run the program are $0.750 million per year in KEDNY and $1.75 million per year in KEDLI, as set forth on Exhibit ___ (CP-6), Schedule 1.

Q. Please describe the Companies proposed Disadvantaged Community Outreach pilot program and the associated costs.

A. This pilot program will utilize multiple strategies to engage customers within Disadvantaged Communities to participate in energy efficiency programs. These efforts will include in-person events, localized social media campaigns, distribution of innovative education materials, community partnerships, and customer referrals. The goal here is to identify key barriers to engagement in energy efficiency programs and strategies to overcome those barriers. The program also aims to identify the most effective ways to promote energy efficiency programs.

The pilot does not duplicate any current NYSERDA initiatives. NYSERDA Clean Energy Hubs (set up in connection with nonprofits around the state) seek to solve the same challenge, however the NYSERDA outreach model testing is not limited to serving Disadvantaged Communities and has a broader focus around utility-customer relationships. The Companies' proposed program is solely focused on engagement in Disadvantaged Communities in KEDNY's and KEDLI's service territories. Research questions and strategies would align directly with enrolling customers in the Companies' programs during the rate plan. A combination of in-house and vendor resources will implement the pilot. The outcomes will ensure future outreach and engagement uses the most effective channels. In addition, information gained from the program will help the Companies' sales and marketing teams use communications that are most meaningful to and aligned with customers residing in Disadvantaged Communities.

The cost to deliver this program is $0.500 million (split between KEDNY and KEDLI) in the Rate Year and shown in the direct testimony of the Revenue Requirement Panels, Exhibit___(RRP-3), Schedule 40. The Companies are additionally proposing an enhanced marketing and outreach program for LMI customers discussed previously that will be focused on strategies to engage LMI customers to participate in bill assistance

programs specifically, but will coordinate efforts with the Disadvantaged Communities outreach pilot to holistically approach outreach to LMI customers and customers in Disadvantaged Communities regarding both energy efficiency and bill assistance. Additional information concerning the proposed program is set forth on Exhibit ___ (CP-6), Schedule 2.

Q. Please describe the proposed Language Access Program and the associated costs.

A. Experience indicates that language access is a significant barrier to customer participation in energy efficiency programs for LMI customers and customers in Disadvantaged Communities. Currently, inquiries related to energy efficiency programs are directed to external implementation vendors, and not to the in-house call center. Implementation vendors interface directly with contractor networks and recruit and enroll customers in the Companies' energy efficiency programs. In general, most vendors do not have in-house capability to provide the necessary language services.

A strategic approach is necessary to identify best practices and begin to deploy communications specific to the Companies' energy efficiency programs in multiple languages. Under the proposed pilot program, the Companies' program teams will work with interested stakeholders to

provide a mix of language accessibility services to apply to websites, flyers, brochures, direct mailers, and advertisements, when appropriate. The Companies will utilize in-house marketing services and/or specialty vendors. Services may also include remote translation and translation of written materials. Because there are no direct savings associated with the pilot program, the Companies propose to fund it outside of the NE:NY program. The purpose of evaluating new strategies using non-NE:NY funds is to vet these techniques before looking at any embedded, full-scale implementation using program administration budgets, ensuring efficient program delivery and cost effectiveness. This will ensure that the Companies' attempt to increase participation will not indirectly misalign the run rates of individual programs. A similar effort has been undertaken for National Grid's Massachusetts energy efficiency programs and has shown a positive effect. The cost to implement this program is a $0.250 million one-time cost in the Rate Year, shared equally between KEDNY and KEDLI, as shown in the direct testimony of the Revenue Requirements Panels, Exhibit_(RRP-3), Schedule 40. The pilot solution will be conducted simultaneously with the implementation of any existing, more mature solutions. The results will inform the Companies understanding of the best approach and ideal fit to incorporate into the respective programs.

Additional information concerning this program is set forth on Exhibit __ (CP-6), Schedule 3.

Q. Please describe the proposed Digital Building Replica Pilot and the associated costs.

A. The Companies propose to create a data model of a building that functions identically to the physical buildings being modeled, which will enable the Companies to help customers understand the energy impact of various building decisions. The replica will also provide customers with greater ability to plan energy efficiency upgrades without (or in advance of) hiring an external vendor. The model will be created for three to four school buildings within Disadvantaged Communities to predict energy savings from participation in the Companies' energy efficiency programs. The pilot aims to inform: (i) the types of measures that are most cost-effective and yield the most savings for large buildings; (ii) whether a more universal model could be created to serve a wider range of customers, allowing them to plan and initiate efficiency upgrades they may have otherwise been unaware of; (iii) whether, from a financial perspective, the development of a building-specific model is cost effective to assist commercial and industrial ("C&I") customers in Disadvantaged Communities in planning potential energy efficiency upgrades, and (iv) whether utility incentives

would support greater energy efficiency penetration. The proposal is a combination of an energy audit and building management system. The associated cost to run the pilot is a $0.5 million one-time cost in the Rate Year, shared between KEDNY and KEDLI at a 40-60 percent split, respectively.

Additionally, the Companies will attempt to work with Con Edison and PSE&G Long Island, in their respective territories, to incorporate an electric component into the model, allowing customers to receive a holistic energy assessment, rather than a gas-focused assessment. Additional information concerning this program is set forth in Exhibit ___ (CP-6), Schedule 4. The costs for this program are set forth in the direct testimony of the Revenue Requirement Panels, Exhibit ___ (RRP-3), Schedule 40.

Q. Are there any proposed system upgrades that will benefit energy efficiency?

A. Yes. The following system upgrades are proposed to support the Companies' energy efficiency programs:

1. Clean Energy 2.0 – The Companies propose to replace InDemand (the Companies' demand-side management system) with a system known as Clean Energy 2.0. Currently, InDemand tracks all energy efficiency

program expenditures and savings in a detailed manner and the data is used for both internal and external reporting. InDemand was, however, implemented more than 20 years ago and is composed of fragmented architecture. Maintenance is labor intensive, difficult to resource, and costly. The new system is key to allowing the Companies to keep up with the increasing demand for program delivery. It will greatly reduce cycle time, make energy efficiency less dependent on program outsourcing, and simplify system maintenance. This Software as a Service platform is best in class among utilities and comes preconfigured with the Companies' most essential requirements. Additional information concerning the costs of this system upgrade is provided in the IT&D Panel's testimony. In addition, as discussed more fully below, the Companies are proposing to add one FTE to assist with the operation of this system.

2. Green Button Connect – The Companies are also proposing to implement Green Button Connect. With the Green Button Connect interface, customers will be able to choose to share their energy usage and billing data with authorized third parties. Once a customer authorizes a third-party to have access to their data, Green Button Connect facilitates computer-to-computer communication and provides a standardized protocol to provide the third parties with access. Customers can automate the process and

securely authorize the Company and designated third parties to send and receive data on their behalf. This approach is also consistent with the Commission's "Order Adopting Accelerated Energy Efficiency Targets" issued on December 13, 2018 in Case 18-M-0084, which directed near-term actions to enable access to energy-related data. The procurement and initial setup of the Green Button Connect interface for KEDNY and KEDLI will be handled by the IT&D organization. As set forth below, the Companies propose one half of an FTE in the Customer Enablement organization to support Green Button Connect implementation. The Green Button Connect upgrade costs are set forth in the IT&D Panel's testimony.

Q. In addition to the proposed programs are the Companies requesting funding for additional FTEs to enhance their energy efficiency efforts?

A. Yes. Since the issuance of the 2020 NE:NY Order, which increased the energy efficiency savings targets by 449 percent and 296 percent for KEDLI and KEDNY, respectively, for 2021 through 2025, the focus of energy efficiency programs has changed from programs that administer monetary incentives to install more efficient gas furnaces and appliances to a far more labor-intensive emphasis on enhancing building envelopes (*i.e.*, weatherization). As the CAC Final Scoping Plan recognized, challenges

abound in convincing owners of homes and businesses to adopt weatherization measures:

> Financial incentive programs will need to scale up dramatically to motivate millions of homeowners and building owners to install high-efficiency electric heat pumps and make energy efficiency improvements such as sealing air leaks, adding insulation, and using building controls. Building envelope sealing and weatherization measures improve comfort (reducing drafts, cold surfaces, and noise pollution) and reduce risk of pests and mold; moreover, to promote healthy homes, weatherization needs to include appropriate ventilation systems and must take place after any pre-existing safety and health issues (such as mold, mustiness, or high levels of formaldehyde and other air pollutants) are addressed.…Although many energy efficiency upgrades improve housing quality and are cost-effective, these projects can be disruptive for occupants or simply not a priority for owners. For most existing homes and buildings, moreover, the current upfront costs of building electrification and related energy efficiency upgrades such as air sealing, insulation, and building controls can be significantly higher than costs for replacing fossil fuel equipment. (p. 192).

The Final Scoping Plan goes on to discuss the efforts that are required to make such programs successful, especially for our LMI customers in Disadvantaged Communities:

> Dedicated financial support programs for LMI households, affordable and public housing, and Disadvantaged Communities are essential to enable these households to make and benefit from energy upgrades that improve housing quality and comfort, with careful attention to impacts on housing and energy affordability. For these households and buildings, grant funding will need to cover most or all the near-term cost premium for building

> electrification and efficiency upgrades, considering economic realities and to remedy unjust patterns of redlining and underinvestment in Disadvantaged Communities. A major investment of public funding, at a scale and along a timeframe that aligns with the adoption of zero-emission codes and standards, will be needed to decarbonize and improve the quality of housing for LMI households, affordable and public housing, and in Disadvantaged Communities. (p. 194).

Given the challenges involved in running, administering, and promoting this new effort, the Companies are proposing 14 additional FTEs to help ensure the delivery of targets set through 2025 and beyond. The Companies current energy efficiency teams are exceeding their work capacities, and with the further scaling of these programs, the Companies anticipate such resources will be further strained with the significant expansion of energy efficiency offerings.

To deliver on the aggressive targets that have been set by the CLCPA, as well as the NE:NY initiatives to be addressed in the Interim Review, the Companies are committed to strengthening their existing building envelope programs and developing new programs that will achieve the clean energy goals. Likewise, the Companies are committed to ensuring LMI customers and frontline Disadvantaged Communities access and receive the full benefits of these programs. The additional FTEs will focus specifically on the need for expansion of deeper savings initiatives such as weatherization, especially in the LMI and Disadvantaged Community sectors. Although the

Companies' initial efforts in transitioning programs to the more labor-intensive building envelope measures ran into headwinds due to the pandemic and supply chain shortages, recent experience indicates that interest in weatherization programs is intensifying dramatically. The cohort of existing FTEs in the energy efficiency case were assembled to design the first layer of program build and delivery, without future expansion considered. Notably, for many of the program types being emphasized for the Rate Year and Data Years, including custom C&I projects, small business services programs, weatherization, and multifamily programs, applications are processed as "custom" applications, requiring pre-approval, individual review, and post-installation inspection by an implementation vendor, as well as a touchpoint with the National Grid Project Manager at each stage. Now that the portfolios are maturing and ready to deliver more to customers, they require a proportionate workforce to handle the dramatically increasing demand.

Q. Please describe the roles the 14 additional FTEs will play in assisting the Companies in meeting their future energy efficiency targets.

A. The additional FTEs will be assigned to areas of the market where the Companies anticipate the most growth and opportunity. As the Companies develop and implement programs, measures, and marketing strategies in-

line with the increasing shift toward aggressive building envelope enhancement, many initiatives will need to be adjusted. The demands of the energy efficiency market require flexibility and adaptability within the Companies' workforce as new and innovative programs are developed and offered to customers. For example, some programs and strategies will require more resources, especially during program launch as knowledge of customers' needs and wants increase, while more established programs and market segments will require fewer resources as market transformation occurs.

The 14 FTEs proposed to assist in the energy efficiency area will initially include the following roles shared equally among KEDNY and KEDLI:

- Program Delivery – Seven FTEs

To help ensure the success of enhanced energy efficiency efforts, the Companies need seven program delivery FTEs to launch new offerings and manage the expansion of existing energy efficiency programs. The change from the Companies' previously existing rebate programs to programs emphasizing building envelopes and other strategic measures is challenging and far more labor-intensive. The Companies new energy efficiency programs will require complex management of customers, properties, financial assistance, and an array of coordinated activities, including

building a network of trade allies. In fact, although since the 2019 KEDNY and KEDLI Rate Cases, the programs the Companies are offering have nearly doubled in number and have greatly expanded in scope, the FTEs assigned to these programs have remained roughly the same. The additional FTEs are needed to provide direct oversight of vendors and contractors, application processing, program administration, and reporting requirements on program metrics, including LMI.

As noted above, the LMI portfolios have just recently seen robust development, and now require heightened attention, similar to the existing market rate portfolios, which are already experiencing their own backlogs. To deliver on the CLCPA requirement of ensuring that Disadvantaged Communities receive at least 35 percent of the overall benefits of spending on energy efficiency programs, the evolving portfolios will require increasing resources to facilitate program development and delivery.

In addition to dedicating resources to bringing programs to customers residing in Disadvantaged Communities, support is necessary for the weatherization programs to support the dramatically higher level of applications in the residential and multifamily sectors and increasing demand from C&I customers. Accordingly, two additional Program

Managers are required – one for LMI Residential and another for LMI Multifamily – to establish dedicated LMI managers who can balance the existing and expanding workload of the weatherization programs. The current volume of multifamily projects, which are experience high growth and customer interest, is too high for existing Program Management resources, particularly in KEDNY's service territory, where the majority of multifamily program applications are New York City Housing Authority ("NYCHA") buildings. The additional resources will enable the Company to provide responsive and efficient application processing.

In addition, Small and Medium Businesses ("SMBs") currently access incentives through the Large Commercial and Industrial ("LCI") Programs. The Companies have determined that a more personalized SMB experience and customized solutions are needed for this customer segment to participate in incentive programs. With a more focused approach, the Companies believe they can exceed the current SMB participation rates of nine percent in KEDNY and six percent in KEDLI. Additionally, SMBs have been especially hard hit by the COVID-19 pandemic and current economic pressures. The complexity of the SMB market segment requires customized program administration, tailored marketing to increase customer awareness, and engagement with different trade allies than those

that commonly participate in LCI. Compounding the needs of the SMB segment is the fact that many businesses are facing staffing shortages and do not have the time or expertise to support energy efficiency and must rely, instead, on vendor and program support. Therefore, to better serve and increase participation in the SMB market segment, the Company requires one SMB Program Manager. The Program Manager will be responsible for implementing and managing the program, driving performance, engaging with trade allies and other market actors, streamlining outreach and participation strategy, managing application processing and administration and reporting on program metrics. Supporting this customer segment will also require an additional Analyst who will respond to customer inquiries, streamline participation and be a single point of contact for customers participating across different programs.

In addition to program management support, the growing demand for weatherization also requires two additional residential trade ally representatives. To support continued growth and achieve weatherization market transformation, an established trade ally network of in-home installation contractors is needed. The trade ally representatives will enhance trade communications with vendors and customers on incentive

offerings, establish a market-partners network, and facilitate program growth.

Finally, based on the growing responsibilities of the existing energy efficiency managers and the onboarding of additional resources, an additional manager position is required to help lead the teams' productivity, provide oversight, and more properly distribute the span of control.

- Channel Sales – Three FTEs

Interest among C&I customers in weatherization programs is increasing, and the Companies believe there is a significant opportunity to reduce gas usage among this class of customers. Thus far, the Companies' have seen slower adoption among customers eligible for the Non-Residential Weatherization program compared to the Residential Weatherization program, despite targeted C&I customer marketing and higher incentives than are offered for traditional gas equipment replacement measures. Currently, there are two Channel Sales Representatives for the Non-Residential Weatherization programs in the Companies' service territories. The new FTEs will provide dedicated resources for the Multifamily and Weatherization programs while continuing to build and maintain the trade ally network for existing non-residential programs and providing more

enhanced support for Disadvantaged Communities. The feedback these Channel Sales roles provide to the product delivery team is critical to informing process improvements to the programs. It allows the Companies to streamline the experience for customers and trade allies in their programs, yet there is more to do.

The three FTEs will facilitate the expansion of the programs to larger C&I customers by reaching out to new and existing networks of trade allies. Multifamily programs, including the AMEEP LMI Multifamily programs also will benefit from a dedicated Channel Sales representative. In addition, as a part of their role, the representatives will maintain and expand the trade ally networks in relation to new and existing mid-stream programs (*i.e.*, programs that provide incentives to manufacturers, distributors or contractors). These resources will utilize numerous channels with in-person or job site meeting, as desired methods, to increase the number of trade allies who are engaged with the Companies' programs, and to also increase the participation of trade allies who currently utilize the programs. These additional FTEs will give the Companies the ability to open new delivery channels, and support the Companies' efforts to attempt to meet what are likely to be increasing NE:NY savings targets by reaching more customers and preparing the market for further building energy use reductions.

- Technical/Sales Support – Two and One-half FTEs

The Companies require one full FTE to support the Clean Energy 2.0 platform and one-half FTE to support Green Button Connect. Both of these FTEs will possess specific project and technology expertise to provide product support for the Companies' new technology integrations. These roles will oversee the day-to-day administration, data output, development, and troubleshooting of each respective system. With regard to the one full FTE (Lead Systems Analyst, Technical Sales Support) to support the Clean Energy 2.0 platform, the Companies are seeing year-over-year increases in work requests for systems support, with 2022 seeing a high of 900 requests. These are due, in part, to new program offerings, compliance, security, and overall maintenance of growing program offerings. Along with updating existing systems, the additional FTE is needed to aid in developing and maintaining the new platform, which will enable programs to be developed more quickly and improve upon current processes. The Green Button Connect Analyst (0.5 FTE) will review applications from third parties to participate in Green Button Connect and ensure proper authorizations and customer consents are in place, make adjustments to optimize the platform, and analyze usage of the Green Button Connect interface to inform development of the Companies' other energy efficiency programs and offerings. Because this role will support both the Companies and the upstate

markets, only one-half of the FTE's time would be allocated to KEDNY and KEDLI, combined.

Additionally, one FTE is needed to provide administrative and project management support services for C&I gas energy efficiency, processing of customer incentive applications and contracts for efficiency products and services. This FTE (also called an Energy Efficiency Analyst) would also be responsible for data entry, sales performance reporting, and project management with respect to customers, vendors, suppliers, engineers, architects, and other parties involved in customer efficiency projects and applications. The average number of incentive applications for one Analyst is 325. In 2022, the Companies received 637 and therefore an additional Analyst FTE is needed.

- Customer Experience – One and One-Half FTEs

As new initiatives and programs are introduced into the Companies' portfolios of energy efficiency offerings, it is important for customers to understand and be able to navigate the complexity of these programs to benefit fully from them. As the Companies introduce new programs, customers are not as familiar as they are with more traditional utility offerings. Customers will require additional education on offerings, such

as new weatherization initiatives, to ensure they realize the benefits. To facilitate customers' understanding of new program offerings, the Companies will require one-half FTE who would focus on the customer's experience interacting with the Companies' energy efficiency programs. This FTE would work to identify and improve the collective interactions that customers have with the Companies related to energy efficiency programs; working to make those interactions easier, faster, and seamless. In addition, the Companies require an additional FTE to enable the Companies to bring new skills sets and expertise necessary to improve interactions specifically with the most vulnerable customers. This incremental FTE – a Customer Experience Architect – will use several customer-experience tools, including customer journey mapping, benchmarking, and detailed analysis, to strategically determine improvements to ensure equity and accessibility to energy efficiency programs for our most vulnerable customers.

Additional descriptions of the roles and need for each FTE are set forth in Exhibit___(CP-6), Schedule 5.

Q. Do the Companies have any other proposals that are intended to address customer expectations and achieve the Companies' energy efficiency goals?

A. Yes. The Companies are proposing to create a group of Strategic Account Managers to work with their largest customers. The Companies propose to add four additional FTEs as Strategic Account Managers and one Manager for this group. This group will work on a proactive basis with the Companies' largest energy use customers to develop Strategic Energy Management Plans and assist these customers in considering options for a clean energy transition while also assisting them with core functions such as billing and operational issues (including where appropriate referring the customers to the electric distribution company to consider electrification programs). Additional information concerning the Companies' proposed strategic account managers is set forth on Exhibit __ (CP-7).

X. <u>Demand Response</u>

Q. Please describe the Companies' firm gas demand response ("DR") portfolio.

A. The Companies' firm gas DR portfolio is composed of four programs that enable the Companies to help preserve system reliability and reduce infrastructure costs by temporarily reducing end-use consumption of natural

gas during periods of peak-day and peak-hour demand on the gas distribution system. The DR portfolio achieves this by one of two primary means: by encouraging customers to either temporarily cease their consumption of natural gas in whole or in part (*i.e.*, by shedding load) or to shift some of their consumption of natural gas to non-peak hours (*i.e.*, by shifting load).

The Companies' Load Shedding program, in which C&I, institutional, and multifamily customers either switch to a backup fuel source or curtail gas demand entirely, falls into the former category. The latter category is composed of three programs: (i) Load Shifting, in which C&I, institutional, and multifamily customers generally shift their usage to non-peak hours by reducing their heating setpoints; (ii) the Bring Your Own Thermostat ("BYOT") program, in which residential customers enable a vendor to temporarily reduce their heating setpoints via an opt-out mechanism; and (iii) the Behavioral DR program, in which the Companies send out alerts that ask customers to voluntarily reduce their gas usage. Customers who participate in the Load Shedding, Load Shifting, and BYOT programs can earn incentives for enrollment and performance and help ensure the reliability of the gas system.

These programs were first launched as pilots in 2017 and have grown into mature programs since that time. They have proven effective at engaging a wide variety of customers and at producing meaningful reductions in peak-hour and peak-day demand.

Q. Are the Companies proposing any changes to the gas DR oversight and reporting process?

A. Yes. Under the current framework, the Companies make DR filings on June 15 of each year in Cases 20-G-0086 and 20-G-0087 and provide additional information in an annual Demand-Side Management filing that is due on July 1 of each year. This dual reporting can: (i) lead to stakeholder confusion, and (ii) create unnecessary reporting and oversight burdens. As such, the Companies propose that all gas DR-related reporting requirements should be limited to what is required in Cases 20-G-0086 and 20-G-0087. The Companies believe this will simplify the process for all stakeholders.

Q. Are the Companies proposing to modify their existing firm gas DR programs or add new DR programs?

A. No. However, if the Companies do propose any such modifications or additions, they will do so in their June 15th filings each year in Cases 20-G-0086 and 20-G-0087.

Q. How are the Companies currently recovering the non-labor operating expense costs of their firm gas DR programs?

A. The Companies currently recover non-labor O&M program costs, which consist primarily of capacity and performance incentive payments made to customers and a very small amount of marketing and administrative costs for the Load Shedding and BYOT program through the Demand Capacity Surcharge Mechanism ("DCSM"). The Companies recover 50 percent of estimated costs for those programs through the DCSM beginning in the July prior to each winter season, and then recover the remainder via a true-up in a surcharge that begins the following July, thereby providing the ability to recover DR costs that vary due to changes in enrollment levels, the number of occasions that the Companies call for DR customers to modify their usage, and customer performance. Non-labor O&M costs for the Load Shifting program are recovered through the Demand Response O&M ("DROM") component of the Delivery Rate Adjustment ("DRA"), after the close of each winter season.

Q. How do the Companies propose to recover non-labor operating expense costs in future?

A. The Companies believe that recovering non-labor DR program costs through a surcharge remains appropriate. Such recovery is consistent with

the method approved in the 2020 NMPC Rate Case, and consistent with how costs are recovered for electric DR programs throughout New York State.

Because the Companies are proposing to eliminate the DCSM after June 30, 2024, as discussed more fully below, the Companies propose to recover DR non-labor O&M program costs through the DROM as of July 1, 2024. Under the Companies' proposal, the unrecovered DR costs incurred during the winter of 2023-2024 would be recovered through the DROM surcharge beginning July 1, 2024. In addition, 100 percent of DR costs in each subsequent winter season beginning with winter 2024-2025 would be surcharged through the DROM following the conclusion of each winter season, with the revised DROM surcharge taking effect on July 1. The Companies believe that this surcharge proposal will reduce administrative complexity by eliminating the recovery of a portion of DR costs prior to the winter period.

Q. Are the Companies requesting any incremental funding for its firm gas DR portfolio to come from base rates in this case?

A. Yes. The Companies are requesting relatively small amounts of incremental funding for (i) capital metering costs; and (ii) one incremental FTE to assist in program expansion.

Q. Why are the Companies requesting recovery of capital program costs for the firm gas DR programs?

A. The Companies install non-standard metering equipment at the sites of customers who participate in the Load Shedding and Load Shifting programs to obtain hourly usage data that cannot be obtained via the Companies' standard metering and is needed to evaluate customer participation in the programs. The majority of customers who have enrolled in the program to date have such metering equipment installed, so the costs being requested herein are for replacements of failed equipment and for new equipment installed at the premises of customers who enroll in one of the programs for the first time. Without the installation and timely replacement of such equipment, the Companies would not be able to measure demand reductions during DR events or accurately calculate customer performance payments.

Q. What are the amounts of capital being requested for metering costs?

A. Those amounts are set forth below on Table 10:

Table 10

Year	KEDNY	KEDLI
Rate Year	$69,981	$37,682
Data Year 1	$51,776	$27,879
Data Year 2	$36,177	$19,480
Data Year 3	$13,491	$7,264

A similar request for firm DR-related capital funding was approved in the 2019 KEDNY and KEDLI Rate Cases. The amounts shown in the table above are incorporated into Exhibit ___ (RRP-7), Schedule 1, Workpaper 7 to the Revenue Requirement Panels' testimonies.

Q. Why is the Company proposing an additional FTE for the firm gas DR programs?

A. Currently, there are no program managers dedicated to the implementation of the firm gas DR programs. The tasks involved in such implementation include preparing marketing and sales tools, direct customer outreach, customer enrollment and reenrollment, data management, calculation and processing of performance and incentive payments, sending out event notifications, and other related activities. To date, those tasks have been shared between members of the Sales and Solutions group (which has required them to step away from their other official assignments, including the implementation of the Companies' weatherization programs) and members of the Gas DR group, which has drawn them away from important tasks, such as developing new programs and refining existing ones.

Furthermore, the Companies expect, consistent with the Commission's energy efficiency objectives, to increase enrollment in the Load Shedding

program, which is the primary source of demand reductions provided by the firm gas DR portfolio. However, because many of the larger customers who are willing and able to participate in the program have already enrolled in it, the potential customers that remain are smaller in size, meaning that if the Companies are to continue to grow the portfolio at the intended pace, a larger number of incremental customers will need to be enrolled. Such efforts will require more outreach and engagement by the Sales and Solutions group. An additional FTE would ensure that the Companies are able to devote sufficient resources to growing the DR program. A description of the role that the FTE will play is set forth in Exhibit ___ (CP-8).

Q. What do the Companies estimate the GHG emission impacts of their firm gas DR portfolio to be?

A. Because gas DR events are called at most a few times a year and for a few hours at a time, their impact on overall GHG emissions is minimal, and accordingly is not projected to have any appreciable effect on GHG emissions.

Q. Do the Companies have any other gas DR initiatives?

A. Yes, the Companies have offered non-firm (*i.e.*, interruptible) rates, under tariffs approved by the Commission, for many years. These customers were previously referred to as "interruptible" or "temperature-controlled," but are now referred to as "non-firm," and the service class as a whole is sometimes referred to as "non-firm demand response" because customers on the non-firm rate classes respond to signals from the Companies to reduce demand during peak times. Although both the firm DR programs and the non-firm DR rate provide peak demand reductions by incentivizing customers to reduce their usage of gas at specific times, they do so in very different ways and should not be considered interchangeable.

Q. What benefit does the non-firm DR rate class provide to the Companies and their customers?

A. Non-firm DR customers provide sizeable and highly reliable peak-day and peak-hour reductions, and as such are an essential component of providing safe and reliable gas distribution service. Approximately 145,000 dekatherms of design day customer volume is on non-firm DR rates.

Customers on non-firm DR rates have the ability to switch to firm rates, and, as a result of customers doing so, there has been significant reduction

in the number of customers on non-firm DR rates over the past decade. In part to assist in stemming this migration, several changes to the non-firm DR tariffs were made in the 2019 KEDNY and KEDLI Rate Cases, including providing non-firm DR customers eligibility for energy efficiency incentives and deeper discounts to tail block delivery rates. The Companies have had significant success in implementing energy efficiency with non-firm DR customers since that change. Nevertheless, levels of migration continue to be a matter of concern – in 2022 alone, an estimated 7,400 dekatherms of design day volume migrated to firm rates. The Companies believe that it is essential to work with non-firm DR customers to ensure that customers remain on non-firm DR rates to ensure system reliability and reduce the need to build new gas infrastructure.

Q. What efforts are the Companies making to address the migration of non-firm DR customers to firm rates?

A. The Companies have made, and will continue to make, several efforts to mitigate the migration of non-firm DR customers to firm rates. Commercial Sales Representatives and Account Managers conduct direct outreach to each customer that requests to migrate, and marketing materials were recently sent to all non-firm DR customers to make them better aware of the features and advantages of the rate. Additionally, to better understand

customers' awareness of the features of the rate class and the relative weight of the factors that might influence them to migrate, the Companies recently conducted a survey, the results of which should enable the Companies to better target their efforts.

Q. Are the Companies proposing changes to the non-firm DR rate class?

A. Yes. The Companies propose a modest increase to the discounted rates. Currently, the volumetric delivery rates provide a discount of 50 percent for Tier 1 and 60 percent for Tier 2 of the otherwise applicable firm tailblock rate. The Company is proposing to increase those discounts to 55 percent for Tier 1 and 65 percent for Tier 2. Additionally, the non-firm DR rate classes will receive the Gas Adjustment Clause ("GAC") reconciliation and System Performance Adjustment ("SPA") reconciliation, which is explained in the testimony of the Rate Design Panels.

Q. Do the Companies need additional resources to administer the non-firm gas DR program?

A. Yes, the Companies are requesting funding for an additional FTE for the non-firm gas DR program.

Q. Why do the Companies need additional resources to administer the non-firm gas DR program?

A. Although the Companies' Gas DR team, which focuses on strategy and product development, has the resources necessary to develop and launch efforts to stem migration, its implementation team does not have the resources necessary to manage the increasing program and outreach efforts that will be needed to avoid further migration from non-firm to firm service. To date, those outreach efforts have been led on an *ad hoc* basis by employees in other roles such as energy efficiency sales and distributed energy resource program development, which affects their ability to focus on their core demand-side portfolio responsibilities. Therefore, the Companies are requesting one additional FTE to lead these efforts. The description of the role is set forth in greater detail in Exhibit___(CP-8).

The Companies are also requesting $0.100 million of funding ($0.050 million per company) for marketing and outreach to non-firm DR customers, as shown in the Revenue Requirement Panels' testimony, Exhibit ___ (RRP-3), Schedule 40. A recent survey of these customers by the Companies demonstrated, many are unaware of the benefits of remaining on the non-firm rate; for example, almost all survey respondents indicated that they believed they were receiving little to no discounts on

their delivery rates. This funding will help the Companies stem further migration to firm rates by providing non-firm customers with information about the benefits they receive, as well as dispel mistaken impressions about the non-firm rate.

XI. Demand Capacity Surcharge Mechanism / Capacity Demand Metrics

Q. You earlier referred to the DCSM. What is the derivation of that surcharge?

A. The DCSM is a cost recovery mechanism established in the 2019 KEDNY and KEDLI Rate Cases that effectuates the recovery of: (i) the revenue requirements associated with the Long-Term Capital Capacity Projects that are subject to the Capacity Demand Metrics, (ii) non-labor O&M costs of the gas DR portfolio; and (iii) any energy efficiency funding incremental to NE:NY-approved funds that the Companies request via the Annual Demand-Side Management Filings. Under the terms of the 2019 Joint Proposal, the DCSM was reorganized as a "unique cost recovery mechanism that is being established for the purpose of these rate proceedings only" and the 2019 Joint Proposal further provided that there was to be no "presumption that the DCSM will continue in subsequent rate proceedings."

Q. What are the Capacity Demand Metrics?

A. The Capacity Demand Metrics are a set of five metrics related to reducing peak gas demand through demand-side management that were established in the 2019 KEDNY and KEDLI Rate Cases (Joint Proposal, Section 5.3.2): (i) energy efficiency, (ii) demand response, (iii) non-pipes/third-party solutions, (iv) electrification and (v) leak-prone pipe, non-pipes alternatives ("NPAs"). Under the terms of the Joint Proposal approved in the 2019 KEDNY and KEDLI Rate Cases, failure to meet the metric targets results in the Companies being unable to fully recover certain costs of the Long-Term Capital Projects during the term of the current rate plans.

Q. Is the Company proposing to eliminate the DCSM?

A. Yes. The Companies are proposing to eliminate the DCSM effective July 1, 2024.

With respect to the continuing recovery of energy efficiency and DR costs, the Companies are proposing alternative means of recovery in lieu of the DCSM. Regarding incremental energy efficiency funding, the Companies anticipate that the Interim Review currently under way as part of the NE:NY proceeding will authorize funding levels necessary to achieve current and future state-mandated energy efficiency goals, while continuing to allow

utilities the flexibility to shift funding across calendar years. The Companies believe such costs are best recovered in base rates rather than being recovered in part through a surcharge. However, to the extent that base rates are established in this proceeding before any incremental costs are authorized in the Interim Review, the Companies propose that a surcharge be established (such as the proposed Rate Adjustment Mechanism ("RAM") discussed in the testimony of the Rate Design Panels) to permit recovery of incremental energy efficiency costs. Regarding funding for non-labor operating expense for gas DR, as explained above, the Companies propose using an existing surcharge mechanism (*e.g.*, the DROM) where the timing of recovery is closer to the actual expenditures.

Q. Do the Companies propose to continue the Capacity Demand Metrics?

A. No. The Companies' Capacity Demand Metrics were established solely for the purpose of determining whether the Companies would be permitted to recover the Long-Term Capital Capacity Projects in the 2019 KEDNY and KEDLI Rate Cases. The Companies' peer gas and electric utilities are not subject to such demand-side metrics, much less any that are tied to potential penalties related to the recovery of prudently incurred capital expenditures.

Q. Do the Companies nevertheless endeavor to achieve the goals of the Capacity Demand Metrics if the metrics are eliminated?

A. Yes. The Companies fully intend to continue to ensure that they are taking aggressive actions to promote energy efficiency, demand response, non-pipes/third-party solutions, electrification and NPAs by continuing all existing programs to provide beneficial outcomes. The Companies have demonstrated their commitment to those efforts throughout the course of their current rate plans, and in their proposals to continue those efforts as part of these rate filings, as well as in other proceedings such as the Gas Planning Proceeding. There is no need for the Commission to continue Capacity Demand Metrics to ensure the Companies' continued commitment to these activities.

Q. Please explain how the Companies have been referring potential customers to electric utilities.

A. The Companies have focused their efforts at promoting electrification referrals on customers who contact the Companies' call centers seeking to install new or upgraded gas connections. The Companies have focused their electrification efforts on these customers because when they contact the Companies directly the customers are generally early in their decision process and the Companies can engage directly with the customers.

At the same time, there are other pathways through which the Companies receive requests for new or upgraded gas connections, such as directly from contractors and plumbers on the customers' behalf, and calls to the Companies' commercial account managers for entities involved in the development of multifamily or C&I buildings.

Q. Are the Companies investigating any enhancements to their current referral efforts?

A. Yes. First, the Companies continue to review the lead intake referral process to determine whether improvements can be made. Second, the Companies are working to coordinate with the electric utilities to determine the efficacy of the referrals (*i.e.*, how many customers install a heat pump). Third, the Companies are exploring whether there is a means by which referrals made through other pathways can be done in such a way as to be persuasive and effective. Finally, the Companies will continue to work with stakeholders to determine ways in which they can encourage more customers to pursue electrification options.

XII. Economic Development Programs

Q. Please describe the current economic development grant programs offered by the Companies in the KEDNY and KEDLI territories.

A. KEDNY and KEDLI currently offer a portfolio of nine economic development grant programs in their respective service territories. Implemented in the 2016 KEDNY and KEDLI Rate Cases, the grants provided through these programs support regional economic growth and community development in the Companies' service territories by:

1. Promoting sustainable growth and the revitalization of distressed communities by redeveloping vacant and underutilized buildings, commercial corridors and brownfield sites. These programs include the Cinderella Program, the Industrial Building Redevelopment Program, and the Brownfield Redevelopment Assistance Program.
2. Helping C&I customers invest in productivity improvements and resolve infrastructure issues that present barriers to their ability to remain and grow in the Companies' service territories. These programs include the Manufacturing Productivity Program and Capital Investment Incentive.
3. Enabling the development and deployment of new technologies as alternatives to traditional natural gas infrastructure upgrades and supporting the entrepreneurial "ecosystem" for clean energy and

other advanced technologies. These programs include the Economic Development and the Future of Heat, Sustainable Gas and Economic Development, and Cleantech Incubation programs.

4. Providing matching grants to regional and local economic development organizations to encourage new investment and job creation by growing companies in the Companies' service territories. This program is the Cooperative Business Recruitment program.

Q. What is the current level of funding under the Companies' current rate plans for these programs?

A. The authorized funding levels are $2.25 million per year and $2.75 million per year for KEDNY and KEDLI, respectively.

Q. Please describe the current treatment of economic development grant expenditures compared to the amount of these expenditures reflected in base rates.

A. For both KEDNY and KEDLI, actual grant expenditures are reconciled against the amounts included in rates, subject to a downward-only reconciliation. Any under-expenditures in a given year are carried forward and reconciled at the end of KEDNY and KEDLI's current rate plan. In the

event of anticipated over expenditures, the Companies may petition the Commission for deferral treatment of any amount in excess of the rate allowances. Each rate year of the current rate plan, prior Economic Development deferral credits are amortized such that the net revenue requirement reflected in rates for each Company is $500,000 per year.

Q. How much funding has been disbursed to KEDNY and KEDLI customers and how much funding has been committed through approved applications during the Companies' current rate plans?

A. From April 1, 2020 to December 31, 2022, a total of $1.83 million has been disbursed to customers, $1.06 million for KEDNY and $0.77 million for KEDLI. An additional $2.70 million in funding is committed through approved applications; $1.51 million for KEDNY and $1.19 million for KEDLI. These funds will be provided to customers when they complete their approved economic development projects.

Q. What are the current balances in the KEDNY and KEDLI Economic Development grant deferrals, and what are the forecast balances at the end of the current rate plan?

A. Through December 31, 2022, the cumulative balances (credits to customers) in the KEDNY and KEDLI Economic Development grant

deferrals were $6.2 million and $6.6 million, respectively. The Companies project that on March 31, 2024 those balances will be $7.3 million and $6.9 million, respectively. These projected balances reflect current levels of program activity and expected grant disbursements to customers with approved applications. In addition, in February 2023, KEDLI repurposed $0.957 million of deferral credits arising from the administration of the Economic Development grants to provide assistance to small business customers as part of the Phase 2 Arrears Reduction Program authorized by the Commission in Case 14-M-0565.

Q. Are the Companies proposing any changes to the existing portfolio of grant programs?

A. Yes. The Companies are proposing to discontinue two grant programs, and to modify several other programs.

Q. Please describe the programs the Companies are proposing to discontinue.

A. The Capital Investment Incentive Program provides grants up to $500,000 to help offset customer costs associated with upgrading natural gas infrastructure to accommodate a business expansion or new construction project. The Industrial Building Redevelopment Program provides

matching grants up to $250,000 to developers of large, vacant or underutilized buildings who need assistance in upgrading, segregating, or otherwise making the property's gas infrastructure suitable for occupancy by multiple tenants.

The Companies propose to stop accepting new applications for these programs beginning on the effective date of the new rate plan. For applications already approved as of the effective date, the Companies propose to provide the approved grant funding if and when the project is completed as per the approved application.

Q. Please describe the other program modifications proposed by the Companies.

A. The Companies are proposing the following program modifications for both KEDNY and KEDLI:

1. For the Brownfield Redevelopment Assistance and Cinderella programs, the Companies propose to prioritize and provide additional funding for eligible projects located in Disadvantaged Communities. Eligibility for priority consideration and additional funding will be based on the criteria and listing of Disadvantaged Communities finalized by the Climate Justice Working Group on

March 27, 2023, consistent with the CAC Final Scoping Plan. In the event the disadvantaged community criteria and listing are further modified, the program criteria will be revised to reflect the most updated definition and listing of Disadvantaged Communities issued by the Climate Justice Working Group at that time.

2. For the Cinderella program, the Companies propose to provide matching grants for commercial corridor improvements in Disadvantaged Communities, and to support the provision of economic opportunities to business districts within those areas.
3. For the Manufacturing Productivity Program and the Cooperative Business Recruitment Program, the Companies propose to prioritize and provide additional funding for projects that involve the expansion, retention and attraction of customers in clean energy industry sectors and their associated supply chains, including green hydrogen, RNG, bioprocessing, geothermal, energy storage and offshore wind.
4. For the Economic Development and the Future of Heat program, the Companies propose to include feasibility analyses as an eligible project type in the program's "customer track." Currently, funding for feasibility analyses is restricted to the "community track" of this program.

The Companies also propose several minor, clarifying wording changes to the existing KEDNY and KEDLI programs. A detailed description of each economic development grant program, including funding guidelines, eligibility requirements and all proposed modifications described above, is set forth in Exhibit ___ (CP-9), Schedule 1.

Q. What is the Companies' rationale for proposing these changes?

A. A fundamental objective of the CAC's Final Scoping Plan is to support Disadvantaged Communities in the energy transition and ensure that they are a focus in terms of targeting CLCPA-related funding and benefits, including investments in economic development. The Final Scoping Plan also includes a "clean-tech-focused economic development plan" that encourages private sector investment and the attraction of clean energy related businesses to New York (pp. 427-428). In addition, the Final Scoping Plan highlights the correlation between the speed of end-use customer adoption of non-fossil gas technologies and the speed with which the gas system can be transitioned (p. 353). Thus, the Companies' proposed program modifications align with the coordinated approach to prioritizing Disadvantaged Communities and stimulating growth in the clean energy economy that is required by the CLCPA.

Q. Are KEDNY and KEDLI proposing to adjust the level of funding for the economic development grant programs in the Rate Year and the Data Years?

A. Yes, the Companies are proposing to decrease the total annual funding levels of the economic development programs to $1.819 million and $1.722 million for KEDNY and KEDLI, respectively.

Q. Are the Companies proposing changes to the treatment of grant program expenditures compared to the annual funding in base rates?

A. The Companies propose to continue the existing deferral mechanism for reconciling and recovering grant program expenditures. Actual grant expenditures would continue to be reconciled against the amounts included in rates, subject to a downward-only reconciliation. Any under expenditures would be carried forward and reconciled at the end of Data Year 3. In the event of any anticipated over-expenditures, the Companies would have the right to petition the Commission for deferral treatment of the amounts more than the aggregate four-year rate allowance. Additionally, to reduce customer bill impacts, the Companies propose that, in each rate year, prior Economic Development deferral credits be amortized such that the net revenue requirement for each Company is reduced from $500,000 in the current rate plan to zero in the Rate Year and

Data Years. In this way, grant program expenditures will be fully offset by amortization of the existing deferrals.

Exhibit ___ (CP-9), Schedule 2 sets forth the proposed economic development grant program funding in the Rate Year and the three Data Years, along with the proposed amortization and projected program spending in each of the four years.

Q. Given the proposed reductions in funding and program modifications, how do KEDNY and KEDLI propose to maintain adequate resources for these economic development programs?

A. While they represent a decrease from current and previous program allowances, the proposed levels of funding are higher than actual spending levels during the current rate plan and should be sufficient to maintain adequate funding, even with the program modifications designed to increase customer participation. Also, the proposed program modifications are highly targeted in nature, with additional funding available only to projects located in Disadvantaged Communities, and/or to businesses in the clean energy industry sectors. Furthermore, the proposed discontinuation of the Capital Investment Incentive and Industrial Building Redevelopment programs will eliminate the potential for program funds to be directed

toward those types of projects. Finally, in the event that demand for the programs exceeds anticipated levels, the Companies would maintain the ability to petition the Commission for deferral treatment of any anticipated over expenditures, as proposed above.

Q. Please describe the reporting requirements currently in place for the KEDNY and KEDLI economic development grant programs.

A. The Companies are required to file with the Commission an annual report no later than April 1 each year that will include a review of program activity and results for the previous calendar year, as well as the Companies' proposed economic development grant programs for the current calendar year.

Q. Are the Companies proposing any changes to the current reporting requirements?

A. No.

Q. How would customers benefit from the Companies' proposed changes to its economic development grant programs?

A. The proposed modifications to the Companies' economic development grant programs will make them more responsive to customer and

community needs and will generate benefits in the form of new and retained jobs, new capital investment, and higher regional earnings in the communities the Companies serve. These proposals will also better align the KEDNY and KEDLI programs with the Companies' *Clean Energy Vision* and the CLCPA.

Q. Does this conclude the Panel's testimony?

A. Yes. It does.

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Exhibit__(CP-1): Supplemental Information: LMI Customers and Disadvantaged Communities Proposals
- Schedule 1: Residential Segment Strategy - Energy Equity Analyst
- Schedule 2: Energy Affordability Program
- Schedule 3: Consumer Advocacy
- Schedule 4: Clean Energy Advisor
- Schedule 5: LMI Marketing and Outreach
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Exhibit__(CP-2): Supplemental Information: Customer Experience Enhancement Proposals
- Schedule 1: Permit Third Party Vendors to Use Out of State Agents
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Exhibit__ (CP-3): Supplemental Information: KEDNY Recovering Uncollectible Expenses Proposals
- Schedule 1a: Net Charge Off - Gas 2017-2019
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Exhibit__ (CP-4): Supplemental Information: KEDLI Recovering Uncollectible Expenses Proposals
- Schedule 1a: Net Charge Off - Gas 2017-2019
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- Schedule 2: Historical Net Charge off and Adjusted Revenue 2017-2019
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Exhibit__ (CP-5): Supplemental Information: No-fee Model for Debit and Credit Card Payment Proposal

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Exhibit__ (CP-7): Supplemental Information: Strategic Account Mangers to Assist Large Commercial and Industrial ("C&I") Customers Proposal

Exhibit__ (CP-8): Supplemental Information: Demand Response Proposal

Exhibit__ (CP-9): Supplemental Information: Economic Development Program Proposals
- Schedule 1: Proposed KEDLI Program Descriptions
- Schedule 2: KEDNY and KEDLI Economic Development Grant Programs

Exhibit ___ (CP-1)

Supplemental Information:

LMI Customers and Disadvantaged Communities Proposals

Exhibit ___ (CP-1)

Schedule 1

Residential Segment Strategy - Energy Equity Analyst

Justification for Residential Segment Strategy - Energy Equity Analyst
1 FTE for KEDNY and 1 FTE for KEDLI

Description:

Increasing participation in programs from low to moderate income (LMI) customers and disadvantaged communities requires addressing accessibility constraints arising from a lack of economic and educational access.

Proposal to add 2 FTEs to be Energy Equity Segment Analysts who will be subject matter experts on the provisions of service to LMI customers and Disadvantaged Communities. The Analysts will develop strategy for the residential market by looking at it through the broad equity lens: Disadvantaged Communities, and LMI. These analysts will find the gaps in the offerings the Companies have now, design strategy tailored to close the gaps, and grow segment specific programs. Additionally, they will create awareness for these programs while expanding the number of LMI customers in and Disadvantaged Communities who are aware of, and willing to participate in the Companies' energy efficiency programs. Their work will be critical to ensuring that the Companies have a plan to reduce energy burden and meet the CLCPA goal of 35-40% of the climate action benefits going to Disadvantaged Communities and other vulnerable customers.

Without a focus and more support for LMI customers and Disadvantaged Communities it will be increasingly challenging (or potentially impossible) to achieve the Companies' overall energy efficiency savings goals. This commitment of FTE resources is consistent with National Grid's and New York State's vision of an equitable energy future. By having Analysts that understand why these customers have not been participating in the programs, their challenges, and concerns,

the Companies can develop strategy, products, and programs to reduce this burden and increase participation.

Stats:

Currently the Companies have 30 FTEs supporting ~155,038 LMI Customers in KEDNY/ KEDLI, which is a ratio of 1 FTE for every ~5,167 LMI Customers. Currently the Companies have several employees wearing multiple hats and attending events in the community to serve our LMI customers – see chart below.

LMI Program Participation:

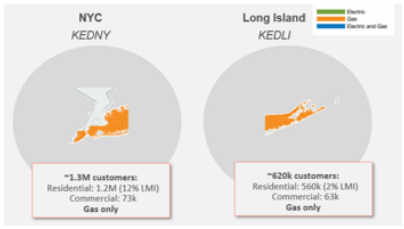
- 10% of the residential population is currently enrolled in LMI programs but there is potential for 19% of the population to be enrolled in LMI programs
- Throughout NY, approximately 20% of the total state population is eligible to participate in National Grid's LMI program.

Having resources that can focus on the strategic and administrative work, while others can focus on engaging with customers most in need, will help accelerate progress.

LMI Customers by region and number of supporting FTEs:

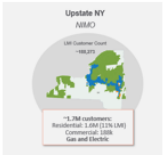
Key Considerations:

- ~30 FTE's supporting 155,038 KEDNY/KEDLI LMI Customers
  - ➢ Currently 17 FTEs **dedicated**
  - ➢ Currently 13 FTE's **have a portion of their time to** KEDNY & KEDLI and a portion to NIMO (NY Total LMI~385,079)



LMI Customer Count
~141, 293

LMI Customer Count
~13,745



LMI Customer Count
~230,041

The Companies forecast the following incremental FTE costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3	Data Year 4
KEDNY					
Labor & Overheads ($000's)		151.3$	155.3$	159.2$	163.2$
FTE Count		1	1	1	1
KEDLI					
Labor & Overheads ($000's)		151.3$	155.3$	159.2$	163.2$
FTE Count		1	1	1	1

Program Title: Data Analyst FTE

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") is requesting 1 FTE with a skill set aligned with the profession of a Data Scientist to close a skills gap that exists within the Customer Division.

Program Justification:

The FTE will be used to conduct segmentation analyses necessary to supporting LMI program design and adoption.

Program Costs
National Grid is requesting recovery for hiring 1 new FTEs to support the LMI customer segment strategy. The FTE will be split two-thirds to KEDNY and one-third to KEDLI.

Increase in FTEs: The FTE that will be hired will serve in the capacity of a Data Scientist.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3	Data Year 4
KEDNY					
Labor & Overheads ($000's)	113,327	$116,253	$119,191	$122,135	$
Non-Labor ($000's)	$	$	$	$	$
FTE Count	0.7	0.7	0.7	0.7	
KEDLI					
Labor & Overheads ($000's)	$56,035	$57,487	$58,945	$60,407	$
Non-Labor ($000's)	$	$	$	$	$
FTE Count	0.3	0.3	0.3	0.3	

Customer Benefits:

- Improved segmentation analysis may aid in LMI program design and adoption by enabling programs to be better tailored to customer needs.
- Improved segmentation analysis may lead to more efficient program delivery costs by enabling the ability to efficiently target customers.

Exhibit ___ (CP-1)

Schedule 2

Energy Affordability Program

Program Title: Energy Affordability Program FTEs

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") are requesting to include 3 full-time equivalents ("FTEs") to oversee the strategy, implementation and administration of the Energy Affordability Program ("EAP").

Program Justification:

The responsibilities required to maintain the EAP's current function and continue to strategize on program improvements and ways to enroll more customers exceed the available resources. With the new requirements from the Energy Affordability Proceeding and Working Group and the New York Governor's State of the State, the focus on low-to-moderate income customers is increasing and more resources are necessary to not only perform the day-to-day tasks, but to continue to innovate and support the upcoming policy objectives being established.

Program Costs
National Grid is requesting recovery to hiring 3 new FTEs to support the EAP.

Increase in FTEs: The responsibilities of the roles would include, but not be limited to: strategy and program design; administering file matches and manual enrollments; performing calculation of the discounts; ensuring documented procedures are kept current and changes communicated; supporting internal and external reporting; preparing internal and external audit requests; ensuring KEDLI HEAT referrals are made and data maintained for reporting; and ensuring that the strategy and implementation plans are made and executed for new energy affordability policy objectives.

The Companies forecast the following costs for the incremental FTEs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$226.9	$232.8	$238.7	$244.6
Non-Labor ($000's)	$	$	$	$
FTE Count	1.5	1.5	1.5	1.5
KEDLI				
Labor & Overheads ($000's)	$227.0	$232.9	$238.8	$244.7
Non-Labor ($000's)	$	$	$	$
FTE Count	1.5	1.5	1.5	1.5

Customer Benefits:

Customers who participate in the program will benefit from:

- Improved customer journey/experience
- Monthly bill discount on their energy bills thereby reducing their energy burden
- Information about other beneficial low or no-cost programs, products, and services

Exhibit ___ (CP-1)

Schedule 3

Consumer Advocacy

Program Title: Consumer Advocacy

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") are proposing to add five Consumer Advocates.

The program costs include 5 full-time Consumer Advocates (2 KEDLI, 3 KEDNY) to assist LMI customers in obtaining more affordable energy by promoting programs and services to customers and agencies through various channels such as inbound referrals, outbound calls, on-site at agencies, using targeted outreach to reach customers in need, and increasing engagement in communities by holding webinars, presentations, and Expos.

Program Justification:

Consumer Advocates assist LMI households in making their energy more affordable, by:

- Educating customers
- Identifying unidentified low-income customers to increase EAP participation
- Promote programs and services such as HEAP, EAP, Empower NY, personalized payment plans, budget billing, etc.
- Hold expos, presentations, and webinars
- Using purchased income data to find areas of disadvantaged communities to serve, to make outbound calls to customers based on specific criteria as a way to maximize efficiency

The Companies believe the number of customers potentially qualifying for LMI programs is in the range of approximately 690,000 across KEDNY and KEDLI service territory. The additional Consumer Advocates are needed to interface with this large population of customers, reaching a significantly greater proportion of eligible customers than existing resources allow, providing 1:1 assistance for a greater number of customers, and enrolling a larger proportion in our programs. The addition of five full-time Consumer Advocates by KEDLI would enable outreach and assistance to an additional 4,800 to 6,000 households and enable KEDLI to provide approximately 72 community outreach events annually in KEDLI's service territory.

Program Costs
National Grid is requesting recovery for Consumer Advocacy to hire 5 new FTEs to support the program.

Program Budget: The proposed budget will cover FTEs.

Increase in FTEs: The additional FTEs will perform the duties of a Consumer Advocate; the increased number will allow the Companies to do more for customers and communities – expanding the Companies' reach. As stated above the Advocates will be:

- Educating customers

- Identifying unidentified low-income customers to increase EAP participation
- Promote programs and services such as HEAP, EAP, Empower NY, personalized payment plans, budget billing, etc.
- Hold expos, presentations, and webinars
- Using purchased income data to find areas of disadvantaged communities to serve, to make outbound calls to customers based on specific criteria as a way to maximize efficiency

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3	Data Year 4
KEDNY					
Labor & Overheads ($000's)		$124.1	$127.3	$130.5	$133.7
FTE Count		1	1	1	1
KEDLI					
Labor & Overheads ($000's)		$122.1	$125.3	$128.5	$131.7
FTE Count		1	1	1	1

Customer Benefits:
Customers and agencies will benefit from:

- Education about programs, services, and EE tips at:
  - Expos
  - Table events
  - Webinars
  - Presentations to key stakeholders
- Personalized one-on-one assistance – Advocates can spend more time with customers.
  - By telephone
  - In person at an agency or event
- Program Promotion
  - Using purchased income data to make strategic outbound calls to help customers in need and to find disadvantaged communities to assist via Expos and agency outreach
    - Examples of Programs & Services promoted (may include):
      - Budget Billing
      - Personalized Payment Plans
      - Temporary Assistance
      - Regular and Emergency HEAP
        - HEAP's Clean & Tune and Heating Repair and Replacement
        - HEAP's Cooling

- National Grid's Energy Affordability Program
- Energy Assistance for Veterans
- NYS Find Services Tool
- Empower NY & NY Energy Advisor
- Weatherization Assistance Program (WAP)
- National Grid's HEAT Program on Long Island
- National Grid's Neighborhood Heating Fund (serving Metro NY)
- United Way's Project Warmth
- National Grid's Hearts Fighting Hunger (Lower-Moderate)
- National Grid's Hope & Warmth Energy Fund (Lower-Moderate

Exhibit ___ (CP-1)

Schedule 4

Clean Energy Advisor

Program Title: Clean Energy Advisors

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") are proposing a Clean Energy Advisor program to assist low-to-moderate income ("LMI") customers in accessing clean energy programs by informing them of the available opportunities and helping them navigate through the program processes such as applications and scheduling appointments. The Clean Energy Advisors would also be liaisons to the New York State Energy and Research Development Authority ("NYSERDA") Regional Clean Energy Hubs.

The program costs include 3 full-time equivalents ("FTEs") to provide individualized assistance to LMI customers as they engage in clean energy programs and interface with NYSERDA and their Regional Clean Energy Hubs and communities.

Program Justification:

There are many barriers for LMI customers to participating in clean energy programs such as lack of awareness and information surround clean energy programs, technologies and benefits, confusion and time constraints surrounding the process for participating in clean energy programs such as filling out applications, income qualifications, scheduling services, understanding project scopes and needing to access multiple programs or funding sources to complete the full project. The goal of this program is to provide guidance to customers to help them overcome those barriers and encourage more LMI customers to participate in clean energy programs. Additionally, with the roll-out of NYSERDA's Regional Clean Energy Hubs it is important for the Companies to stay closely connected to and support NYSERDA, the Regional Clean Energy Hubs and the communities they serve and ensure coordination and continuity amongst the organizations.

The Clean Energy Advisors are an important step to providing the type of support LMI customers may need to access clean energy programs and aligns with New York State's goals set forth in the New Efficiency: New York Proceeding that emphasizes the importance to LMI energy efficiency programs and dedicates 20% of incremental funding to LMI customers. Their activities will also help further investments in Disadvantaged Communities which aligns with the Climate Leadership and Community Protection Act ("CLCPA") requirement of at least 35% of the benefits from investments

The NENY Order emphasizes the importance of LMI energy efficiency programs and dedicates 20% of all incremental funding to LMI customers. The CLCPA requires at least 35% of benefits of clean energy be directed to underserved communities. The Energy Affordability Proceeding additionally aims to keep household energy burden at or below 6% and weatherization and energy efficiency is one of the most effective ways to permanently lower customer energy bills. These resources will also help to support the achievement of the LMI energy efficiency targets and proposed LMI energy efficiency EAM.

Program Costs

National Grid is requesting recovery for hiring 3 new FTEs to support the program.

Increase in FTEs: The Clean Energy Advisors aim to discuss with LMI customers what clean energy program opportunities are available to them and which programs may be most beneficial to them, help them with filling out program applications and scheduling services, and connect the various different clean energy programs and sources of utility, local, state and federal funding to help meet as much of the customers' needs as possible.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$209.3	$214.7	$220.2	$225.6
Non-Labor ($000's)	$	$	$	$
FTE Count	1.5	1.5	1.5	1.5
KEDLI				
Labor & Overheads ($000's)	$249.0	$255.4	$261.9	$268.4
Non-Labor ($000's)	$	$	$	$
FTE Count	1.5	1.5	1.5	1.5

Customer Benefits:
Customers who participate in the program will benefit from:

- Description of qualitative and quantitative benefits (if any, which have been calculated and are defensible).
- Increase awareness, knowledge and understanding of clean energy programs
- Simpler and more streamlined customer experience when accessing clean energy programs
- Having more of their needs met in one place as it relates to clean energy programs
- Individualized interactions with trained clean energy advisors
- More equitable access to clean energy programs which may increase their home comfort, improve health outcomes and more permanently lower their energy bills
- Improved program design and processes that better serve their needs

Exhibit ___ (CP-1)

Schedule 5

LMI Marketing and Outreach

Program Title: LMI Marketing and Outreach

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") are requesting $500 thousand to develop and implement marketing and outreach aimed at increasing participation in the Home Energy Assistance Program ("HEAP"), the Energy Affordability Program ("EAP") and other bill assistance programs, promoting self-certification in EAP through other eligible social service programs, and providing a holistic and coordinated marketing experience by creating a link between low-to-moderate ("LMI") income assistance programs and LMI EE programs.

In addition to the proposed marketing and outreach budget, the program costs include 1 full-time equivalent ("FTE") to design, develop and oversee the marketing and outreach.

Program Justification:

LMI customers are still largely unaware of the programs and services available to assist them with their energy usage and energy bills. A survey conducted by the Companies revealed that financial assistance is at the top of mind for customers and 60 percent of customers are interested or very interested in learning about new programs and other assistance programs. Investing in marketing and outreach to LMI customers will help bridge this gap and give them the knowledge and understanding to seek the help that they need. Additionally, as the Companies continue to attend more in-person events and seek new avenues to be present in the communities they serve, funding is needed to attend events and provide materials to customers. Currently, LMI customers receive communications from the Companies for a variety of different reasons and streamlining the messages as well as tailoring them to smaller groups of customers will provide a more personalized approach. KEDNY and KEDLI customer bases differ greatly in demographics and lifestyle so it will be important to design marketing and outreach that addresses customers' distinct needs in each territory and reflects their characteristics.

The marketing and outreach program will support New York's Energy Affordability Policy Proceeding goal of keeping household energy burdens at or below 6% by informing customers of programs, services and tools to better manage their energy usage and reduce their energy bill. These resources will also help to enroll more customers and support the newly proposed EAP EAM.

Program Costs
National Grid is requesting recovery for an LMI marketing and outreach program aimed at increasing customer awareness and understanding of the programs and services available to income eligible customers to help them better manage their energy bills as well as to hiring 1 new FTEs to support the program.

Program Budget: The proposed budget will cover outreach and materials including bill inserts, brochures and flyers, direct mail, web and digital media, webinars, and event materials. It will also

allow the Companies to test new channels and approaches to outreach and communication with its customers.

Increase in FTEs: The Marketing an Outreach Specialist will be responsible for designing, developing and implementing the LMI marketing and outreach program to improve awareness of assistance opportunities for LMI customers.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$75.6	$77.6	$79.6	$81.5
Non-Labor ($000's)	$250	$250	$250	$250
FTE Count	0.5	0.5	0.5	0.5
KEDLI				
Labor & Overheads ($000's)	$75.7	$77.6	$79.6	$81.6
Non-Labor ($000's)	$250	$250	$250	$250
FTE Count	0.5	0.5	0.5	0.5

Customer Benefits:
Customers who participate in the program will benefit from:

- Increased awareness, knowledge and understanding of available assistance programs including HEAP and EAP which may result in:
    - Increased participation in HEAP, EAP, other bill assistance and clean energy programs
    - Better ability to manage energy bills
    - Knowing where to go when they need help

Exhibit ___ (CP-1)

Schedule 6

Collection Residential Account Management

Program Title: Collection Residential Account Management

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") suspended collection activity in March 2020 due to the impacts from COVID throughout our service territory. Customer protections were extended to customers through the Parker Mosley (Chapters 108 and 126 of the Laws of 2020) legislation passed in 2020 and the Parker Richardson legislation passed in 2021. During this period, residential customers had the option to attest to financial hardship and various customer protections including protection from disconnection for non-payment.

Residential field disconnections slowly resumed in June 2022 at KEDNY and July 2022 at KEDLI. During the disconnection moratorium both residential customers built up large arrears balances. Despite several Statewide programs including the Residential Arrears Supplement (RAS) program, Emergency Rental Assistance Program (ERAP) and Phases 1 and 2 of New York Bill Relief providing arrears relief to the residential customer base both the number of customers and arrears balance have grown since during this period. As of February 2023, the number of customers in 60-day arrears increased by 32% at KEDNY and 30% at KEDLI compared to February 2020 and accounts receivable balances increased by 59% at KEDNY and 86% at KEDLI.

To help address the increase in arrears, the Companies propose to increase staffing levels for our Collection Residential Account Management (CRAM) program. This program specializes in direct engagement through phone calls and email with high balance residential customers that require extra assistance in reducing their account balance and preventing service termination. The program focuses on building relationships with these customers to provide financial options and assistance, improve the customer experience and to help avoid service termination.

Program Justification:

The additional staff will help manage additional customers through the program. Low income and high balance customers receive the most benefit from this program as the customer is provided a single point of contact to help them manage their arrears, provide guidance on payment agreement options that will address their situation and potential assistance programs that may be available to them. This program helps customer avoid service terminations by working directly with them to reduce their past due balance.

During the winter of 2021/22, the Collections team piloted an expansion of the existing program. A total of 803 overtime hours were worked by the team working with customers who had balances of $1,000 - $5,000. The team collected $332k at an estimated cost of $27k. This equates to a collection rate of over $12 for every dollar spent.

Program Costs

National Grid is requesting recovery for expanding the number of staff working on the Collection Residential Account Management program by 2 FTE's for KEDNY and 1 FTE for KEDLI to support the expansion.

Program Budget: The proposed budget will cover labor and overhead.

Increase in FTEs: FTE's will be increased by 2 for KEDNY and 1 for KEDLI. The FTE's will work with high balance residential customers to help them reduce arrears and avoid service termination.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$123.7	$126.3	$128.9	$131.4
Non-Labor ($000's)	$	$	$	$
FTE Count	2	2	2	2
KEDLI				
Labor & Overheads ($000's)	$77.3	$78.9	$80.5	$82.1
Non-Labor ($000's)	$	$	$	$
FTE Count	1	1	1	1

Customer Benefits:

Customers who participate in the program will benefit from:

- The customers will benefit by the program by having a single point of contact familiar with their situation to help them manage their account to prevent service termination.

Exhibit ___ (CP-2)

Supplemental Information:

Customer Experience Enhancement Proposals

Exhibit ___ (CP-2)

Schedule 1

Permit Third Party Vendors to Use Out of State Agents

Program Title: Permit Third Party Vendors To Use OUT OF STATE Agents

Brief Description:

It has become increasingly common for call center agents to work remotely. As a result, the Companies, as well as our outsourced vendor partners, are leveraging work from home options in order to attract and retain quality employees. In doing so, it has also become clear that recruiting for such positions in the Northeast, specifically downstate NY is particularly challenging. Retention also continues to be of concern due to increased wages in NY.

We are proposing to allow our third party vendors to use agents located outside New York State. Enabling vendors to flex staff across their teams will allow them to minimize price increases and attract candidates from a wider range of employment markets. These vendor employees would be located outside of New York State, but within the continental US. National Fuel, Central Hudson, RG&E, and NYSEG currently use out of state call enter representatives.

Program Justification:

Turnover rates are running at ~10%, increase of 50% compared to pre-Covid. Some driving factors to attrition:

- Job availability: many opportunities available in the job market, in 2022, workers were more comfortable to leave their current role for one that they feel is better suited for them (i.e. higher pay, remote work, flexible schedule, benefits, etc.)
- Increasing pay rates: companies in 2022 and year to date, have been increasing their starting pay rates to attract more candidates-this puts more pressure on employers retaining their current workforce

Managing attrition rates to create a more consistent tenured agent population which will drive:

a. improved first call resolution
b. customer satisfaction
c. employee satisfaction
d. reduced training costs

Program Costs
There are no costs to achieve.

Customer Benefits:
Customers who benefit from this approach will result in:

- Improved first call resolution
- Customer satisfaction

Exhibit ___ (CP-2)

Schedule 2

Utilize Near Off-Shore Spanish Call Centers

Program Title: Utilize Near Off-Shore Spanish Call Centers

Brief Description:

The Companies currently use translation services and the process is cumbersome. Although the Companies recruit and attempt to staff bi-lingual agents, they have not been able to successfully maintain sufficient staff to provide full in-language support for customers even though the wage structure is higher for a bi-lingual agent. Recruiting for such positions in the Northeast, specifically downstate NY, is particularly challenging. Retention also continues to be of concern due to increased wages in NY.

The Companies propose to provide our vendor partners the ability to utilize near off-shore Spanish speaking call centers to provide in-language services to our DNY customers.

Program Justification:

Provide seamless Spanish in-language experience for a significant number of customers resulting in:

a) improved first call resolution
b) customer satisfaction
c) employee satisfaction
d) reduced training costs

Program Costs
There are no costs to achieve.

Customer Benefits:
Customers who benefit from this approach will result in:

- Improved first call resolution
- Customer satisfaction
- Reduction in time spent handling their inquiry
- Recent testimonials below provided from NE customers where this approach has already been implemented:

Customer A on January 11, 2023 said: "Me siento bendecida por tu atencion con cariño, forma de ser y en español"
Translation: “I feel blessed by your attention with affection, way of being and in Spanish”

Customer B on January 20, 2023 said: "Gracias por atenderme en español, cuidese Dios me lo bendiga"
Translation: “Thank you for assisting me in Spanish, take care God bless you”

Customer C on January 23, 2023 said: "Muy felices porque ustedes hablan español, muchas gracias"
Translation: “I’m very happy because you speak Spanish. Thank you very much!”

Exhibit ___ (CP-2)

Schedule 3

Customer Experience

Program Title: Customer Experience

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") are focused on enhancing each customer's experience when interacting with the Companies. The Companies are responding to the ever-changing business demands that have become evident over the past few years, which has increasingly focused on digital and process transformation to maintain high levels of customer satisfaction and provide the ability to deliver the level of service that customers expect.

Program Justification:

The primary driver of these efforts is to improve the reliability of critical systems, enhance existing business process, as well as overall customer experience. Dependence on traditional customer interactions via telephone and mail is inefficient in today's world when compared to the newly proposed digital focused Customer Experience. The Companies' currently utilize technology that relies on manual processes. The proposed Customer Experience enables technology-based solutions that customers are seeking.

Key focus areas include:

1) Optimizing Contact Center operations through management of internal and vendor workforce planning allows for a lower response time to customer calls. The Companies will also enable vendors to handle the full context of all call types, including frequent questions, ensuring that customers are informed of value-added products, and optimizing call distribution based upon cost and operational performance.
2) Shifting to Digital Adoption:
    a. Improved Customer experiences on the Unified Web Portal to manage billing accounts with single email sign on
    b. Proactively provide the right information via customers' preferred communication channel (via email or text)
    c. Provide customers with simpler, effortless and personalized experiences through improving voice self-service (interactive voice response)
    d. Delivering value through improved and new experiences on digital channels, leveraging virtual assistants (digital assistant)
    e. Delivering an enhanced digital platform (My Business Account) for Commercial and Industrial Customers by streamlining multi account management
3) Focus on process enhancements and performance management to drive efficient and effective calls. By optimizing the greet and authenticate process, customers will not have to provide duplicate information.
4) Successfully addressing an inquiry during the customers' first contact with the call center, preventing a call back with the same issue (First Call Resolution). Areas of opportunity include Customer Moves and Billing interactions that make up 65.8 % of repeat calls today.

Related is an effort to reduce call transfer rates, aiming to keep calls contained with one Customer Service Representative.

5) Create operational efficiencies through the deployment of Robotic Process Automation (RPA) to reduce manual efforts. Reducing exception volumes and automating processes will increase standardization and creates capacity for representatives to help customers with more complex or value add tasks.
6) The Billing and Collections office will use a centralized platform to optimize workforce performance with the ability to forecast, plan and schedule more effectively. The Companies' will be able to more accurately measure employee performance (such as shrinkage and work handle time) and improve productivity
7) Customer Service Representatives will encourage customer participation in the paperless program for an easier and more convenient billing experience. The Companies will measure and remediate key drivers of e-bill disenrollment and redesign-email notifications to increase efficacy and ease of use. Customer analytics will target customer segments and tailor marketing campaigns to promote electronic billing accordingly.

Program Costs

IT exhibits and individual revenue requirements are being submitted as part of the Rate Case Testimony.

Customer Benefits:

Customers will have a better management of internal and vendor workforce planning by allowing for lower response time to customer calls and more proactive customer notifications. Customers will also have more opportunities to utilize the Companies self-service and digital channels to resolve additional transactions. As a result, the Companies are eliminating bottlenecks and inefficiencies driving customer authentication and transfer within and between centers, resulting in quicker resolution of customer inquiries. Additionally, extending e-bill adoption across our customer base will enable an easier and more convenient billing experience.

Creating digital capabilities will allow customers to self- serve inquiries in the manner they prefer (chat bot, web, interactive voice response) and decrease time spent on phone. Process Automation will focus on decreasing manual, repetitive tasks (for agents) which increases time to focus on more complex customer issues that result in an improved customer experience. This provides the customer with consistency and high satisfaction. Customer agents will educate customers on the ease of accessing their billing information and paying their bills electronically. Finally, by delivering outbound communications via email and text messaging, customers will have correct information in real time. For example, communications about outages or upcoming storms.

Savings associated with these programs are part of the Evolution savings that are reflected in the Companies' proposed revenue requirements.

Exhibit ___ (CP-3)

Supplemental Information:

KEDNY Recovering Uncollectible Expenses Proposals

Exhibit ___ (CP-3)

Schedule 1a

Net Charge Off - Gas 2017-2019

The Brooklyn Union Gas Company d/b/a National Grid NY
Net Charge Off - Gas
For Periods January 2017 through December 2019
($000's)

Period		(A) Net Charge Off	(B) Tariff Revenue	(C) LPC Revenue	(D) ESCo Supply Revenue Billed	(E) (B) + (C) + (D) Adjusted Revenue	(F) (A) / (E) Uncollectible Rate
	Jan-17	812.0	196,421.4	826.2	31,981.5	229,229.2	
	Feb-17	984.3	212,082.5	1,051.4	29,217.0	242,350.9	
	Mar-17	493.5	202,495.6	1,247.1	29,272.4	233,015.1	
	Apr-17	694.6	172,960.9	580.5	20,870.3	194,411.7	
	May-17	852.4	106,562.2	1,075.4	13,777.1	121,414.7	
	Jun-17	1,557.2	76,971.6	1,096.3	10,155.4	88,223.3	
	Jul-17	1,988.8	64,402.0	915.8	7,259.0	72,576.8	
	Aug-17	2,377.6	59,194.6	741.2	7,178.5	67,114.3	
	Sep-17	1,529.6	59,445.8	731.9	7,072.8	67,250.5	
	Oct-17	1,159.7	61,628.6	615.4	7,341.5	69,585.6	
	Nov-17	1,122.5	89,886.6	560.1	12,522.2	102,968.8	
	Dec-17	1,059.1	164,683.9	749.6	26,561.0	191,994.5	
12 Months Ending December 31, 2017		**14,631.3**	**1,466,735.7**	**10,191.1**	**203,208.7**	**1,680,135.5**	**0.8708%**
	Jan-18	576.4	219,653.4	1,131.8	39,612.6	260,397.8	
	Feb-18	662.3	228,269.7	1,240.6	31,065.0	260,575.3	
	Mar-18	866.8	238,443.5	1,237.0	27,042.3	266,722.9	
	Apr-18	1,027.3	192,370.3	1,295.7	28,487.2	222,153.1	
	May-18	1,313.5	128,645.9	988.8	14,629.4	144,264.0	
	Jun-18	1,685.9	91,086.3	966.3	8,808.8	100,861.4	
	Jul-18	1,662.2	70,237.1	946.0	7,043.0	78,226.2	
	Aug-18	2,610.4	66,752.8	941.2	7,100.6	74,794.5	
	Sep-18	2,154.0	65,478.6	666.9	6,090.2	72,235.7	
	Oct-18	1,319.3	78,411.5	758.4	8,339.7	87,509.6	
	Nov-18	1,213.4	118,339.3	651.3	14,179.9	133,170.6	
	Dec-18	1,167.3	201,009.2	874.5	26,336.3	228,219.9	
12 Months Ending December 31, 2018		**16,258.7**	**1,698,697.6**	**11,698.3**	**218,735.0**	**1,929,130.8**	**0.8428%**
	Jan-19	1,023.5	261,571.0	1,173.1	33,237.3	295,981.4	
	Feb-19	482.3	271,857.6	1,345.2	31,453.5	304,656.3	
	Mar-19	299.4	235,320.9	1,595.9	30,221.3	267,138.1	
	Apr-19	1,360.7	178,840.8	1,589.2	20,705.1	201,135.1	
	May-19	1,377.8	127,912.5	1,362.8	12,759.0	142,034.3	
	Jun-19	1,275.5	89,220.1	1,150.5	8,208.2	98,578.9	
	Jul-19	2,090.1	72,718.1	971.8	6,393.6	80,083.5	
	Aug-19	2,503.0	68,715.7	741.8	5,606.0	75,063.5	
	Sep-19	1,879.6	68,633.1	743.5	6,125.3	75,501.9	
	Oct-19	1,715.7	73,668.7	856.0	7,305.9	81,830.6	
	Nov-19	946.8	114,724.3	660.2	10,922.6	126,307.1	
	Dec-19	987.8	200,592.0	877.9	24,076.4	225,546.2	
12 Months Ending December 31, 2019		**15,942.2**	**1,763,774.9**	**13,067.8**	**197,014.1**	**1,973,856.8**	**0.8077%**
36 Months Ending December 31, 2019		**46,832.2**	**4,929,208.1**	**34,957.2**	**618,957.8**	**5,583,123.1**	**0.8388%**

Exhibit ___ (CP-3)

Schedule 1b

Net Charge Off - Gas 2020-2022

The Brooklyn Union Gas Company d/b/a National Grid
Net Charge Off
For Periods January 2020 through December 2022
($000's)

Period	(A) Net Charge Off	(B) LPC Revenue	(C) Tariff Revenue	(D) ESCo Supply Revenue Billed	(E) (B) + (C) + (D) Adjusted Revenue	(F) (A) / (E) Uncollectible Rate
Jan-20	804.7	(21.43)	246,057.6	27,622.7	273,658.8	
Feb-20	1,042.4	1,248.23	238,501.9	23,807.5	263,557.7	
Mar-20	609.1	1,376.85	218,679.1	22,269.2	242,325.2	
Apr-20	752.0	760.92	175,211.8	16,183.9	192,156.6	
May-20	763.3	(8.86)	122,058.5	12,964.2	135,013.8	
Jun-20	870.7	(10.36)	85,587.6	7,589.6	93,166.8	
Jul-20	357.7	(11.59)	71,785.6	5,786.0	77,560.0	
Aug-20	310.1	(8.24)	61,976.8	4,528.5	66,497.0	
Sep-20	535.0	(10.62)	58,561.6	4,963.0	63,514.0	
Oct-20	666.9	(8.24)	69,455.7	6,211.3	75,658.8	
Nov-20	421.4	(3.59)	104,997.7	9,463.9	114,458.0	
Dec-20	693.8	(4.60)	174,745.8	18,794.2	193,535.3	
12 month total ending December 31, 2020	**7,827.1**	**3,298.5**	**1,627,619.7**	**160,183.8**	**1,791,102.0**	**0.4370%**
Jan-21	609.9	(48.5)	227,248.1	25,337.5	252,537.1	
Feb-21	769.6	(5.7)	233,032.4	26,622.3	259,649.0	
Mar-21	636.3	(2.3)	219,557.4	26,483.2	246,038.2	
Apr-21	521.2	(4.1)	183,971.6	16,114.6	200,082.2	
May-21	839.5	(29.4)	117,817.6	10,013.1	127,801.4	
Jun-21	1,173.0	(2.2)	87,106.4	6,743.0	93,847.2	
Jul-21	1,373.1	(2.2)	73,631.8	5,700.4	79,330.0	
Aug-21	1,095.7	(1.3)	68,665.2	4,958.1	73,622.0	
Sep-21	1,354.9	(1.0)	68,127.3	5,218.7	73,345.0	
Oct-21	788.4	(1.7)	71,383.3	5,687.4	77,069.1	
Nov-21	1,366.4	(2.7)	125,260.4	9,571.0	134,828.7	
Dec-21	988.3	(1.4)	222,802.9	21,154.6	243,956.0	
12 month total ending December 31, 2021	**11,516.3**	**(102.4)**	**1,698,604.3**	**163,603.9**	**1,862,105.8**	**0.6185%**
Jan-22	917.8	1,630.9	279,048.8	26,154.9	306,834.7	
Feb-22	759.2	1,499.8	295,849.9	28,218.2	325,567.9	
Mar-22	440.7	1,902.2	279,219.1	25,948.2	307,069.5	
Apr-22	1,596.4	1,786.3	217,311.4	18,116.7	237,214.4	
May-22	1,784.1	1,714.7	140,101.4	13,927.1	155,743.1	
Jun-22	2,577.7	2,116.6	100,108.9	8,396.4	110,621.8	
Jul-22	2,146.9	1,885.4	90,099.2	6,527.5	98,512.1	
Aug-22	2,469.4	2,372.5	80,528.5	5,977.6	88,878.6	
Sep-22	2,941.6	1,743.1	85,431.6	6,594.1	93,768.8	
Oct-22	2,637.3	1,614.0	98,226.5	8,328.0	108,168.6	
Nov-22	3,404.5	1,944.4	152,761.5	11,282.8	165,988.7	
Dec-22	2,253.4	2,138.8	257,719.7	22,404.3	282,262.7	
12 month total ending December 31, 2022	**23,929.0**	**22,348.7**	**2,076,406.6**	**181,875.6**	**2,280,630.9**	**1.0492%**
36 Months Ending December 31, 2022	**43,272.4**	**25,544.8**	**5,402,630.6**	**505,663.2**	**5,933,838.6**	**0.7292%**

Exhibit ___ (CP-3)

Schedule 2

Historical Net Charge off and Adjusted Revenue 2017-2019

The Brooklyn Union Gas Company d/b/a National Grid
Historical Net Charge off and Adjusted Revenue
For Periods 2017 to 2019

Period		Net Charge Off	Adjusted Revenue
2017-2019		46,832.23	$5,583,123.11
(3 year)			**0.8388%**
	2019	15,942.218	1,973,856.790
			0.8077%
	2018	16,258.713	1,929,130.842
			0.8428%
	2017	14,631.302	1,680,135.478
			0.8708%

Exhibit ___ (CP-3)

Schedule 3

Residential Uncollectible and Termination Rates 2012-2019

The Brooklyn Union Gas Company d/b/a National Grid
Residential Uncollectible and Termination Rates
For Periods January 2012 through December 2019

Period	Terminations	Uncollectibles
Jan-12	2331	$1,182,576
Feb-12	2607	$1,459,414
Mar-12	2052	$922,495
Apr-12	4140	$797,322
May-12	5928	$871,408
Jun-12	4174	$1,142,699
Jul-12	3554	$1,761,978
Aug-12	4744	$2,862,769
Sep-12	3266	$2,127,853
Oct-12	2906	$1,152,472
Nov-12	0	$1,129,240
Dec-12	9	$483,887
Jan-13	157	$722,387
Feb-13	1179	$85,326
Mar-13	1866	$331,537
Apr-13	4542	$469,776
May-13	5116	$920,819
Jun-13	3190	$924,615
Jul-13	3689	$2,486,204
Aug-13	4657	$2,196,726
Sep-13	3717	$1,262,285
Oct-13	3564	$1,197,950
Nov-13	1997	$1,379,307
Dec-13	1672	$1,400,272
Jan-14	3018	$774,855
Feb-14	1972	$1,209,637
Mar-14	1765	$524,284
Apr-14	3716	$815,820
May-14	3929	$726,794
Jun-14	4252	$725,273
Jul-14	4890	$1,643,790
Aug-14	4693	$850,267
Sep-14	4474	$674,584
Oct-14	3095	-$207,730
Nov-14	1149	$548,383
Dec-14	1382	$580,601
Jan-15	1783	$1,141,302
Feb-15	719	-$484,993
Mar-15	417	$732,196
Apr-15	1991	$410,101
May-15	2992	$812,490
Jun-15	3702	$792,661
Jul-15	3029	$1,860,956
Aug-15	2755	$1,875,343
Sep-15	1750	$1,585,579
Oct-15	899	$1,035,616

Nov-15	336	$1,028,978
Dec-15	652	$585,677
Jan-16	1763	$630,997
Feb-16	907	$180,688
Mar-16	2054	-$204,363
Apr-16	3790	$520,245
May-16	4176	$824,414
Jun-16	3804	$1,235,462
Jul-16	3161	$1,492,721
Aug-16	3726	$1,910,055
Sep-16	3894	$1,687,410
Oct-16	2912	$1,016,362
Nov-16	2418	$1,320,070
Dec-16	1959	$976,805
Jan-17	2026	$661,890
Feb-17	1924	$805,298
Mar-17	2050	$409,321
Apr-17	3255	$575,063
May-17	4156	$715,257
Jun-17	3398	$1,241,798
Jul-17	2313	$1,477,136
Aug-17	3676	$1,745,343
Sep-17	3111	$1,200,138
Oct-17	1933	$983,608
Nov-17	2343	$1,040,388
Dec-17	1378	$927,562
Jan-18	1992	$506,508
Feb-18	1732	$459,532
Mar-18	2127	$634,233
Apr-18	3545	$777,495
May-18	3673	$862,330
Jun-18	3402	$1,332,935
Jul-18	2740	$1,429,115
Aug-18	2640	$2,123,102
Sep-18	2645	$1,589,761
Oct-18	1529	$1,067,051
Nov-18	1586	$872,882
Dec-18	1603	$679,447
Jan-19	1,952	$845,283
Feb-19	2,689	$390,116
Mar-19	1,646	$513,532
Apr-19	2,878	$1,042,389
May-19	3,554	$1,003,374
Jun-19	3,156	$1,047,232
Jul-19	3,118	$1,561,852
Aug-19	2,732	$1,727,101
Sep-19	3,018	$1,541,593
Oct-19	1,570	$1,581,582
Nov-19	1,129	$831,148
Dec-19	635	$950,998

Exhibit ___ (CP-3)

Schedule 4

Residential Uncollectible and Termination Rates 2020-2022

The Brooklyn Union Gas Company d/b/a National Grid
Residential Uncollectible and Termination Rates
For Periods January 2020 through December 2022

Period	Terminations	Uncollectibles
Jan-20	1110	$699,501
Feb-20	874	$739,714
Mar-20	613	$431,920
Apr-20	0	$533,991
May-20	0	$474,575
Jun-20	0	$622,737
Jul-20	0	$236,793
Aug-20	0	$152,010
Sep-20	0	$420,153
Oct-20	0	$504,939
Nov-20	0	$370,958
Dec-20	0	$434,298
Jan-21	0	$491,906
Feb-21	0	$730,373
Mar-21	0	$526,250
Apr-21	0	$454,859
May-21	0	$760,248
Jun-21	0	$973,074
Jul-21	0	$1,035,787
Aug-21	0	$901,770
Sep-21	0	$1,124,459
Oct-21	0	$799,883
Nov-21	0	$1,198,825
Dec-21	0	$827,567
Jan-22	0	$645,093
Feb-22	0	$293,784
Mar-22	0	-$30,496
Apr-22	0	$1,137,890
May-22	0	$1,348,124
Jun-22	800	$2,029,562
Jul-22	1024	$1,291,905
Aug-22	1150	$1,444,435
Sep-22	654	$1,990,978
Oct-22	283	$2,357,519
Nov-22	224	$2,758,723
Dec-22	131	$1,996,787

Exhibit ___ (CP-4)

Supplemental Information:

KEDLI Recovering Uncollectible Expenses Proposals

Exhibit ___ (CP-4)

Schedule 1a

Net Charge Off - Gas 2017-2019

Keyspan Gas East Corporation d/b/a National Grid
Net Charge Off - Gas
For Periods January 2017 through December 2019
($000's)

Period		(A) Net Charge Off	(B) Tariff Revenue	(C) LPC Revenue	(D) ESCo Supply Revenue Billed	(E) (B) + (C) + (D) Adjusted Revenue	(F) (A) / (E) Uncollectible Rate
	Jan-17	478.9	131,721.7	427.2	14,813.7	146,962.6	0.3259%
	Feb-17	366.1	137,120.5	514.2	15,389.4	153,024.1	0.2392%
	Mar-17	331.1	128,082.1	702.9	13,423.0	142,208.0	0.2328%
	Apr-17	279.1	103,114.4	309.3	11,891.2	115,314.9	0.2420%
	May-17	551.8	69,006.2	603.0	5,570.0	75,179.3	0.7340%
	Jun-17	609.3	51,366.7	515.1	5,787.5	57,669.2	1.0565%
	Jul-17	751.9	43,847.1	471.7	4,070.7	48,389.5	1.5538%
	Aug-17	1,111.7	38,808.6	347.5	3,793.2	42,949.2	2.5884%
	Sep-17	1,112.3	39,675.1	330.8	3,916.3	43,922.2	2.5325%
	Oct-17	943.6	39,409.4	60.5	3,766.4	43,236.3	2.1824%
	Nov-17	354.5	71,784.2	271.1	6,159.0	78,214.3	0.4532%
	Dec-17	429.5	113,341.6	318.4	11,338.2	124,998.1	0.3436%
12 Months Ending December 31, 2017		**7,319.7**	**967,277.5**	**4,871.7**	**99,918.5**	**1,072,067.7**	**0.6828%**
	Jan-18	579.7	161,740.8	544.0	17,592.9	179,877.7	0.3223%
	Feb-18	498.2	152,263.4	704.5	15,322.2	168,290.2	0.2961%
	Mar-18	244.9	146,258.6	450.6	13,258.9	159,968.2	0.1531%
	Apr-18	333.2	132,195.1	486.2	12,834.6	145,515.9	0.2290%
	May-18	475.9	84,676.4	643.7	7,418.5	92,738.6	0.5131%
	Jun-18	482.0	58,408.5	289.2	4,613.6	63,311.2	0.7613%
	Jul-18	653.9	43,924.2	372.3	3,689.7	47,986.1	1.3626%
	Aug-18	1,601.6	40,521.0	352.5	3,590.7	44,464.2	3.6019%
	Sep-18	759.6	43,198.1	191.6	3,655.2	47,044.9	1.6146%
	Oct-18	634.0	48,069.2	259.2	3,943.1	52,271.5	1.2129%
	Nov-18	347.6	81,419.6	355.0	7,239.5	89,014.0	0.3905%
	Dec-18	402.2	137,599.4	407.9	13,022.4	151,029.7	0.2663%
12 Months Ending December 31, 2018		**7,012.7**	**1,130,274.3**	**5,056.6**	**106,181.5**	**1,241,512.3**	**0.5648%**
	Jan-19	569.2	174,592.9	660.2	15,067.4	190,320.5	0.2991%
	Feb-19	427.4	171,886.6	667.5	15,511.8	188,065.9	0.2272%
	Mar-19	239.1	145,273.5	739.0	13,402.1	159,414.6	0.1500%
	Apr-19	470.6	109,354.2	651.5	10,292.0	120,297.7	0.3912%
	May-19	577.1	78,943.0	659.4	6,053.3	85,655.7	0.6737%
	Jun-19	711.5	56,797.6	369.8	4,701.1	61,868.4	1.1500%
	Jul-19	928.6	44,472.6	437.7	3,539.7	48,450.0	1.9167%
	Aug-19	1,101.3	40,912.9	273.7	3,272.0	44,458.5	2.4771%
	Sep-19	761.3	44,164.8	240.8	3,517.0	47,922.6	1.5886%
	Oct-19	798.8	47,931.2	250.7	3,502.4	51,684.3	1.5455%
	Nov-19	302.1	80,744.7	270.4	6,069.1	87,084.2	0.3469%
	Dec-19	302.8	131,557.2	301.4	11,558.8	143,417.3	0.2111%
12 Months Ending December 31, 2019		**7,189.7**	**1,126,631.2**	**5,522.1**	**96,486.6**	**1,228,639.8**	**0.5852%**
36 Months Ending December 31, 2019		**21,522.1**	**3,224,183.0**	**15,450.4**	**302,586.5**	**3,542,219.9**	**0.6076%**

Exhibit ___ (CP-4)

Schedule 1b

Net Charge Off - Gas 2020-2022

KeySpan Gas East Corporation d/b/a National Grid
Net Charge Off
For Periods January 2020 through December 2022
($000's)

Period	(A) Net Charge Off	(B) LPC Revenue	(C) Tariff Revenue	(D) ESCo Supply Revenue Billed	(E) (B) + (C) + (D) Adjusted Revenue	(F) (A) / (E) Uncollectible Rate
Jan-20	412.7	(1.5)	153,528.6	13,373.0	166,900.1	
Feb-20	381.6	(0.9)	142,487.2	12,470.7	154,957.0	
Mar-20	404.9	(0.5)	123,433.9	10,397.2	133,830.7	
Apr-20	383.7	(0.3)	106,640.2	8,184.4	114,824.3	
May-20	333.1	(0.3)	76,249.1	6,298.8	82,547.6	
Jun-20	819.3	(0.4)	54,653.6	3,852.8	58,506.0	
Jul-20	216.1	(1.7)	44,294.4	2,994.3	47,287.0	
Aug-20	192.6	(0.1)	40,527.9	2,658.5	43,186.3	
Sep-20	272.0	(0.1)	43,718.3	2,849.2	46,567.4	
Oct-20	316.6	507.6	47,440.7	3,040.0	50,988.3	
Nov-20	59.6	521.9	77,014.3	5,028.3	82,564.6	
Dec-20	265.2	61.4	115,910.5	8,817.0	124,788.9	
12 month total ending December 31, 2020	**4,057.3**	**1,085.1**	**1,025,898.8**	**79,964.4**	**1,106,948.3**	**0.3665%**
Jan-21	258.0	(0.0)	147,203.9	12,439.6	159,643.4	
Feb-21	471.0	(0.0)	154,861.2	12,986.9	167,848.0	
Mar-21	322.1	(0.5)	144,269.1	12,933.0	157,201.6	
Apr-21	358.8	(0.0)	115,491.5	8,382.1	123,873.6	
May-21	373.4	(0.0)	76,257.9	5,270.7	81,528.7	
Jun-21	422.5	(0.0)	57,238.0	3,336.7	60,574.7	
Jul-21	377.4	(0.0)	49,075.9	3,153.5	52,229.4	
Aug-21	311.1	(0.1)	46,381.9	2,870.5	49,252.3	
Sep-21	403.7	(0.0)	48,244.3	2,898.6	51,143.0	
Oct-21	459.9	(0.4)	57,296.0	3,122.1	60,417.7	
Nov-21	356.5	(0.0)	90,674.4	4,845.8	95,520.3	
Dec-21	341.7	(0.0)	157,194.9	9,114.6	166,309.5	
12 month total ending December 31, 2021	**4,456.2**	**(1.3)**	**1,144,189.2**	**81,354.2**	**1,225,542.1**	**0.3636%**
Jan-22	3,492.4	743.6	185,017.5	12,266.6	198,027.8	
Feb-22	602.8	596.1	196,304.6	14,220.3	211,121.0	
Mar-22	531.0	539.7	175,541.6	12,361.2	188,442.5	
Apr-22	841.8	517.9	133,983.7	10,429.4	144,931.0	
May-22	874.6	398.0	93,762.7	6,258.1	100,418.8	
Jun-22	1,160.4	425.9	67,110.7	4,338.5	71,875.1	
Jul-22	2,218.5	423.8	61,263.5	3,657.4	65,344.7	
Aug-22	2,088.1	417.5	58,169.4	3,456.7	62,043.6	
Sep-22	319.3	403.7	64,260.9	3,628.7	68,293.2	
Oct-22	1,111.5	393.9	70,869.7	4,282.0	75,545.5	
Nov-22	1,501.5	756.9	103,341.7	5,536.2	109,634.9	
Dec-22	1,468.4	823.2	180,543.5	9,246.2	190,612.8	
12 month total ending December 31, 2022	**16,210.3**	**6,440.2**	**1,390,169.4**	**89,681.3**	**1,486,290.9**	**1.0907%**
36 Months Ending December 31, 2022	**24,723.9**	**7,524.0**	**3,560,257.4**	**250,999.9**	**3,818,781.3**	**0.6474%**

Exhibit ___ (CP-4)

Schedule 2

Historical Net Charge off and Adjusted Revenue 2017-2019

KeySpan Gas East Corporation d/b/a National Grid
Historical Net Charge off and Adjusted Revenue
For Periods 2017-2019

Period	Net Charge Off	Adjusted Revenue
2017-2019	$21,522.09	$3,222,883.94
(3 year)		**0.6076%**
2019	7,189.716	1,228,639.841
		0.5852%
2018	7,012.678	1,241,512.336
		0.5648%
2017	7,319.701	1,072,067.722
		0.6828%

Exhibit ___ (CP-4)

Schedule 3

Residential Uncollectible and Termination Rates 2012-2019

KeySpan Gas East Corporation d/b/a National Grid
Residential Uncollectible and Termination Rates
For Periods January 2012 through December 2019

Period	Terminations	Uncollectibles
Jan-12	476	$920,223
Feb-12	452	$733,043
Mar-12	457	$569,651
Apr-12	473	$1,844,977
May-12	1118	$572,049
Jun-12	1399	$684,359
Jul-12	508	$669,190
Aug-12	1218	$667,403
Sep-12	1020	$634,089
Oct-12	823	$862,267
Nov-12	0	$505,295
Dec-12	0	$664,582
Jan-13	0	$770,546
Feb-13	11	$554,784
Mar-13	76	$446,114
Apr-13	1056	$675,446
May-13	1534	$1,249,863
Jun-13	1187	$488,063
Jul-13	868	$365,518
Aug-13	1133	$564,980
Sep-13	1233	$818,736
Oct-13	1014	$630,389
Nov-13	80	$1,569,769
Dec-13	0	-$12,727
Jan-14	6	$880,859
Feb-14	18	$453,410
Mar-14	325	$5,690,004
Apr-14	1036	$567,982
May-14	1878	$403,096
Jun-14	1595	$526,986
Jul-14	1802	$799,757
Aug-14	1174	$1,237,805
Sep-14	918	$1,289,337
Oct-14	1043	$675,449
Nov-14	35	$595,669
Dec-14	22	$1,480,159
Jan-15	1	$755,854
Feb-15	1	$341,927
Mar-15	202	$186,154
Apr-15	997	$326,070
May-15	1828	$452,787
Jun-15	3053	$538,081
Jul-15	2162	$566,951
Aug-15	2045	$1,261,827
Sep-15	1961	$1,024,943
Oct-15	1062	$506,380

Nov-15	117	$510,201
Dec-15	99	$523,234
Jan-16	44	$248,873
Feb-16	302	$51,384
Mar-16	348	$125,710
Apr-16	921	$368,485
May-16	2576	$308,400
Jun-16	2696	$433,852
Jul-16	1997	$440,360
Aug-16	2226	$682,722
Sep-16	1682	$500,960
Oct-16	812	$490,864
Nov-16	105	$287,974
Dec-16	56	$271,142
Jan-17	153	$421,313
Feb-17	229	$282,724
Mar-17	272	$218,509
Apr-17	1289	$223,419
May-17	1915	$350,480
Jun-17	1768	$440,966
Jul-17	1871	$520,248
Aug-17	2068	$788,264
Sep-17	1532	$686,381
Oct-17	976	$703,081
Nov-17	6	$344,845
Dec-17	1	$439,268
Jan-18	71	$493,784
Feb-18	287	$278,431
Mar-18	127	$143,468
Apr-18	958	$174,566
May-18	1987	$369,524
Jun-18	1709	$345,666
Jul-18	1353	$469,722
Aug-18	1684	$1,058,977
Sep-18	1529	$654,128
Oct-18	1064	$386,539
Nov-18	15	$340,866
Dec-18	2	$319,979
Jan-19	8	$436,697
Feb-19	86	$263,379
Mar-19	168	$221,034
Apr-19	985	$369,728
May-19	2,118	$439,559
Jun-19	2,031	$391,133
Jul-19	2,102	$786,658
Aug-19	1,958	$913,110
Sep-19	2,152	$569,285
Oct-19	676	$490,167
Nov-19	2	$304,023
Dec-19	0	$285,517

Exhibit ___ (CP-4)

Schedule 4

Residential Uncollectible and Termination Rates 2020-2022

KeySpan Gas East Corporation d/b/a National Grid
Residential Uncollectible and Termination Rates
For Periods January 2020 through December 2022

Period	Terminations	Uncollectibles
Jan-20	0	$316,948
Feb-20	215	$262,531
Mar-20	147	$202,604
Apr-20	0	$287,920
May-20	0	$244,436
Jun-20	0	$548,147
Jul-20	0	$160,486
Aug-20	0	$169,809
Sep-20	0	$202,268
Oct-20	0	$48,907
Nov-20	0	$130,952
Dec-20	0	$149,547
Jan-21	0	$157,050
Feb-21	0	$221,945
Mar-21	0	$238,360
Apr-21	0	$231,815
May-21	0	$309,832
Jun-21	0	$312,286
Jul-21	0	$295,553
Aug-21	0	$272,233
Sep-21	0	$287,683
Oct-21	0	$252,577
Nov-21	0	$254,489
Dec-21	0	$275,739
Jan-22	0	$440,968
Feb-22	0	$346,530
Mar-22	0	$377,750
Apr-22	0	$547,814
May-22	0	$583,252
Jun-22	0	$557,967
Jul-22	577	$701,724
Aug-22	933	$474,401
Sep-22	796	$485,038
Oct-22	343	$1,017,886
Nov-22	17	$1,421,233
Dec-22	30	$1,238,711

Exhibit ___ (CP-5)

Supplemental Information:

No-fee Model for Debit and Credit Card Payment Proposal

Program Title: Fee Free Card Payments (Residential Customers Only)

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") offer residential customers the ability to pay their utility bill with a credit/debit card via a third-party card processor Speedpay (ACI Worldwide). Customers can pay their utility bills via CC/DC in several ways. First, customers can pay using a card on the National Grid website or through the National Grid mobile app. Second, customers enrolled in electronic billing receive an email with a link that takes them to a site where they can pay via CC/DC. Finally, customers can pay by phone using the automated telephone system ("IVR"). Residential customers who use one of these options to make a CC/DC payment incur a convenience fee of $1.75 for payment amounts up to $1,300.00, and they can make 5 payments in a 30-day period. National Grid does not currently accept recurring CC/DC payments because customers must actively accept the vendor's transaction fee at the time of each transaction.

The Companies propose to include in base rates the estimated cost to recover the fees incurred by KEDNY and KEDLI when residential customers make CC/DC payments. This is referred to as a "no-fee model." The no-fee model would eliminate the per-transaction cost to customers paying by CC/DC by shifting that cost into base rates.

Program Justification:

Shift in Payment Methods: The Companies continue to see an increase in customers using electronic forms of payment with non-electronic forms of payment such as check decreasing. KEDNY saw its check volumes drop 11.5% and KEDLI 14% compared to overall payment methods from 2017 to 2022. Customer have shifted to electronic forms of payment with CC/DC seeing a 3.3% increase in overall payment volumes for KEDNY and KEDLI saw a 2.4% increase in that same period. To put this into perspective, in 2022 checks made up 15% of KEDNY and 21% of KEDLI for overall payment methods, while cards made up 7% for KEDNY and 5% in KEDLI.

Increase Customer Satisfaction: In 2021 John Hazen, managing director of utilities at market research company J.D. Power, stated in an article on creditcards.com, "customer satisfaction ratings for utilities that assess those convenience fees are lower than ratings for utilities that fold those convenience fees into their rates. Transitioning to a no-fee model will benefit customers LMI customers who receive public assistance benefits via pre-paid debit cards. Under the current model, these customers can pay their utility bill with their pre-paid debit card but must use a portion of the benefits to cover the vendor fee for CC/DC payments, resulting in an added economic disadvantage. Adopting a no-fee model will eliminate the need for a portion of public assistance benefits being used to pay this administrative fee. The National Association of State Utility Consumer Advocates noted in a study (nasuca.org) argued that convenience fees unfairly punish utility customers who might make several payments in a month. Also, with a no-fee model the Companies can apply with VISA for a utility rate that would potentially lower the fees even lower

than current rates. Additionally, in customer feedback they have indicated that the ability to make CC/DC payments with no fee would improve the customer experience. Customers have become accustomed to paying without convenience fees when shopping online or paying for services like their mobile phone. Online companies for example can insert these fees into their overall product costs/pricing. Moving to a no-fee model will help meet customer expectations for improved payment options and enhance customer ease and overall experience.

Program Costs
National Grid is requesting recovery for these card fees for residential customers.

Program Budget: The proposed budget will cover the convenience fee that customers currently pay when using a credit/debit card via Speedpay (ACI Worldwide).

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Non-Labor (Fees)	$3,174,163	$4,761,244	$7,141,866	$10,712,798
KEDLI				
Non-Labor (Fees)	$1,255,414	$1,883,120	$2,824,680	$4,237,021

Customer Benefits:
Customers who participate in the program will benefit from:

- No longer having to pay the convenience fee while using a credit/debit card via Speepday (ACI worldwide)

Exhibit ___ (CP-6)

Supplemental Information:

Energy Efficiency Proposals

Exhibit ___ (CP-6)

Schedule 1

Weatherization Health & Safety

Program Title: Weatherization Health & Safety

Brief Description:

In 2022, The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") provided Low-and-Moderate Income ("LMI") and Disadvantaged Communities customers remediation services to eliminate health and safety barriers toward participating in weatherization programs. These activities have included, but are not limited to, remediation of carbon monoxide hazards, mold, pests, insufficient wiring or ventilation, plumbing problems, blocked access to spaces in the home, unsafe appliances, and unsafe condition of the customer-owned gas line. Upon completion, the actual weatherization is completed.

These efforts were initially a shareholder-funded venture. Due to the successful uptick in participation by LMI customers, the Companies propose to continue the offerings through the rate year and beyond and to include funding for the remediation program in their revenue requirements.

Examples of the remediation program are as follows:

Project 1: Customer received a Home Energy Assessment through the KEDLI HEAT program where they installed a carbon monoxide detector and smoke detector. They suspected that the attic had vermiculite and left behind a health and safety form. The customer was referred to the Weatherization Health and Safety program. The program removed the vermiculite through cooperation of several contractors that provided testing and monitoring during abatement, remediation and proper ventilation. Once removed, weatherization measures were able to be performed such as air sealing attic flat areas, 16" of blown in attic insulation, insulating wrap to curtain walls, installing baffles and insulating attic hatches. Costs: $32,093.88 for health and safety work, $12,734.49 for weatherization work

Project 2: Customer received a Home Energy Assessment through KEDLI HEAT where they installed 2 carbon monoxide detectors and installed and weather-stripped the ceiling hatch, installed 3 smoke detectors and one temperature and pressure drip tube on the direct hot water tank. It was recommended that the boiler be replaced as there was high carbon monoxide in the flue. The assessment also found that there were some electrical issues as well as a leak in the roof. Through the cooperation of several contractors, the roof was replaced, the unsafe wiring was addressed and the bathroom was re-energized so proper ventilation could be provided. The contractor covered the service panel and junction into the attic as well. Once this work was complete, the boiler was able to be replaced and weatherization measures were provided such as 16" blown in attic insulation, attic air sealing, installing baffles and spraying the rim joists. Costs: $22,025 for health and safety work, $19,736.13 for weatherization and boiler replacement.

Program Justification:

Make Weatherization Accessible to All. Over seven hundred LMI and Disadvantaged Community customers took advantage of this supplemental program, over the course of the last rate plan.

Increase Disadvantaged Community Participation. The Climate Leadership Council Protection Act ("CLCPA") designates that at least 35% of the benefits of clean energy be directed to Disadvantaged Communities. And, while the Companies aim to exceed these expectations, sometimes external drivers like the examples stated above prevent these efforts. Initiatives like the Weatherization Health & Safety Program are imperative in ensuring that everyone has equal access to more complex programs that deliver longer term energy savings.

Meet Energy Efficiency Targets. Increased access for all eligible customers ensures the Companies' ability to support the greenhouse gas ("GHG") emission reduction goals set forth in New York's CLCPA.

Program Costs
National Grid is requesting recovery for outsourced remediation activities. The Companies' work with their implementation contractor as well as NYSERDA to partner with the necessary installation and repair contractors to complete the projects. The Companies are then invoiced upon completion.

Incentives: The proposed budget will cover all required services to prepare a site for weatherization. This may include ventilation fans, installation of carbon monoxide detectors, tuning natural gas equipment, septic and plumbing troubleshooting, roof replacement, removal of mold and asbestos, pest control, moisture control, and correcting potential electrical hazards.

Administration: The proposed budget will cover administrative fees associated with working with the Companies' implementation contractor who is responsible for managing the contractor network, incentive payment, quality control, contact center services, reporting and other administrative work.

Marketing: The proposed budget will cover minimal costs associated with marketing the programs to make LMI customers aware that this opportunity is available to them.

Home Assessments: The proposed budget will cover an additional more in-depth Health and Safety Assessment as needed to identify and scope out the existing health and/or safety issues in the home.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$0	$0	$0	$0
Non-Labor ($000's)	$750	$750	$750	$75
FTE Count				
KEDLI				
Labor & Overheads ($000's)	$0	$0	$0	$0
Non-Labor ($000's)	$1,750	$1,750	$1,750	$1,750
FTE Count				

Customer Benefits:

Customers who participate in the Weatherization Health & Safety program will benefit from:

- Opportunity to receive weatherization services which can result in reduced energy costs.
- Obtaining a no-direct-cost home safety upgrade.
- Guided program delivery.
- Increased home safety and comfort and potential for improved health outcomes

Exhibit ___ (CP-6)

Schedule 2

Disadvantaged Community Outreach

Program Title: Disadvantaged Community Outreach

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") will test multiple strategies to engage customers within Disadvantaged Communities to participate in Energy Efficiency programs. This effort will include in-person events, localized social media campaigns, distribution of innovative education materials, community partnerships, and customer referrals. The goal here is to identify key barriers to engagement in EE programs within these communities and the best strategies to overcome them.

The Companies are committed to exceeding the Climate Leadership Council Protection Act ("CLCPA") goal of directing 35% of energy efficiency resources to Disadvantaged Communities. These research techniques and strategies would align directly with enrolling customers in the Companies' programs during the rate plan. The program also aims to identify normative beliefs in these communities, related to energy efficiency programs, and to provide active education as needed.

Program Justification:

Increase Disadvantaged Community Participation. Customized education and communication strategies will enable clear messaging to this target audience, delivering an uptick in program participation, as well as an understanding of all offerings. The outcomes of this effort will ensure future outreach and engagement utilizes the most effective channels within each community.

Meet Energy Efficiency Targets. Increased program participation, in addition to improved community trust, will assist the Companies in delivering more complex and long-term transition programs, where the value propositions may be hard to understand or overshadowed by other barriers and affordability issues.

Program Costs
National Grid is requesting recovery for targeted outreach campaigns and communication materials, including community events, mailers, brochures, media campaigns, and customer referrals.

Community Events & Partnerships: The proposed budget will cover initial setup and materials to host localized in-person educational events.

Delivery of Innovative Materials: This includes marketing development, print and distribution costs, social media campaigns, as well as educational mailers and brochures.

Customer Referral Incentives: Scope and design of a referral process, incentives for referral, and customer acceptance testing.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$0	$0	$0	$0
Non-Labor ($000's)	$250	$0	$0	$0
FTE Count				
KEDLI				
Labor & Overheads ($000's)	$0	$0	$0	$0
Non-Labor ($000's)	$250	$0	$0	$0
FTE Count				

Customer Benefits:

Customers who targeted by the program will benefit from:

- Fair and knowledgeable access to energy efficiency programs.
- Customized educational interactions and materials.
- More direct channels to interact with the Companies.

Exhibit ___ (CP-6)

Schedule 3

Language Access Program

Program Title: Language Access Program

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") recognize that that language access is a significant barrier to customer participation in energy efficiency programs, most notably across customers in the Low-and-Moderate Income ("LMI") and Disadvantaged Community demographics. And, while the Companies' in-house websites do enable translation capabilities, many smaller program delivery partners do not. Since inquiries related to energy efficiency programs are directed to these external implementation vendors, and not to the in-house call center, customers can run into language translation issues.

A strategic approach is necessary to identify best practices and begin to deploy in-language communications specific to the Companies' energy efficiency offerings. The Companies' program teams will provide a mix of language accessibility services to apply to external websites, flyers, brochures, direct mailers, and advertisements, when appropriate. The Companies will leverage in-house marketing services and/or specialty vendors. Services may also include remote translation and translation of these written materials.

Once these more beneficial delivery methods have been tested and evaluated, these tactics will be integrated into the Companies' standard communication procedures.

Program Justification:

Increased Energy Efficiency Participation. Multicultural studies have identified a lack of awareness in the Companies' offerings. Additionally, these studies have resulted in requests for improved communication. Ethnographic research with the LMI sector has also supported the need for improved awareness and ease of access to our offerings where language access presents a clear opportunity.

Meeting Energy Efficiency Targets. This program will draw the participation of customers who would have otherwise avoided unnecessary interaction with the Companies, due to language barriers. Translation services will be made available at the initial point of contact, where most participants with little understanding of the English language would normally be discouraged to explore.

Program Costs
National Grid is requesting recovery for design and testing of tactics and products aiming to remove language barriers.

Written Materials: The proposed budget will cover websites, flyers, brochures, direct mailers, and advertisements.

Remote Translation: This portion of the budget will be dedicated to testing the feasibility of remote translation of the written materials and websites, described above.
Marketing & Specialty Vendors: The Companies will consult with external subject matter experts to gather best practices, lessons learned, and overall delivery strategy and tactics.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$0	$0	$0	$0
Non-Labor ($000's)	$125	$0	$0	$0
FTE Count				
KEDLI				
Labor & Overheads ($000's)	$0	$0	$0	$0
Non-Labor ($000's)	$125	$0	$0	$0
FTE Count				

Customer Benefits:
Customers who participate in the Language Access program will benefit from:

- Ease of access to EE programs
- Energy savings options
- Improved equity and value

Exhibit ___ (CP-6)

Schedule 4

Digital Building Replica

Program Title: Digital Building Replica

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") look to pilot a program that will deliver a digital replica of one (or many) schools, within a Disadvantaged Community. This digital replica would create a virtual data model of a building that functions identically to its physical counterpart. The generated model will enable the Companies to better help customers understand the energy impact of various decisions, and to empower customers with greater ability to plan energy efficiency upgrades without (or in advance of) hiring an external evaluation vendor.

The program will inform: (i) the types of measures that are most cost-effective and yield most savings for large buildings; (ii) whether a more universal model could be created to serve a wider range of customers, allowing them to plan and initiate efficiency upgrades they may have otherwise been unaware of; and (iii) whether, from a financial perspective the development of a building-specific model is cost effective to assist all commercial and industrial ("C&I") customers in planning potential EE upgrades.

Program Justification:

Cost-Effective Energy Efficiency. Advanced modeling and simulation for predictive analysis is becoming a widely accepted tool, with several studies identifying the benefits of its implementation across other sectors, such as building maintenance and electric efficiency. If successful, this will greatly reduce customer costs to understand which energy efficiency options they would benefit from deploying.

Meet Energy Efficiency Targets. Digital modeling will not only reduce front-end costs but, it will also shed light on potential energy efficiency savings that may have otherwise gone overlooked. The building replica would shed light on energy savings potential across the entire interior and exterior of the location, rather than solely what is perceived by traditional evaluation activities.

Program Costs
National Grid is requesting recovery for the construction and delivery costs of Digital Building Replica(s) of one or more school buildings within the Companies' territories.

Evaluation & Build. In a typical high school building that is 100,000ft^2, consultancy cost allowance should be between \$0.50 and \$0.70 per ft^2. Overall, the budget allowed, including consultancy, will be between \$1.00 and \$1.50 per ft^2. There is an assumption of a fixed cost for systems hardware integration and software platforms that is also included. For this type of building the budget for the Digital Building Replica would be roughly between \$100k and \$150k. The Companies would look to incorporate as many schools into the pilot as the budget would allow.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$0	$0	$0	$0
Non-Labor ($000's)	$200	$0	$0	$0
FTE Count				
KEDLI				
Labor & Overheads ($000's)	$0	$0	$0	$0
Non-Labor ($000's)	$300	$0	$0	$0
FTE Count				

Customer Benefits:
Customers who participate in the Digital Building Replica program will benefit from:

- Customized suite of potential energy efficiency projects
- An interactive, informative tool that will drive action
- Hidden energy efficiency opportunities
- Reduced energy costs

Exhibit ___ (CP-6)

Schedule 5

Energy Efficiency Full-time Equivalents

Program Title: Energy Efficiency Full-time Equivalents ("FTEs')

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") recognize the importance of delivering on the ambitious goals set out in the Climate Leadership Council Protection Act ("CLCPA"). To deliver on these aggressive targets, initiatives and the New Efficiency: New York ("NE:NY") targets, the Companies need to strengthen existing building envelope programs and to develop and deploy new programs, with a stronger ability to focus on LMI customers and Disadvantaged Communities.

Since the issuance of the January 2020 NE:NY Order, which ramps up the energy efficiency savings targets by 449 percent and 296 percent for KEDLI and KEDNY, respectively, for 2021 through 2025, the focus of energy efficiency programs has changed from programs that administer monetary incentives to install more efficient gas appliances to a far more labor-intensive programs with emphasis on building envelope enhancement. Although the Companies' initial efforts in transitioning to the more labor-intensive building envelope measures ran into headwinds due to the pandemic and supply chain shortages, recent experience indicates that interest in these programs is intensifying dramatically.

The cohort of existing FTEs were assembled to design the first layer of program build and delivery, without future expansion considered. Now that the portfolios are maturing and ready to deliver more to customers, they require a proportionate workforce to handle the dramatically increasing demand. Otherwise, the Companies will risk remaining stagnant toward achieving the CLCPA's carbon reduction targets, both current and future.

Program Justification:

Meet Energy Efficiency Targets. Achieving the CLCPA goals of net zero emissions by 2030 will require accelerated energy efficiency and building decarbonization. To ensure the Companies' ability to deliver on these goals, they need to grow a workforce proportionate to the exponentially increasing targets.

Focus on Disadvantaged Communities. Appropriate levels of focus are required to address equity and a just transition, especially for customers in Disadvantaged Communities. The CLPCA requires at least 35 percent of the State's clean energy investments be directed to Disadvantaged Communities. Program delivery within these communities requires adequate attention to ensure that these levels are exceeded.

Deploy Measures with Deeper Savings In order to drive the necessary uptick in measures that deliver longer lifetime savings, in a shorter time frame, appropriate staffing levels and expertise are required. Building envelope programs are much more labor intensive than historic energy efficiency programs. The current volume of projects is too high for existing Program Management resources, due to intentional levels of growth.

Program Costs
National Grid is requesting recovery for 14 FTEs to support the increasing efforts to deliver CLCPA and NE:NY targets.

Program Budget: The proposed budget will cover Labor and Overheads for 14 FTEs

Increase in FTEs: A description of each role can be found in Appendix 1

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$961.7	$986.5	$1,011.5	$1,036.5
Non-Labor ($000's)	$0	$0	$0	$0
FTE Count	7	7	7	7
KEDLI				
Labor & Overheads ($000's)	$979.6	$1,005.0	$1,030.5	$1,056.1
Non-Labor ($000's)	$0	$0	$0	$0
FTE Count	7	7	7	7

Customer Benefits:
Customers will benefit from:

- Increased awareness of energy efficiency offerings
- Streamlined application and delivery process of energy efficiency programs
- More knowledgeable contacts throughout the customer journey
- Reduced energy costs

APPENDIX 1

Category	Count	Position	Job Description	Reporting Line
Program Delivery	1	Manager - DNY Clean Energy	**All Programs / TBD** - Manage increased complement of energy efficiency program delivery personnel for the functions reporting up to Sales & Solutions Director. Ensure proper span and layers of control within organization. Oversee increased workload generated by custom, multifamily, and weatherization program activity requiring review of individual project documentation, together with activities to expand and maintain trade ally networks and to serve greater numbers of customers in Disadvantaged Communities. Management structure will be adjusted to reflect the complement of new hires.	Director, Sales & Solutions
Program Delivery	1	Analyst - Energy Efficiency Program Manager	**Residential (including LMI, Disadvantaged Communities)** - Responsible for day-to-day implementation of energy efficiency programs. Work with Procurement team to engage and oversee Implementation Vendors and the trade ally networks created by Vendors. Create new and updated program documents (applications, partner agreements). Monitor program incentive levels and performance against savings and budgets. Review all customer applications and work packages received from the vendor. Troubleshoot problems. Interface with NG's marketing specialists to develop and deploy marketing to attract customer applications. Coordinate execution of NG's Residential program with Empower LMI program, KEDLI HEAT and other enhanced offerings for customers in Disadvantaged Communities.	Director, Sales & Solutions
Program Delivery	1	Lead Analyst - Energy Efficiency Program Manager	**Multifamily (including LMI, Disadvantaged Communities) -** Responsible for day-to-day implementation of energy efficiency programs**.** Work with Procurement team to engage Implementation Vendors. Develop program documentation. Oversee implementation vendor. Monitor program incentive levels and performance against savings and budgets. Review all customer applications or work packages received from the vendor. Troubleshoot problems. Interface with NG's marketing specialists to develop and deploy marketing to attract customer applications. Coordinate with Technical Sales and Trade Ally manager to ensure program uptake is aligned with goals and that customer experience is satisfactory. Coordinate with Joint Utilities on Affordable Multifamily Energy Efficiency Program (AMEEP) implementation. Coordinate closely with ConEdison on comprehensive multifamily measures in shared service territory. Coordinate execution of enhanced offerings targeted to Disadvantaged Communities. Support growing applicant pool of New York City Housing Authority (NYCHA) buildings.	Director, Sales & Solutions

Program Delivery	1	Analyst - Energy Efficiency Trade Ally Representative	**Residential Focus (including Disadvantaged Communities)** - Build and maintain network of trade allies interfacing with National Grid's energy efficiency programs, focusing initially on Residential and Multifamily sector, split between KEDLI and KEDNY. Attend in-person events and connect virtually and by phone to conduct outreach and educate trade allies about NG's program offerings. Answer questions regarding eligibility and program terms, troubleshoot problems or roadblocks with application process. Provide feedback to Program Managers on program design and pipeline based on trade ally input. Communicate program changes to contractors and other trade allies. Ensure trade allies are actively promoting Companies' program offerings to customers. Ensure Trade Allies are providing a positive customer experience by positioning customers for easy application process and optimized savings/incentives.	Director, Sales & Solutions
Program Delivery	1	Lead Analyst - Energy Efficiency Trade Ally Representative	**Residential Focus (including Disadvantaged Communities)** - Build and maintain network of trade allies interfacing with the Companies' energy efficiency programs, focusing initially on Residential and Multifamily sector, split between KEDLI and KEDNY. Attend in-person events and connect virtually and by phone to conduct outreach and educate trade allies about NG's program offerings. Answer questions regarding eligibility and program terms, troubleshoot problems or roadblocks with application process. Provide feedback to Program Managers on program design and pipeline based on trade ally input. Communicate program changes to contractors and other trade allies. Ensure trade allies are actively promoting NG's program offerings to customers and providing a positive customer experience by positioning customers for easy application process and optimized savings/incentives.	Director, Sales & Solutions
Program Delivery	1	Analyst - Program Manager- Small Business	**Small Business (Disadvantaged Communities emphasis)** - Shared between KEDNY and KEDLI. **New** function to support SBS market segment in DNY by offering measures tailored to small businesses in DNY. (Currently offered under C&I umbrella). Work with Procurement team to engage and oversee Implementation Vendors as needed for Small Business (SBS) offerings that are not currently encompassed by vendor contracts. Develop program documentation and become expert in existing program documentation that applies to SBS. With respect to unique SBS offerings: (1) monitor program incentive levels and performance against savings and budgets; (2) review all customer applications or work packages received from the vendor(s). Troubleshoot problems impacting SBS customers. Interface with NG's marketing specialists to develop and deploy marketing to attract small business applications for energy efficiency programs. Coordinate with Technical Sales and Trade Ally manager to ensure program uptake is aligned with goals and that customer experience is satisfactory. Coordinate execution of enhanced offerings targeted to Disadvantaged Communities.	Director, Sales & Solutions

Program Delivery	1	Analyst - Energy Efficiency (C&I and SBS-focused)	**C&I and SBS (Including Disadvantaged Communities)** Hybrid role incorporating Sales and Analyst tasks. Provide a streamlined experience for the C&I and Small Business (SBS) customer segment by serving as a single point of contact for customers participating in multiple programs. This FTE will maintain deep expertise as to all of KEDLI and KEDNY's current non-residential energy efficiency Program offerings and implementation vendors and will respond to customer inquiries, troubleshooting problems and roadblocks. This role will also liaise with Implementation Vendors to confirm customer eligibility, application and payment status, and help to streamline choice of contractors. Additionally, the FTE will monitor customers' application status and provide process support, QA/QC documentation, and report on application metrics. Real-time, detailed analysis of market and application trends will allow for more timely program modifications. This role is anticipated to significantly improve the customer and trade ally experience by reducing project cycle times, increasing program participation and maximizing savings per customer.	Director, Sales & Solutions
Technical Sales Support	1	Analyst - Energy Efficiency Customer Solutions Backoffice	**C&I and Multifamily program (including Disadvantaged Communities and AMEEP LMI multifamily).** Review project documentation, enter into InDemand system and pay incentives. Customer experience is enhanced by ensuring timely invoice processing. Timing of payment is particularly sensitive for customers that are more economically challenged (e.g. customers in Disadvantaged Communities). This FTE will focus on custom programs and will serve AMEEP (LMI Multifamily), as well as market rate programs. The typical number of applications processed per EEA is 325. In 2022, 637 custom applications were received via Sales team requiring processing by this analyst role, straining existing resources. This pipeline is expected to grow. In addition to handling applications and work packages, this FTE will provide review and QA-QC of documentation and process payments to third-party vendors that provide engineering analysis for custom applications. This additional resource will allow us to reduce costs by $30k by bringing this workload in-house, and allow flexibility to devote the resource across multiple programs instead of outsourcing to multiple implementation vendors. Compliance and oversight ability is strengthened by capacity for this in-house role.	Director, Technical Sales

Technical Sales Support	1	Lead Systems Analyst	**All Programs.** Support current In-Demand System (security, admin/maintenance, troubleshooting, adding data fields to meet evolving regulatory requirements) while overseeing transition to Clean Energy 2.0 platform. Work requests coming into InDemand are increasing year-over-year; In 2022, over 900 work requests were received (each representing a change to the system coding or data fields - for example, a change to a program measure or updating gross savings to verified gross savings). This list is growing as programs and sub-programs grow, and measures continue to evolve. With the new CE 2.0, there will be more self-service capability, reducing reliance on third-party IT vendor to service the platform, yet meaning that more activity will be performed in-house. Currently, 4 FTEs support InDemand and are divided among C&I, Resi, Security, and 'general requests.' An additional FTE is necessary to be dedicated to supporting Evaluation, Measurement and Verification (EM&V)-related requests and system capabilities (such as updating realization rates / verified gross savings, baseline changes, Statewide Technical Resource Manual changes, and weather-related data points to support calibrated savings calculations). Timely completion of these requests is critical to ensure accuracy of regulatory reporting, which is time-sensitive. The speed with which our programs can make changes are currently often limited by this function.	Director, Technical Sales
Channel Sales	1	Representative - Channel Sales	**C&I (including Small Business and Disadvantaged Communities emphasis) -** This role will expand the network of trade allies and trade associations interfacing with National Grid's energy efficiency programs, focusing on the C&I and Small Business segment, split between KEDLI and KEDNY. Attend in-person events and connect virtually and by phone to conduct outreach and educate trade allies about NG's program offerings. Answer questions regarding eligibility and program terms, troubleshoot problems or roadblocks with application process. Communicate program changes to contractors and other trade allies. Ensure trade allies are actively promoting NG's program offerings to customers. Ensure Trade Allies are providing a positive customer experience by positioning for easy application process and optimized savings/incentives. Provide feedback to NG's team on program design and pipeline based on trade ally input. This FTE will be essential to build active relationships with trade allies who serve customers in Disadvantaged Communities. The Channel Sales roles will allow our programs to enhance supplier and workforce diversity of the trade allies bringing the Companies' energy efficiency programs to customers in Disadvantaged Communities.	Director, Sales & Solutions

Channel Sales	1	Representative - Channel Sales	**Multifamily (including AMEEP LMI Multifamily and Disadvantaged Communities emphasis)** This role will expand the network of trade allies and trade associations interfacing with National Grid's energy efficiency programs, focusing on the Multifamily segment, split between KEDLI and KEDNY. Attend in-person events and connect virtually and by phone to conduct outreach and educate trade allies about NG's program offerings. Answer questions regarding eligibility and program terms, troubleshoot problems or roadblocks with application process. Communicate program changes to contractors and other trade allies. Ensure trade allies are actively promoting NG's program offerings to customers. Ensure Trade Allies are providing a positive customer experience by positioning for easy application process and optimized savings/incentives. Provide feedback to NG's team on program design and pipeline based on trade ally input. This FTE will be essential to build active relationships with trade allies who serve customers in Disadvantaged Communities. The Channel Sales roles will allow our programs to enhance supplier and workforce diversity of the trade allies bringing the Companies' energy efficiency programs to customers in Disadvantaged Communities.	Director, Sales & Solutions
Channel Sales	1	Representative - Channel Sales	**Weatherization (Commercial, Multifamily and Small Business Weatherization, including Disadvantaged Communities)** - This role will expand the network of trade allies and trade associations interfacing with National Grid's energy efficiency programs, focusing on the C&I and Small Business segment, split between KEDLI and KEDNY. Attend in-person events and connect virtually and by phone to conduct outreach and educate trade allies about NG's program offerings. Answer questions regarding eligibility and program terms, troubleshoot problems or roadblocks with application process. Communicate program changes to contractors and other trade allies. Ensure trade allies are actively promoting NG's program offerings to customers. Ensure Trade Allies are providing a positive customer experience by positioning for easy application process and optimized savings/incentives. Provide feedback to NG's team on program design and pipeline based on trade ally input. This FTE will be essential to build active relationships with trade allies who serve customers in Disadvantaged Communities. The Channel Sales roles will allow our programs to enhance supplier and workforce diversity of the trade allies bringing the Companies' energy efficiency programs to customers in Disadvantaged Communities**.**	Director, Sales & Solutions

Customer Experience	0.5	Analyst - Green Button Connect Admin	**Green Button Connect -** This role will administer Green Button Connect program day to day operations, which requires reviewing/approval of 3rd party suppliers, handling any inquiries, interfacing with teams within National Grid on related regulatory developments, and managing the implementation of the program and IT-related errors and upgrades. Along with administration of the program, this FTE will collaborate with the Customer Energy Management and Sales & Solutions teams to understand customer behavior to optimize the Green Button Connect platform and inform development of new products and/or services for customers. The data output generated from GBC will allow our customers to monitor their energy usage.	Director, Customer Response
Customer Experience	0.5	Lead Analyst - Customer Journey	**All Programs/TBD -** As new initiatives and programs are introduced into the energy efficiency portfolio it is important for customers to understand and navigate their complexity, in order to fully benefit from energy efficiency offerings. When new programs are introduced, customers are not as familiar or willing to participate as they would be with the traditional suite of offerings. Customers will require education on these more non-traditional offerings (such as new weatherization initiatives) to ensure they move along the journey in the proper succession. This role will act as a liaison between customers and program managers, answering questions about eligibility, available options, and end-to-end process. Further, the Customer Journey analyst will assist with navigating participants from the application process all the way through implementation and evaluation.	Director, Customer Response
Customer Experience	1	Lead Analyst - Customer Experience Architect	**All Programs/TBD -** The Customer Experience Architect connects all aspects of the customers' experience with the Companies. This resource will map the fluidity of customers' needs and expectations and translates these into clear, actionable capabilities. Understanding a customers' perspective will help determine which aspects of interactions deliver on successful program deployment and which create pain points. This role will use several customer experience tools, including detailed customer journey mapping, benchmarking, and detailed analysis to strategically determine improvements to websites, applications, calls, program delivery, and payments to ensure equity and accessibility to energy efficiency programs.	Director, Customer Response

Exhibit ___ (CP-7)

Supplemental Information:
Strategic Account Mangers to Assist Large Commercial and Industrial ("C&I")
Customers Proposal

Program Title: Strategic Account Management

Brief Description:

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") will start a Strategic Account Management group to serve as the primary point of contact for our highest use customers.

The Program costs include 5 incremental full-time equivalents ("FTEs") for the dedicated outreach.

Program Justification:

A single point of contact for our largest high use customers. The Companies have heard from some of our largest customers that a single primary point of contact for all their utility and Clean Energy potential would be helpful and beneficial. The Companies have also had discussions with Utility Leadership Council colleagues from around the country on best practices for Account Management. The proposed group would be this primary point of contact these large high use customers.

The primary expectation for this team is to delve deeper with these customers on all Clean Energy Transition avenues such as education, awareness and then opportunities. This could include a Strategic Energy Management Plan and then work through the implementation of the plan which could include many areas that help NYS achieve the CLCPA goals such as Energy Efficiency, Beneficial Electrification, Battery Storage, Distribution Energy Resources, pilot programs, RNG, H2 blending and Demand Response.

Program Costs
National Grid is requesting recovery for hiring 5 new FTEs to support the program.

Of the 5 incremental FTE's, 4 of them along with 2 internal transfers to this position will have direct high use customers that they are assigned to manage and act as the primary single point of contact for those customers regarding all utility related matters. The additional incremental FTE will be a Manager of the group of Strategic Account Managers.

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$331.4	$340.1	$348.7	$357.4
Non-Labor ($000's)	$	$	$	$
FTE Count	2.5	2.5	2.5	2.5

KEDLI				
Labor & Overheads ($000's)	$337.6	$346.5	$355.3	$364.1
Non-Labor ($000's)	$	$	$	$
FTE Count	2.5	2.5	2.5	2.5

Customer Benefits:
Customers who participate in the program will benefit from:

- increased Customer Satisfaction,
- increased involvement with the Clean Energy Transition,
- reduced Billing Issues and Complaint Reduction,
- primary contact when engaging with Customer Connections for operational issues
- increased executive engagement.

Exhibit ___ (CP-8)

Supplemental Information:

Demand Response Proposal

Program Title: Gas Demand Response Full-time Equivalents ("FTEs")

Brief Description

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") recognize the importance of delivering safe and reliable service to our customers, especially during times of peak demand on the system when gas usage is at its highest. Among the variety of efforts that the Companies make to ensure their ability to serve peak demand, there are two primary means to reduce that demand: (1) their portfolio of firm gas demand response programs, and (2) the non-firm rate class (aka "interruptible" or "temperature-controlled" customers, and sometimes referred to collectively as "non-firm demand response").

The Companies' firm gas demand response efforts began as a pilot of its Load Shedding program (then called "Daily Demand Response") in 2017 and has grown since then to incorporate two others (Load Shedding and Bring Your Own Thermostat (BYOT)), and is now without peer in the United States in scale or scope. However, during the entirety of its existence, the portfolio has operated without a single dedicated program manager to provide support for essential activities such as preparing marketing materials and sales tools, engaging in direct outreach with customers, enrolling and re-enrolling customers, sending out notifications, calculating and processing of performance incentive payments, and data management. Those activities have instead been split among, on the one hand, product development employees on the Distributed Energy Resources team, which is making it increasingly difficult for them to devote time to developing new programs (such as the innovative DOE-funded Hybrid Heating Pilot, which aims to explore whether gas-electric hybrid heating can serve as peaking system resources) and to refining and improving the product portfolio; and, on other hand, commercial sales manager and representatives on the Sales & Solutions team who would otherwise be dedicated to the essential work of managing and scaling the Companies' energy efficiency and weatherization programs, which have their own aggressive targets. In brief, if the Companies are to continue to build upon the innovations of its gas demand response portfolio and scale the efforts that have already proven successful, it cannot do so with its existing complement of FTEs.

The Companies' non-firm rate class has been in existence for an even longer span of time, and is, in aggregate, a sizeable system resource, providing approximately 140,000 dth of design day reductions. However, a variety of factors continue to encourage customers to migrate from non-firm to firm rates, thereby increasing peak load and threatening reliability. Currently, the Companies have no staff dedicated to the non-firm class as a whole; the Companies believe that hiring a dedicated resource presents a significant opportunity to better engage those customers and thereby stem that migration.

Program Justification

Ensure Peak Demand Reductions Necessary to Provide Safe and Reliable Service. If peak demand for natural gas continues to grow as forecast by the Companies (and as acknowledged by PA Consulting in their recent assessment of the Greenpoint LNG Vaporizers), reducing that demand will be essential to ensuring service remains safe and reliable. The Companies will be unable to

continue to grow their demand response programs without appropriate levels of staff to implement those programs.

Ensure Peak Demand Reductions that Will Assist in Deferring or Avoiding the Need for Additional Gas Infrastructure. Reducing peak demand has the additional benefit of deferring or potentially avoiding the need for new gas infrastructure, as emphasized by the Commission in its recent Order on Greenpoint LNG Vaporizers 13 & 14. As above, appropriate levels of staffing are essential to ensure that the Companies can continue to provide the levels of demand reductions needed to accomplish that goal.

Program Costs

National Grid is requesting recovery for 2 FTEs to support the delivery of the gas demand response portfolio and stem the migration of non-firm customers to firm rates

Program Budget: The proposed budget will cover Labor and Overhead for 2 FTEs

Increase in FTEs: A description of each role can be found in Appendix 1

The Companies forecast the following program costs:

Company	Rate Year	Data Year 1	Data Year 2	Data Year 3
KEDNY				
Labor & Overheads ($000's)	$161	$165	$170	$174
Non-Labor ($000's)	$0	$0	$0	$0
FTE Count	1	1	1	1
KEDLI				
Labor & Overheads ($000's)	$159	$163	$167	$171
Non-Labor ($000's)	$0	$0	$0	$0
FTE Count	1	1	1	1

Customer Benefits

Customers will benefit from:

- Safer and more reliable service during times of strain on the gas distribution system
- Lowered costs if peak demand reductions lead to the deferral or avoidance of new gas infrastructure
- More knowledgeable contacts throughout the customer journey
- (*non-firm customers only*) Increased awareness of the benefits of non-firm rates (discounted delivery rates, eligibility for EE programs, etc.)
- Increased uptake of EE offerings by non-firm customers

APPENDIX 1

Category	Count	Position	Job Description	Reporting Line
Program Delivery	1	Lead Analyst - Firm Demand Response Program Management	This FTE will administer Firm DR programs day-to-day, including preparing marketing materials and sales tools, engaging in direct outreach with customers, enrolling and re-enrolling customers, sending out notifications, calculating and processing of performance incentive payments, and data management. A dedicated FTE will be necessary to expand the firm C&I DR programs (Load Shedding and Load Shifting) while re-enrolling existing customers. Current: 0 FTEs (tasks have been filled in by Sales & Solutions and Distributed Energy Resources team time redirected from other programs).	Director, Sales & Solutions
Program Delivery	1	Senior Analyst - Non-Firm Demand Response Program Management	This FTE will administer non-firm DR programs day-to-day, including preparing marketing materials and sales tools, engaging in direct outreach with customers, enrolling and re-enrolling customers, sending out notifications, and data management. A dedicated resource is necessary to run the program while also (1) actively conducting outreach to non-firm customers to clarify how the rate works and its benefits and (2) additional activity to counter the migration of non-firm customers to firm rates. Shared between KEDLI and KEDNY. Current: 0 FTEs (customer outreach and marketing tasks have been filled in by Sales & Solutions team redirected from other programs).	Director, Sales & Solutions

Exhibit ___ (CP-9)

Supplemental Information:

Economic Development Program Proposals

Exhibit ___ (CP-9)

Schedule 1

Proposed KEDLI Program Descriptions

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PROPOSED CHANGES TO EXISTING PROGRAMS ARE IDENTIFIED IN RED

ECONOMIC DEVELOPMENT AND THE FUTURE OF HEAT PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

Program Summary
National Grid is committed to providing a wide range of energy solutions to assist businesses in our service territory and helping New York State reach its aggressive clean energy goals. The Economic Development and Future of Heat program supports economic development by investing in technologies that enable customers to become more efficient and productive while contributing to New York's ongoing energy transformation.

Economic Development and the Future of Heat program provides matching grants of up to $500,000 to fund projects in the National Grid service territory that involve an investment in "non-pipeline alternatives" to traditional natural gas delivery, installation of emerging and efficient natural gas utilizing technologies, and the creation of new jobs and new capital investment in the service territory. The two eligible investment tracks are Customer and Community. Projects involving a single customer facility are eligible for Customer Track and larger scale multiple building projects may be eligible for Community Track.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must:

- Be the owner or developer of the eligible site or building with documented support of a state, regional or local development agency; **or**
- Be a municipality with documented support of a state, regional or local development agency; **or**
- Be a not-for-profit 501(c)3 or 501(c)6 economic development agency responsible for development of the site or building.

To be eligible for the **Customer Track**, the **facility (business)** must:

- Be in the National Grid downstate gas service territory; **and**
- Be currently served under or expected to be served under a non-residential National Grid gas rate service classification; **and**

- Be used for business purposes that can be classified in one of the following industry sectors:
  - Manufacturing
  - Regional warehousing/distribution centers
  - Scientific research and development
  - Data enters
  - "Back office" operations such as data processing or customer service operations
  - Regional/national administrative centers or headquarter facilities
  - Agri-Business and/or Aquaculture
  - Projects that are eligible for Excelsior Jobs Program tax credits from New York State, (must have active or pending award) regardless of their industry classification; **and**
- Be undertaking a business attraction or expansion project generating new jobs with energy and non- energy related investment in the National Grid service territory **and**
- Result in the installation of a non-pipeline alternative to traditional gas service or emerging natural gas technology including but not limited to geothermal, solar thermal, thermal storage, combined heat and power ("CHP"), fuel cells, biomass, microgrids, anaerobic digestion, and thermal cooling/chilling ~~**and**~~ **or**
- Be undertaking a feasibility analysis related to such an installation **and**
- Be receiving funding through a federal, state, local or utility clean energy program.

Within the **Customer Track,** projects including digesters involved in producing pipeline quality natural gas for injection into National Grid's gas distribution system could be eligible for additional funding up to $150,000 under the following requirements, the facility (business) must:

- Be located in the National Grid downstate service territory; **and**
- Be currently served under or expected to be served under a non-residential or ag-residential National Grid rate service classification - **and** produce natural gas for injection into National Grid's gas distribution system (as documented in an agreement between the applicant and National Grid); **and**
- Be used for business purposes as classified above; **and**
- Be undertaking investment that will create or retain jobs in the National Grid service territory; **and**
- Result in the development and deployment of sustainable gas "Renewable Natural Gas" (RNG) such as bio-methane or gas blends processed to pipeline quality standards produced from landfill gas recovery, municipal wastewater operations, municipal solid wastes, wood and pulp wastes, food waste, farm or dairy wastes, or any other renewable material that is both produced and processed in New York State for delivery in National Grid's gas distribution system; **and**
- Be receiving funding through a federal, state, local or utility clean energy program; **and**
- Be developed and deployed in accordance with National Grid system and regulatory standards.

To be eligible for the **Community Track**, the **project** must:

- Be located within National Grid's downstate service territory; **and**

- Be currently served under or expected to be served under a non-residential national grid gas rate service classification; **and**
- Result in the installation of a non-pipeline alternative to traditional gas service or an emerging natural gas technology including but not limited to geothermal, solar thermal, thermal storage, CHP, fuel cells, biomass, microgrids, anaerobic digestion, and thermal cooling/chilling; **or**
- Be undertaking a feasibility analysis related to such an installation **and**
- Have a regional economic development sponsor; **and**
- Be receiving funding through a federal, state, local or utility clean energy program; **and**
- Show specific evidence of job creation and capital investment by businesses or other economic entities attracted or retained by the project; **and**
- Demonstrate a larger regional economic impact in the project area; **and**
- Have a marketing plan to attract or be used for commercial, industrial, or mixed-use businesses. For mixed use facilities, the minimum total square footage associated with commercial use must be at least 25 percent of the total project square footage.
- Preference may be given to projects located in low-moderate income and/or underserved communities.

Funding and Eligibility Guidelines
Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

The maximum allowable grant award for the **Customer Track** is $250,000, except for projects involving renewable natural gas installations as described above, which may qualify for up to an additional $150,000 as noted below.

The maximum allowable grant award for the **Community Track** is $500,000. All applications are evaluated on a variety of factors. Some applications may not result in the maximum grant award. If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDLI or without prior written consent from National Grid.

- Grant amounts will be determined based on the size of the **total** investment made in the project/facility (including energy and non-energy related investments) as follows:

Total Investment	Total Avail Funding not to Exceed*:
Below $50,000	$15,000
$50,000 to $250,000	$25,000
$250,000 to $1 Million	$50,000
$1 Million to $3 Million	$100,000
$3 Million to $5 Million	$250,000
Above $5 Million (Community Track only)	$500,000

*Customer Track projects involving renewable natural gas installations as described above may qualify for up to an additional $150,000 at any of the above levels of Total Investment.

- Program funds may only be used to offset twenty-five percent (25%) of project costs (3:1 funding match required).
- Grant program funds must not exceed applicant's equity or repayable debt contribution to the project (applicant must provide a minimum of 25% of the total funding from its own capital).
- Funding for feasibility analyses will be capped at $100,000. Recipients of feasibility analysis funding may apply for an additional grant for project implementation.

How to Apply

To apply for the Economic Development and the Future of Heat program please:

- Complete the program application online, **and**
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

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CAPITAL INVESTMENT INCENTIVE PROGRAM

The **Capital Investment Incentive Program** provides funds to help offset customer costs associated with upgrading natural gas infrastructure to accommodate a business expansion or new construction project. Applicants must demonstrate that they are unable to secure sufficient funding for the project through federal, state, or local economic development programs. Application requests may include, but are not limited to the following:

Application requests may include, but are not limited to the following:

- Improvements to National Grid's natural gas system, such as line extensions or upgrades to existing gas delivery infrastructure, that require a customer contribution in aid of construction.
- Customer costs associated with conversion from oil or other fuels to National Grid natural gas delivery service.
- Customer costs associated with equipment required to establish or expand natural gas service including but not limited to headers, pressure boosters, header pads or capital investment required to meet local building codes related to natural gas utilization.
- Customer costs related to converting from firm to non-firm service as detailed below.

Customer costs associated with conversion from oil or other fuels to National Grid natural gas delivery service.

Customer costs associated with equipment required to establish or expand natural gas service including but not limited to headers, pressure boosters, header pads or capital investment required to meet local building codes related to natural gas utilization

Customer costs related to converting from firm to non-firm service as detailed below

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must:

PROPOSED TO BE DISCONTINUED

- Be the customer of record (owner or lessee) of an eligible facility or prospective eligible facility
- Demonstrate efforts to obtain state & local economic development incentives for the facility
- Demonstrate the ability to attract and/or retain jobs and generate capital investment in the eligible facility; and
- Make a capital investment (building, machinery and or equipment) that requires natural gas infrastructure improvements.

To be eligible for this program, the **facility (business) or prospective facility** must:

- Be located in National Grid's downstate service territory;
- Demonstrate efforts to obtain state & local economic development incentives for the Facility
- Demonstrate Industrial Development Agency (IDA) or other public development agency support for the project;
  Be currently served under -- or expected by National Grid to be served under -- one of the following natural gas service classifications: SC-2A, SC-2B, SC-5-2A, SC-5-2B, SC-9, SC-18 and SC-19, **and;**
- Be used for business purposes that can be classified in one of the following industry sectors:
  - Manufacturing
  - Regional warehousing/distribution centers
  - Scientific research and development
  - Data Centers
  - "Back office" operations such as data processing or customer service operations
  - Regional/national administrative centers or headquarter facilities
  - Agri Business and/or Aquaculture
  - Projects that become eligible for Excelsior Jobs Program tax credits from New York State, regardless of their industry classification

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended during that program year. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a Funding Agreement with National Grid. The Agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

PROPOSED TO BE DISCONTINUED

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the Company's current rate agreement or without prior written consent from National Grid. Grant amounts are determined based on the **total** capital investment being made in infrastructure, plant, and equipment (including energy and non-energy related investments) as follows:

Total Capital Investment	Total Available Funding not to Exceed:
$100,000 to $1 Million	$50,000
$1 Million to $5 Million	$250,000
$5 Million and above	$500,000

Program funds cannot represent more than 30% of the total capital investment costs (energy infrastructure and other related capital improvements).

Additional funding related to the costs of converting from firm to non-firm service will be up to 10% of the otherwise applicable grant amounts.

Program funds cannot exceed the final cost of energy related infrastructure improvements related to the project.

Project must show evidence that a comprehensive assessment of energy efficiency measures was fully investigated and provide documentation pertaining to any completed or pending applications for energy efficiency incentives.

Priority consideration during the grant award process will be given to projects that commit to using self-generated or purchased renewable natural gas to satisfy some or all of their supply requirements.

How to Apply

To apply for the Natural Gas Capital Investment Incentive Program please:

- Complete the program application online; and,
- Upload all required documentation as noted at the end of your online application.

For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.

PROPOSED TO BE DISCONTINUED

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COOPERATIVE BUSINESS RECRUITMENT PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of anoverall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

Program Summary
Regional, county, and local economic development organizations have limited resources to devote to "marketing" their communities to attract business investment and jobs. This is true even of counties that possess extraordinary assets for business attraction – such as prime industrial sites or available buildings and infrastructure. While the cost of business attraction activities typically relies on local and regional resources, community expectations tend to be very high in terms of success in recruiting wealth- generating businesses.

The **Cooperative Business Recruitment Program** provides incremental matching funds for cooperative marketing initiatives between National Grid and regional or local economic development partners.

Application requests may include, but are not limited to, the following:

- The creation of collateral material and direct mail campaigns;
- Sales initiatives related to major business development events, such as Industrial Asset Management Forums, Area Development Consultants Forums, and other events where sitelocation consultants and corporate real estate executives gather;
- Support research and assistance with site selection familiarization tours, industry trade shows, and sales missions;
- Sales initiatives directed at industry trade groups;
- Support for the creation and distribution of industry-specific publications; and
- Advertising and public relations activities.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must:

- Be a regional or local economic development organization in the National Grid downstate service territory; **and**

- Provide economic development business attraction services to a community or region located within the National Grid downstate service territory.

To be eligible for this program, the **marketing project** must:

- Promote community attributes or resources that represent a major asset for business attraction.
- Be targeted to decision makers who can influence the attraction of new jobs and investment to the National Grid downstate service territory; **and**
- Be designed to attract new business, investment, and jobs to the downstate New York National Grid service territory, based on the following factors:
  - The extent to which the project compliments (and not duplicates) other local, regional, and state business attraction efforts;
  - The economic development potential of the asset that is being promoted;
  - The project sponsor's ability to accomplish and sustain the effort of the project;
  - The project sponsor's ability to leverage federal, state, and local matching funds; **and**
  - The extent to research proposed does not duplicate previous research and is "actionable"(*e.g.* refining the targets, messages, materials, and activities generated by the research proposed).

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for workcompleted following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

Business attraction marketing projects that are targeting clean energy industry sectors and their supply chains, including but not limited to green hydrogen, renewable natural gas ("RNG"), bioprocessing, geothermal, energy storage and offshore wind, will be eligible for up to an additional 25% of funding above the otherwise applicable awarded amount.

If you are applying to more than one program for the same project, you must indicate that clearly onthe application. Under no circumstance will funding be released after the expiration of the current rate agreement for KEDLI or without prior written consent from National Grid.

- National Grid funds for cooperative projects must be matched on a 1:1 basis.

- Maximum grant per project is $50,000.
- Grant funds cannot be applied to past business attraction efforts.
- Collateral materials must recognize National Grid's contribution.

How to Apply

To apply for the Cooperative Business Recruitment Program please:

- Complete the program application online; and,
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com~~.

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NATURAL GAS MANUFACTURING PRODUCTIVITY PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

Program Summary

Manufacturing employs over 550,000 New Yorkers and contributes $61 billion annually to New York State's GDP. Every manufacturing job creates more than 2.5 related jobs in other sectors, and every dollar spent generates an additional $1.37 in economic activity.* Small and medium sized downstate New York manufacturers are challenged by high costs and regulatory pressures. They must continually improve productivity and performance to remain competitive in the global economy. To grow, they must develop new products and improve their return on investment from sales and marketing activities by finding new customers, markets, and export opportunities. This program has been developed ~~in partnership with the Regional Technology Development Center ("RTDC"s)~~ with New York State Manufacturing Extension Partnership (NY MEP) centers in New York City and on Long Island, and FuzeHub, a statewide NY MEP center, and will be delivered in conjunction with these NY MEP centers ~~RTDCs~~.

**Source: Manufacturers Association of Central New York*

The **Manufacturing Productivity Program** provides matching grants of up to $15,000 or 40% (whichever is less) of the costs incurred by eligible applicants whose top management commits the time and resources to "lean manufacturing" projects or manufacturing assistance projects that result in eliminating waste and increasing productivity on the "shop floor" and in the office.

Further, the program provides matching grants of up to $15,000 or 50% (whichever is less) of the costs incurred by eligible applicants whose top management commits the time and resources to growth-targeted activities that will result in greater utilization of manufacturing capacity.

Finally, the program provides matching grants of up to $40,000 or 60% (whichever is less) of the costs incurred by eligible applicants whose top management commits the time and resources to projects that combine and coordinate the productivity and growth activities described above.

Grant awards will be funded in conjunction with the NY MEP centers ~~RTDCs~~ upon verification of increased productivity and capacity, improvement of the bottom-line and pursuit of additional sales with the same work force. Priority consideration will be given to projects that involve energy efficiency, energy utilization, and/or environmental solutions.

Applications for matching grant assistance must meet the following program requirements.

Minimum Program Requirements

To be eligible for this program, the **applicant** must:

- Be a SC-2A, SC-2B, SC-5-2A, SC-5-2B, SC-9, SC-18 and SC-19 customer in good standing within National Grid's downstate gas service territory;
- Be a business that is classified in the North American Industry Classification System
- (NAICS) as Manufacturing (NAICS codes 31, 32 or 33);
- Execute an agreement that commits top management to the processes that result in the productivity and development improvements articulated in this program distribution; **and**
- Provide evidence of funding from the company and other sources that is sufficient to complete the proposed project. The company must provide a minimum of 25% of the total funding from its own capital.

NAICS classifications can be found online at http://www.census.gov/epcd/www/naics.html

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the project must accomplish one or more of the following:

- Optimize the current facility
- Increase machine effectiveness
- Improve product quality
- Reduce costs
- Reduce lead times
- Improve process-flow
- Increase inventory turns
- Expand markets
- Develop new customers
- Develop new products

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

Manufacturing customers in clean energy industry sectors and their supply chains, including but not limited to green hydrogen, renewable natural gas ("RNG"), bioprocessing, geothermal, energy storage and offshore wind, will be eligible for up to an additional 25% of funding above the otherwise applicable awarded amount.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDLI or without prior written consent from National Grid.

How to Apply

To apply for the Manufacturing Productivity Program please:

- Complete the program application online; and,
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

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BROWNFIELD REDEVELOPMENT ASSISTANCE PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of anoverall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department, in advance of the project announcement.

Program Summary

Nearly every community in New York State is affected by brownfield sites and abandoned properties. Contaminated and abandoned properties exist in big cities, small towns, sprawling suburbs, and the countryside. Left untouched, brownfields pose environmental, legal, and financial burdens on a community and its taxpayers. However, after cleanup, these sites can again become the powerful enginesfor economic vitality, jobs, and community pride that they once were.

The **Brownfield Redevelopment Assistance Program** provides grants to fund utility related infrastructure improvements, demolition, and other costs that are necessary to progress the redevelopment of a *brownfield* site or abandoned building. Application requests may include but are not limited to the following:

- Demolition that results in the clean-up and re-use of a contaminated site or building;
- Gas infrastructure improvements;
- Costs associated with the local match for NYS DEC Environmental Restoration Program (ERP)and the Brownfield Opportunity Area Program (BOA); **and**
- Phase I (e.g., predevelopment planning and environmental surveys) and Phase II (e.g., soil & ground water testing and environmental site assessments)

Priority will be given to site or building redevelopment projects that have obtained a sufficient amount of funding to fulfill the project redevelopment goals.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's New York downstate service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must be:

- A municipality and/or its authorized development corporation, **or**

- A 501(c)3, 501(c)6, or 501(c)4 corporation, working in tandem with a municipality and/or its Industrial Development Agency or Local Development Corporation, **or**
- The owner or developer of the eligible site with the endorsement of the municipality.

To be eligible for this program, the **project (site or building)** must:

- Be located in the National Grid service territory ~~Receive natural gas service from National Grid;~~ **and**
- Have a viable commercial or industrial end use strategy for the site, based on some or all of the following factors:
  - Physical condition of building or site
  - Potential for land acquisition or site control
  - Regional economic impact of successful reuse
  - Demonstrated ability to accomplish and sustain reuse as a commercial or industrial site.
  - Demonstrated ability to obtain federal, state, and other funding
  - Demonstrated ability to market the site or building to attract economic investment
  - Eligibility for state and federal development funds for the total project costs
  - Strength of development partnerships and community support

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on acontinual basis until all funding is expended during that program year. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly onthe application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDLI or without prior written consent from National Grid.

- The maximum grant allowable for a project is $250,000
- Program funds may be used for up to 25% of the eligible costs of a project

- The maximum program funds that can be allocated to the completion of both Phase I and Phase II environmental investigations and other preliminary site/building investigations is $25,000; this is included in the maximum allowable grant of $250,000.
- National Grid funds may be used as matching funds for other public grants. In this instance, National Grid will commit dollars contingent upon the successful awarding of the grant, but will not release funding until all required project funding is in place.
- Qualifying projects in Disadvantaged Communities, based on criteria issued by the Climate Justice Working Group will be given priority consideration and will be eligible for up to an additional 25% of funding above the otherwise applicable awarded amount.

How to Apply

To apply for the Brownfield Redevelopment Assistance Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

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INDUSTRIAL BUILDING REDEVELOPMENT PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department, in advance of the project announcement.

Program Summary

National Grid's downstate New York service territory has many vacant and underutilized buildings or complexes (integrated groups of buildings) that were originally built for and occupied by a single, large end-user. These buildings and complexes are unlikely to attract single end-users, so they must be marketed as multi-tenant, industrial properties. One of the challenges to the marketability of these properties is the expense of separating the utilities.

The **Industrial Building Redevelopment Program** provides grants of up to $250,000 (based on the amount of capital investment per the chart below) to property owners who are upgrading natural gas infrastructure and/or building systems improvements required to subdivide the services and accommodate multiple tenants and to return these properties to active industrial use.

Total Capital Investment	Available Funding Not to Exceed
Under $1Million	$50,000
$1Million to $5Million	$100,000
$5Million and above	$250,000

Minimum Program Requirements: *Please review the program requirements and guidelines below, prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must:

- Be the owner, duly authorized representative of the owner or contract purchaser of the eligible facility;
- Demonstrate a willingness and ability to actively market the building to out-of-state companies;
- Obtain Industrial Development Agency (IDA) or other public development agency support for the project.

To be eligible for this program, the **project** must:

PROPOSED TO BE DISCONTINUED

- Be a building or integrated group of buildings that were at one time occupied by a single user;
- Receive natural gas service from National Grid;
- Be vacant or underutilized (underutilized means that at least 50% of the usable space is vacant);
- Be at least **50,000** square feet or larger;
- At project conclusion, provide a certificate of occupancy or a certificate of compliance from the local building codes department; **and**
- Be suitable for use by one of the following industry sectors:
  - Manufacturing
  - Regional warehousing/distribution center
  - Scientific research and development
  - Data Centers
  - "Back-office" operations such as data processing or customer service operations
  - Key regional priority industries as identified through NYS Regional Economic Development Council

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended during that program year. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a Funding Agreement with National Grid. The Agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the Company's current rate agreement or without prior written consent from National Grid.

- Program funds may only be used to offset 50% of costs associated with upgrading, segregating, or otherwise making the property's gas infrastructure suitable for occupancy by multiple tenants. This could include costs associated with planning, design, engineering, and construction costs.
- Projects that involve converting from firm to non-firm gas service will be eligible for additional funding up to 10% of the otherwise applicable grant amounts.

PROPOSED TO BE DISCONTINUED

- Project must show evidence that a comprehensive assessment of energy efficiency measures was fully investigated and provide documentation pertaining to any completed or pending applications for energy efficiency incentives.
- Priority will be given to applicants who furnish aggressive marketing plans designed to attract new businesses to the completed project.
- Priority consideration during the grant award process will be given to projects that commit to using self-generated or purchased renewable natural gas to satisfy or all of their supply requirements.

How to Apply

To apply for the Industrial Building Redevelopment Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

If you need assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@national.com.

PROPOSED TO BE DISCONTINUED

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CLEANTECH INCUBATION

Note to state, regional, and local economic developers: If you intend to use this program as part of anoverall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department, in advance of the project announcement.

Program Summary
This program supports the development of a self-sustaining entrepreneurial and innovation "ecosystem" in downstate New York that will stimulate and support high growth new businesses generating new jobs and new investment in the National Grid service territory. National Grid created this program to support initiatives that facilitate formation of new ventures or growth of high potential small ventures and to make buildings more marketable for the creation of new jobs in the clean tech industry and other advanced technology industry sectors.

The **CleanTech Incubation Program** provides grants up to $250,000 to support entrepreneurial ventures, connect new companies to key resources, address their critical problems, and assist them in capitalizing on emerging opportunities. Application requests may include but are not limited to the costs associated with market research; commercialization efforts and consulting support that includes entrepreneurs-in-residence (EIR's); training; and costs related to performance tracking and documentation of lessons learned (for replication purposes).

Priority will be given to applicants who have undertaken similar projects elsewhere and concluded them successfully.

The **Program** also offers matching grants of up to $250,000 for the fit up of buildings that provide business incubation services for companies in the clean tech industry sector based on the following levels of capital investment as follows:

Total Capital Investment	Available Funding Not to Exceed
Under $1 Million	$50,000
$1 Million to $5 Million	$100,000
$5 Million and above	$250,000

Minimum Program Requirements:
Program assistance is only available to customers in good standing located within the National Grid downstate New York service territory. Applicants must be current in payments with National Grid, or have executed a deferred payment agreement.

To be eligible for the entrepreneur venture support, the **applicant** must:

- Be a NYS Center for Advanced Technology (CAT), or Center of Excellence (COE), or a 501(c)3, 501(c)4 or 501(c)6 corporation dedicated to entrepreneur support;

- Have experience and a track record of successful performance in economic development and entrepreneurship, **and**
- Have a history of working and interacting with entrepreneurs and organizations that support entrepreneurs.

To be eligible for the entrepreneur venture support, the **project** must:

- Have a physical location in National Grid's downstate service territory that receives electric and/or natural gas service;
- Focus on business-related issues that facilitate the creation, sustainability and/or growth of for-profit entrepreneurial ventures;
- Include hands-on implementation assistance involving direct interaction with entrepreneurs and their ventures;
- Include metrics and a tracking method related to increases in entrepreneurial activity including ventures started or growth in existing ventures, jobs created and/or retained, new capital investment and/or revenue growth: **and**
- Be based on a replicable model with a final report that outlines lessons learned from the funded and substantiated financial results.

To be eligible for the building fit-up assistance, the **applicant** must:

- Be the owner of the eligible site or building; **or**
- Be a municipality or not-for-profit 501(c)3 or 501(c)6 economic development agency responsible for the development of the site or building.

To be eligible for building fit-up assistance the **project** must:

- Have a physical location in National Grid's downstate service territory that receives natural gas service **and**;
- Have existing infrastructure that is a barrier to new investment. **and;**
- Include a plan for marketing the building to Clean Tech and other advanced technology industries.

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended during that program year. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

- National Grid funds may only be used to offset 50% of project costs (minimum 1:1 funding match required).
- Funding will be limited to one application per organization per year.
- Entrepreneur funding is intended to provide one time support for new entrepreneur initiatives.
- A maximum of 10% of the total grant award can be given to any individual

entrepreneur or company.
- Building fit-up funds can only be used to offset the costs for building drawings, designwork, and/or construction

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds. Grant amounts listed are the maximum allowable award for each program. All applications are evaluated on a variety of factors. Some applications may not result in the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly onthe application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDLI or without prior written consent from National Grid.

How to Apply

To apply for the CleanTech Incubation Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

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CINDERELLA PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

Program Summary
For more than forty years, National Grid's Cinderella economic and community development program has helped to revitalize local communities throughout Brooklyn, Queens, Staten Island and Long Island. The downstate New York service territory of National Grid includes vacant buildings, urban corridors, and commercial districts with unrealized development potential and often with excess utility infrastructure and capacity. This program is designed to assist communities, businesses and cornerstone projects in promoting "smart growth" through the redevelopment of those underutilized assets, to create economic opportunities, attract new investment, increase existing capacities and capitalize on their distinct development potential.

This program is designed to assist communities in promoting "smart growth" through the redevelopment of those underutilized assets, to help improve their economic viability, attract new investment, and capitalize on their distinct development potential.

The **Cinderella Program** provides grants to municipal and non-profit development corporations to offset a portion of the costs of redeveloping and revitalizing, and maintaining strategic, sustainable programs to strengthen critical commercial districts and urban corridors.

Application requests may include, but are not limited to, the following:

- Development of pre-construction documents that advance an existing community accepted design plan, site preparation, and construction of commercial and industrial adaptive re-use projects;
- Renovation and rehabilitation of vacant commercial, industrial, and mixed-use buildings;
- Commercial corridor improvements including storefronts and public areas that have an economic community benefit;
- New construction on parcels where re-use is not possible/practical without demolition of the existing vacant structure;
- Economic Development Workshops for local development stakeholders

Priority projects will be sustainable and demonstrate use of green building technologies/LEED certified initiatives (Leadership in Energy & Environmental Design) and Greening USA's 12 Traits of Sustainability. Preference will also be given to customers converting to innovative natural

gas technologies. This program is not intended to provide funding related to government operations or services. Projects must be located in an underutilized central business district, commercial area or targeted redevelopment area. Projects must demonstrate job creation and the ability to stimulate ancillary public and private investment will be viewed favorably in the evaluation process. Applications showing commitments from public funding resources such as the NYC Small Business Services, NYS Downtown Revitalization Initiative, NYS Housing & Community Renewal, Restore NY Programs, Governor's Office of Small Cities and Empire State Development are encouraged.

Minimum Program Requirements: *Please review the following program requirements and guidelines carefully. They will help you decide whether you want to apply for this program.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must be:

- A municipality and/or its authorized development corporation;
- A 501(c)(3), 501(c)(6), or 501(c)(4) corporation (nonprofits, business improvement districts, industrial development agencies, local development corporations or other equivalent organizations) with a board resolution or letter of support from the municipality and/or its Industrial Development Agency, Local Development Corporation or lead community development organization. Nonprofits must be in good standing and compliant with annual State and Federal filing requirements, including New York State Charities Bureau filings; or
- Be the owner or developer of the eligible site with the endorsement of the municipality, or the lead community development organization.

To be eligible for this program, the **project** must:

- Receive natural gas service from National Grid ~~or demonstrate a commitment to convert to National Grid gas service;~~ and
- Be located in a central business district, commercial corridor or targeted building, or redevelopment neighborhood;
- Show evidence of private sector job creation/retention and capital investment; and
- For building renovation and rehabilitation projects, ~~R~~reside in a building where the commercial space has been 100% vacant for a minimum of 1 year; and
- Show evidence of certificate of occupancy upon project completion.
- For commercial corridor improvement projects, demonstrate economic community benefits for public areas (e.g., public plazas, flexible areas, green spaces) to increase accessibility and commercial opportunities
- For Economic Development Workshop projects, deliver Economic Development assistance including but not limited to small business development, entrepreneur planning, real estate development, government navigation, business retention/succession, neighborhood development strategies and financial training.

Applicants must provide a clear statement of need, projected outcome(s) and quantifiable goals for the organization, its stakeholders and constituencies.

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline the expectations of the grant program and the conditions upon which funds will be released.

Grant amounts listed are the maximum allowable award for each program. All applications are evaluated on a variety of factors. Some applications may not result in the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDLI or without prior written consent from National Grid.

- For mixed-use building renovation and rehabilitation projects, only the commercial or industrial portion(s) will be eligible for funding
- Grant amounts for Economic Development Workshops shall not exceed $25,000
- ~~Funding for eligible mixed-use projects will be appropriately scaled based on the proportion of commercial versus residential square footage and/or construction costs.~~
- Grant amounts will be determined based on the size of the **total** capital investment made in the project/facility (including energy and non-energy related investments) as follows:

Total Capital Investment	Total Avail Funding not to Exceed:
$50,000 to $250,000	$25,000
$250,000 to $1 Million	$50,000
$1 Million to $5 Million	$100,000
Above $5 Million	$250,000

- Program funds may only be used to offset fifty percent (50%) of costs (1:1 funding match required).
- Qualifying projects in Disadvantaged Communities, based on criteria issued by the Climate Justice Working Group will be given priority consideration and will be eligible for up to an additional 25% of funding above the otherwise applicable awarded amount.

- Projects demonstrating *Greening USA's* "12 Steps of Sustainability" or receiving some level of LEED certification will receive priority consideration and the possibility of additional funding.
- Preference will also be given to customers converting to innovative natural gas technologies.
- Project must show evidence that a comprehensive assessment of energy efficiency measures was fully investigated and provide documentation pertaining to any completed or pending applications for energy efficiency incentives.
- Priority consideration during the grant award process will be given to projects that commit to using self-generated or purchased renewable natural gas to satisfy some or all of their supply requirements.

How to Apply

To apply for the Cinderella Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

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SUSTAINABLE GAS AND ECONOMIC DEVELOPMENT PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of anoverall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department, in advance of the project announcement.

The Sustainable Gas and Economic Development Program will fund a limited number of projects in the National Grid service territory that demonstrate sustainable gas technologies while producing significant economic development benefits for the region. The program will provide matching grants of up to $250,000 for collaborative projects that involve a downstate research institution, one or more sustainable gas or gas transportation technologies, and a regional economic development sponsor. Eligible technologies include, but are not limited to, those that produce or utilize pipeline quality gas from biogas resulting from anaerobic digestion or gasification of waste materials for delivery in local distribution systems or use in natural gas vehicles.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must be:

- A regional economic development entity in National Grid's downstate service territory;
- A University-based research organization with the endorsement of the authorized municipality where the project is taking place; **or**
- A 501(c)3, 501(c)6, or 501(c)4 corporation, working in tandem with a municipality, university, or regional economic development organization.

To be eligible for this program, the **project** must:

- Be located within the National Grid's downstate service area;
- Involve development and deployment of sustainable gas or gas transportation technologies such as bio-methane or gas blends processed to pipeline quality standards produced from landfill gas recovery, municipal wastewater operations, municipal solid wastes, wood and pulp wastes, farm or dairy wastes, or any other renewable material that is both produced and processed in New York State for delivery in a local distribution system or use in natural gas vehicles;
- Obtain matching funds on at least a 4:1 basis from other sources;
- Include involvement of a regional university research institution;

- Have one or more sustainable gas or related sustainable gas technology partners;
- Have a regional economic development sponsor; **and**
- Show specific evidence of regional economic development benefits by**:**
  1. Creating an asset that will enhance regional business attraction or expansion efforts; **or**
  2. Serving as a learning center for sustainable gas or sustainable gas transportation technologies.

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter

The grant award recipient should expect to execute a Funding Agreement with National Grid. The Agreement will outline expectations of the grant program and the conditions for the release of funds.

The maximum allowable grant award for this program is $250,000. All applications are evaluated on a variety of factors. Some applications may not result in the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDLI or without prior written consent from National Grid.

Program funds may only be used to offset twenty percent (20%) of project costs (4:1 funding match required).

How to Apply

To apply for the Sustainable Gas and Economic Development Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

PROPOSED KEDNY PROGRAM DESCRIPTIONS

PROPOSED CHANGES TO EXISTING PROGRAMS ARE IDENTIFIED IN RED

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ECONOMIC DEVELOPMENT AND THE FUTURE OF HEAT PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

Program Summary
National Grid is committed to providing a wide range of energy solutions to assist businesses in our service territory and helping New York State reach its aggressive clean energy goals. The Economic Development and Future of Heat program supports economic development by investing in technologies that enable customers to become more efficient and productive while contributing to New York's ongoing energy transformation.

Economic Development and the Future of Heat program provides matching grants of up to $500,000 to fund projects in the National Grid service territory that involve an investment in "non-pipeline alternatives" to traditional natural gas delivery, installation of emerging and efficient natural gas utilizing technologies, and the creation of new jobs and new capital investment in the service territory. The two eligible investment tracks are Customer and Community. Projects involving a single customer facility are eligible for Customer Track and larger scale multiple building projects may be eligible for Community Track.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must:

- Be the owner or developer of the eligible site or building with documented support of a state, regional or local development agency; **or**
- Be a municipality with documented support of a state, regional or local development agency; **or**
- Be a not-for-profit 501(c)3 or 501(c)6 economic development agency responsible for development of the site or building.

To be eligible for the **Customer Track**, the **facility (business)** must:

- Be in the National Grid downstate gas service territory; **and**

- Be currently served under or expected to be served under a non-residential National Grid gas rate service classification; **and**
- Be used for business purposes that can be classified in one of the following industry sectors:
  - Manufacturing
  - Regional warehousing/distribution centers
  - Scientific research and development
  - Data enters
  - "Back office" operations such as data processing or customer service operations
  - Regional/national administrative centers or headquarter facilities
  - Agri-Business and/or Aquaculture
  - Projects that are eligible for Excelsior Jobs Program tax credits from New York State, (must have active or pending award) regardless of their industry classification; **and**
- Be undertaking a business attraction or expansion project generating new jobs with energy and non- energy related investment in the National Grid service territory **and**
- Result in the installation of a non-pipeline alternative to traditional gas service or emerging natural gas technology including but not limited to geothermal, solar thermal, thermal storage, CHP, fuel cells, biomass, microgrids, anaerobic digestion, and thermal cooling/chilling; ~~and~~ **or**
- Be undertaking a feasibility analysis related to such an installation **and**
- Be receiving funding through a federal, state, local or utility clean energy program.

Within the **Customer Track,** projects including digesters involved in producing pipeline quality natural gas for injection into National Grid's gas distribution system could be eligible for additional funding up to $150,000 under the following requirements, the facility (business) must:

- Be in National Grid downstate service territory; **and**
- Be currently served under or expected to be served under a non-residential or ag-residential National Grid rate service classification - **and** produce natural gas for injection into National Grid's gas distribution system (as documented in an agreement between the applicant and National Grid); **and**
- Be used for business purposes as classified above; **and**
- Be undertaking investment that will create or retain jobs in the National Grid service territory; **and**
- Result in the development and deployment of sustainable gas "Renewable Natural Gas" such as bio-methane or gas blends processed to pipeline quality standards produced from landfill gas recovery, municipal wastewater operations, municipal solid wastes, wood and pulp wastes, food waste, farm or dairy wastes, or any other renewable material that is both produced and processed in NY State for delivery in National Grid's gas distribution system; **and**
- Be receiving funding through a federal, state, local or utility clean energy program
- Be developed and deployed in accordance with National Grid system and regulatory standards.

To be eligible for the **Community Track**, the **project** must:

- Be located within National Grid's downstate service territory; **and**
- Be currently served under or expected to be served under a non-residential national grid gas rate service classification; **and**
- Result in the installation of a non-pipeline alternative to traditional gas service or an emerging natural gas technology including but not limited to geothermal, solar thermal, thermal storage, combined heat and power ("CHP"), fuel cells, biomass, microgrids, anaerobic digestion, and thermal cooling/chilling; **or**
- Be undertaking a feasibility analysis related to such an installation **and**
- Have a regional economic development sponsor; **and**
- Be receiving funding through a federal, state, local or utility clean energy program; **and**
- Show specific evidence of job creation and capital investment by businesses or other economic entities attracted or retained by the project; **and**
- Demonstrate a larger regional economic impact in the project area; **and**
- Have a marketing plan to attract or be used for commercial, industrial, or mixed-use businesses. For mixed use facilities, the minimum total square footage associated with commercial use must be at least 25 percent of the total project square footage.
- Preference may be given to projects located in low-moderate income and/or underserved communities.

Funding and Eligibility Guidelines
Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

The maximum allowable grant award for the **Customer Track** is $250,000, except for projects involving renewable natural gas installations as described above, which may qualify for up to an additional $150,000 as noted below.

The maximum allowable grant award for the **Community Track** is $500,000. All applications are evaluated on a variety of factors. Some applications may not result in the maximum grant award. If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDNY or without prior written consent from National Grid.

- Grant amounts will be determined based on the size of the **total** investment made in the project/facility (including energy and non-energy related investments) as follows:

Total Investment	Total Avail Funding not to Exceed*:
Below $50,000	$15,000
$50,000 to $250,000	$25,000
$250,000 to $1 Million	$50,000
$1 Million to $3 Million	$100,000
$3 Million to $5 Million	$250,000
Above $5 Million (community track only)	$500,000

*Customer Track projects involving renewable natural gas installations as described above may qualify for up to an additional $150,000 at any of the above levels of Total Investment.

- Program funds may only be used to offset twenty-five percent (25%) of project costs (3:1 funding match required).
- Grant program funds must not exceed applicant's equity or repayable debt contribution to the project (applicant must provide a minimum of 25% of the total funding from its own capital).
- Funding for feasibility analyses will be capped at $100,000. Recipients of feasibility analysis funding may apply for an additional grant for project implementation.

How to Apply

To apply for the Economic Development and the Future of Heat program please:

- Complete the program application online, **and**
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com~~.

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CAPITAL INVESTMENT INCENTIVE

The **Capital Investment Incentive Program** provides funds to help offset customer costs associated with upgrading natural gas infrastructure to accommodate a business expansion or new construction project. Applicants must demonstrate that they are unable to secure sufficient funding for the project through federal, state, or local economic development programs.

Application requests may include, but are not limited to the following:

- Improvements to National Grid's natural gas system, such as line extensions or
- upgrades to existing gas delivery infrastructure, that require a customer contribution in aid of construction.
- Customer costs associated with conversion from oil or other fuels to National Grid natural gas delivery service.
- Customer costs associated with equipment required to establish or expand natural gas service including but not limited to headers, pressure boosters, header pads or capital investment required to meet local building codes related to natural gas utilization.
- Customer costs related to converting from firm to non-firm service as detailed below.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must:

- Be the customer of record (owner or lessee) of an eligible facility or prospective eligible facility;
- Demonstrate efforts to obtain state & local economic development incentives for the facility
- Demonstrate the ability to attract and/or retain jobs and generate capital investment in the eligible facility; **and**
- Make a capital investment (building, machinery and or equipment) that requires natural gas infrastructure improvements.

To be eligible for this program, the **facility (business) or prospective facility** must:

- Be located in National Grid's downstate service territory;

PROPOSED TO BE DISCONTINUED

- Demonstrate efforts to obtain state & local economic development incentives for the Facility;
- Demonstrate Industrial Development Agency (IDA) or other public development agency support for the project;
- Be currently served under -- or expected by National Grid to be served under -- one of the following natural gas service classifications: SC-2-1, SC-2-2, SC-4A-C&G, SC-17, SC-17-2-1, SC-17-2-2, SC-18-22 (Commercial), or SC-22 (Commercial);
- Be used for business purposes that can be classified in one of the following industry sectors:
  - Manufacturing
  - Regional warehousing/distribution centers
  - Scientific research and development
  - Data Centers
  - "Back office" operations such as data processing or customer service operations
  - Regional/national administrative centers or headquarter facilities
  - Agri Business and/or Aquaculture
  - Projects that become eligible for Excelsior Jobs Program tax credits from New York State, regardless of their industry classification

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended during that program year. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a Funding Agreement with National Grid. The Agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the Company's current rate agreement or without prior written consent from National Grid.

Grant amounts are determined based on the **total** capital investment being made in infrastructure, plant & equipment (including energy and non-energy related investments) as follows:

PROPOSED TO BE DISCONTINUED

Total Capital Investment	Total Available Funding not to Exceed:
$100,000 to $1 Million	$50,000
$1 Million to $5 Million	$250,000
$5 Million and above	$500,000

Program funds cannot represent more than 30% of the total capital investment costs (energy infrastructure and other related capital improvements).

Additional funding related to the costs of converting from firm to non-firm service will be up to 10% of the otherwise applicable grant amounts.

Program funds cannot exceed the final cost of energy related infrastructure Improvements related to the project.

Project must show evidence that a comprehensive assessment of energy efficiency measures was fully investigated and provide documentation pertaining to any completed or pending applications for energy efficiency incentives.

Priority consideration during the grant award process will be given to projects that commit to using self-generated or purchased renewable natural gas to satisfy some or all of their supply requirements.

How to Apply

To apply for the Natural Gas Capital Investment Incentive Program please:

- Complete the program application online; **and**
- Upload all required documentation as noted at the end of your online application.

If you need assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.

PROPOSED TO BE DISCONTINUED

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COOPERATIVE BUSINESS RECRUITMENT PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of anoverall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

Program Summary
Regional, county, and local economic development organizations have limited resources to devote to "marketing" their communities to attract business investment and jobs. This is true even of counties that possess extraordinary assets for business attraction – such as prime industrial sites or available buildings and infrastructure. While the cost of business attraction activities typically relies on local and regional resources, community expectations tend to be very high in terms of success in recruiting wealth- generating businesses.

The **Cooperative Business Recruitment Program** provides incremental matching funds for cooperative marketing initiatives between National Grid and regional or local economic development partners.

Application requests may include, but are not limited to, the following:

- The creation of collateral material and direct mail campaigns;
- Sales initiatives related to major business development events, such as Industrial Asset Management Forums, Area Development Consultants Forums, and other events where sitelocation consultants and corporate real estate executives gather;
- Support research and assistance with site selection familiarization tours, industry trade shows, and sales missions;
- Sales initiatives directed at industry trade groups;
- Support for the creation and distribution of industry-specific publications; and
- Advertising and public relations activities.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must:

- Be a regional or local economic development organization in the National Grid downstate service territory; **and**
- Provide economic development business attraction services to a community or region

located within the National Grid downstate service territory.

To be eligible for this program, the **marketing project** must:

- Promote community attributes or resources that represent a major asset for business attraction;
- Be targeted to decision makers who can influence the attraction of new jobs and investment to the National Grid downstate service territory; **and**
- Be designed to attract new business, investment, and jobs to the downstate New York National Grid service territory, based on the following factors:
  - The extent to which the project compliments (and not duplicates) other local, regional, and state business attraction efforts;
  - The economic development potential of the asset that is being promoted;
  - The project sponsor's ability to accomplish and sustain the effort of the project;
  - The project sponsor's ability to leverage federal, state, and local matching funds; **and**
  - The extent to research proposed does not duplicate previous research and is "actionable"(*e.g.* refining the targets, messages, materials, and activities generated by the research proposed).

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for workcompleted following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

Business attraction marketing projects that are targeting clean energy industry sectors and their supply chains, including but not limited to green hydrogen, renewable natural gas ("RNG"), bioprocessing, geothermal, energy storage and offshore wind, will be eligible for up to an additional 25% of funding above the otherwise applicable awarded amount.

If you are applying to more than one program for the same project, you must indicate that clearly onthe application. Under no circumstance will funding be released after the expiration of the current rate agreement for KEDNY or without prior written consent from National Grid.

- National Grid funds for cooperative projects must be matched on a 1:1 basis.
  - Maximum grant per project is $50,000.

- Grant funds cannot be applied to past business attraction efforts.
- Collateral materials must recognize National Grid's contribution.

How to Apply

To apply for the Cooperative Business Recruitment Program please:

- Complete the program application online; and,
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com~~.

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NATURAL GAS MANUFACTURING PRODUCTIVITY PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

Program Summary

Manufacturing employs over 550,000 New Yorkers and contributes $61 billion annually to New York State's GDP. Every manufacturing job creates more than 2.5 related jobs in other sectors, and every dollar spent generates an additional $1.37 in economic activity.* Small and medium sized downstate New York manufacturers are challenged by high costs and regulatory pressures. They must continually improve productivity and performance to remain competitive in the global economy. To grow, they must develop new products and improve their return on investment from sales and marketing activities by finding new customers, markets, and export opportunities. This program has been developed ~~in partnership with the Regional Technology Development Center ("RTDC"s)~~ with New York State Manufacturing Extension Partnership (NY MEP) centers in New York City and on Long Island, and FuzeHub, a statewide NY MEP center, and will be delivered in conjunction with these NY MEP centers ~~RTDCs~~.

The **Manufacturing Productivity Program** provides matching grants of up to $15,000 or 40% (whichever is less) of the costs incurred by eligible applicants whose top management commits the time and resources to "lean manufacturing" projects or manufacturing assistance projects that result in eliminating waste and increasing productivity on the "shop floor" and in the office.

Further, the program provides matching grants of up to $15,000 or 50% (whichever is less) of the costs incurred by eligible applicants whose top management commits the time and resources to growth-targeted activities that will result in greater utilization of manufacturing capacity.

Finally, the program provides matching grants of up to $40,000 or 60% (whichever is less) of the costs incurred by eligible applicants whose top management commits the time and resources to projects that combine and coordinate the productivity and growth activities described above.

Grant awards will be funded in conjunction with the NY MEP centers ~~RTDCs~~ upon verification of increased productivity and capacity, improvement of the bottom-line and pursuit of additional sales with the same work force. Priority consideration will be given to projects that involve energy efficiency, energy utilization, and/or environmental solutions.

Applications for matching grant assistance must meet the following program requirements.

Minimum Program Requirements
To be eligible for this program, the **applicant** must:

- Be a SC-2-1, SC-2-2, SC-4A-C&G, SC-17, SC-17-2-1, SC-17-2-2, SC-18-22 (Commercial), or SC-22 (Commercial) customer in good standing within National Grid's downstate service territory;
- Be a business that is classified in the North American Industry Classification System (NAICS) as Manufacturing (NAICS codes 31, 32 or 33);
- Execute an agreement that commits top management to the processes that result in the productivity and development improvements articulated in this program distribution; **and**
- Provide evidence of funding from the company and other sources that is sufficient to complete the proposed project. The company must provide a minimum of 25% of the total funding from its own capital.

NAICS classifications can be found online at http://www.census.gov/epcd/www/naics.html

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the project must accomplish one or more of the following:

- Optimize the current facility
- Increase machine effectiveness
- Improve product quality
- Reduce costs
- Reduce lead times
- Improve process-flow
- Increase inventory turns
- Expand markets
- Develop new customers
- Develop new products

Funding and Eligibility Guidelines
Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

Manufacturing customers in clean energy industry sectors and their supply chains, including but not limited to green hydrogen, renewable natural gas ("RNG"), bioprocessing, geothermal, energy storage and offshore wind, will be eligible for up to an additional 25% of funding above the otherwise applicable awarded amount.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDNY or without prior written consent from National Grid.

How to Apply

To apply for the Manufacturing Productivity Program please:

- Complete the program application online; **and**
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~If you need assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

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BROWNFIELD REDEVELOPMENT ASSISTANCE PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of anoverall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department, in advance of the project announcement.

Program Summary

Nearly every community in New York State is affected by brownfield sites and abandoned properties. Contaminated and abandoned properties exist in big cities, small towns, sprawling suburbs, and the countryside. Left untouched, brownfields pose environmental, legal, and financial burdens on a community and its taxpayers. However, after cleanup, these sites can again become the powerful enginesfor economic vitality, jobs, and community pride that they once were.

The **Brownfield Redevelopment Assistance Program** provides grants to fund utility related infrastructure improvements, demolition, and other costs that are necessary to progress the redevelopment of a *brownfield* site or abandoned building. Application requests may include but are not limited to the following:

- Demolition that results in the clean-up and re-use of a contaminated site or building;
- Gas infrastructure improvements;
- Costs associated with the local match for NYS DEC Environmental Restoration Program (ERP)and the Brownfield Opportunity Area Program (BOA); and
- Phase I (e.g., predevelopment planning and environmental surveys) and Phase II (e.g., soil & ground water testing and environmental site assessments)

Priority will be given to site or building redevelopment projects that have obtained a sufficient amount of funding to fulfill the project redevelopment goals.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must be:

- A municipality and/or its authorized development corporation, or
- A 501(c)3, 501(c)6, or 501(c)4 corporation, working in tandem with a municipality and/or itsIndustrial Development Agency or Local Development Corporation, **or**
- The owner or developer of the eligible site with the endorsement of the municipality.

To be eligible for this program, the **project (site or building)** must:

- Be located in the National Grid service territory; ~~Receive natural gas service from National Grid;~~ **and**
- Have a viable commercial or industrial end use strategy for the site, based on some or all of the following factors:
  - Physical condition of building or site
  - Potential for land acquisition or site control
  - Regional economic impact of successful reuse
  - Demonstrated ability to accomplish and sustain reuse as a commercial or industrial site.
  - Demonstrated ability to obtain federal, state, and other funding
  - Demonstrated ability to market the site or building to attract economic investment
  - Eligibility for state and federal development funds for the total project costs
  - Strength of development partnerships and community support

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on acontinual basis until all funding is expended during that program year. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly onthe application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDNY or without prior written consent from National Grid.

- The maximum grant allowable for a project is $250,000
- Program funds may be used for up to 25% of the eligible costs of a project
- The maximum program funds that can be allocated to the completion of both Phase I and Phase II Environmental investigations and other preliminary site/building investigations is $25,000; this is included in the maximum allowable grant of $250,000.
- National Grid funds may be used as matching funds for other public grants. In this instance, National Grid will commit dollars contingent upon the successful awarding of the grant, but will not release funding until all required project funding is in place.

- Qualifying projects in Disadvantaged Communities, based on criteria issued by the Climate Justice Working Group will be given priority consideration and will be eligible for up to an additional 25% of funding above the otherwise applicable awarded amount.

How to Apply

To apply for the Brownfield Redevelopment Assistance Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com~~.

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INDUSTRIAL BUILDING REDEVELOPMENT PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department, in advance of the project announcement.

Program Summary
National Grid's downstate New York service territory has many vacant and underutilized buildings or complexes (integrated groups of buildings) that were originally built for and occupied by a single, large end-user. These buildings and complexes are unlikely to attract single end-users, so they must be marketed as multi-tenant, industrial properties. One of the challenges to the marketability of these properties is the expense of separating the utilities.

The **Industrial Building Redevelopment Program** provides grants of up to $250,000 (based on the amount of capital investment per the chart below) to property owners who are upgrading natural gas infrastructure and/or building systems improvements required to subdivide the services and accommodate multiple tenants and to return these properties to active industrial use.

Total Capital Investment	Available Funding Not to Exceed
Under $1 Million	$50,000
$1 Million to $5 Million	$100,000
$5 Million and above	$250,000

Minimum Program Requirements: *Please review the program requirements and guidelines below, prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must:
- Be the owner, duly authorized representative of the owner or contract purchaser of the eligible facility;
- Demonstrate a willingness and ability to actively market the building to out-of-state companies; **and**
- Obtain Industrial Development Agency (IDA) or other public development agency support for the project.

To be eligible for this program, the **project** must:

PROPOSED TO BE DISCONTINUED

- Be a building or integrated group of buildings that were at one time occupied by a single user;
- Receive natural gas service from National Grid;
- Be vacant or underutilized (underutilized means that at least 50% of the usable space is vacant);
- Be at least **50,000** square feet or larger;
- At project conclusion, provide a certificate of occupancy or a certificate of compliance from the local building codes department; and,
- Be suitable for use by one of the following industry sectors:
  - Manufacturing
  - Regional warehousing/distribution center
  - Scientific research and development
  - Data Centers
  - "Back office" operations such as data processing or customer service operations
  - Key regional priority industries as identified through NYS Regional Economic Development Council

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended during that program year. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a Funding Agreement with National Grid. The Agreement will outline expectations of the grant program and the conditions for the release of funds.

Grant amounts listed are the maximum allowable award for each program. Each application is evaluated on a variety of factors, resulting in some not receiving the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the Company's current rate agreement or without prior written consent from National Grid.

- Program funds may only be used to offset 50% of costs associated with upgrading, segregating, or otherwise making the property's gas infrastructure suitable for occupancy by multiple tenants. This could include costs associated with planning, design, engineering, and construction costs.
- Projects that involve converting from firm to non-firm gas service will be eligible for additional funding up to 10% of the otherwise applicable grant amounts.

PROPOSED TO BE DISCONTINUED

- Project must show evidence that a comprehensive assessment of energy efficiency measures was fully investigated and provide documentation pertaining to any completed or pending applications for energy efficiency incentives.
- Priority will be given to applicants who furnish aggressive marketing plans designed to attract new businesses to the completed project.
- Priority consideration during the grant award process will be given to projects that commit to using self-generated or purchased renewable natural gas to satisfy or all of their supply requirements.

How to Apply

To apply for the Industrial Building Redevelopment Program please:

- Complete the program application online; **and**
- Upload all required documentation as noted at the end of your online application.

If you need assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@national.com.

PROPOSED TO BE DISCONTINUED

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CLEANTECH INCUBATION

Note to state, regional, and local economic developers: If you intend to use this program as part of anoverall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department, in advance of the project announcement.

Program Summary
This program supports the development of a self-sustaining entrepreneurial and innovation "ecosystem" in downstate New York that will stimulate and support high growth new businesses generating new jobs and new investment in the National Grid service territory. National Grid has created this program to support initiatives that facilitate formation of new ventures or growth of high potential small ventures and to make buildings more marketable for the creation of new jobs in the clean tech industry and other advanced technology industry sectors.

The **CleanTech Incubation Program** provides grants up to $250,000 to support entrepreneurial ventures, connect new companies to key resources, address their critical problems, and assist them in capitalizing on emerging opportunities. Application requests may include but are not limited to the costs associated with market research; commercialization efforts and consulting support that includes entrepreneurs-in-residence ("EIRs"); training; and costs related to performance tracking and documentation of lessons learned (for replication purposes).

Priority will be given to applicants who have undertaken similar projects elsewhere and concluded them successfully.

The **program** also offers matching grants of up to $250,000 for the fit up of buildings that provide business incubation services for companies in the clean tech industry sector based on the following levels of capital investment as follows:

Total Capital Investment	Available Funding Not to Exceed
Under $1 Million	$50,000
$1 Million to $5 Million	$100,000
$5 Million and above	$250,000

Minimum Program Requirements:
Program assistance is only available to customers in good standing located within the National Grid downstate New York service territory. Applicants must be current in payments with National Grid, or have executed a deferred payment agreement.

To be eligible for the entrepreneur venture support, the **applicant** must:

- Be a NYS Center for Advanced Technology (CAT), or Center of Excellence (COE), or a 501(c)3, 501(c)4 or 501(c)6 corporation dedicated to entrepreneur support;
- Have experience and a track record of successful performance in economic development and entrepreneurship, **and**
- Have a history of working and interacting with entrepreneurs and organizations that support entrepreneurs.

To be eligible for the entrepreneur venture support, the **project** must:

- Have a physical location in National Grid's downstate service territory that receives electricand/or natural gas service;
- Focus on business-related issues that facilitate the creation, sustainability and/or growth of for-profit entrepreneurial ventures;
- Include hands-on implementation assistance involving direct interaction with entrepreneurs and their ventures;
- Include metrics and a tracking method related to increases in entrepreneurial activity including ventures started or growth in existing ventures, jobs created and/or retained, new capital investment and/or revenue growth: **and**
- Be based on a replicable model with a final report that outlines lessons learned from the funded and substantiated financial results.

To be eligible for the building fit-up assistance, the **applicant** must:

- Be the owner of the eligible site or building; **or**
- Be a municipality or not-for-profit 501(c)3 or 501(c)6 economic development agency responsible for the development of the site or building.

To be eligible for building fit-up assistance the **project** must:

- Have a physical location in National Grid's downstate service territory that receives natural gas service **and**;
- Have existing infrastructure that is a barrier to new investment. **and;**
- Include a plan for marketing the building to Clean Tech and other advanced technology industries.

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended during that program year. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

- National Grid funds may only be used to offset 50% of project costs (minimum 1:1 fundingmatch required).
- Funding will be limited to one application per organization per year.
- Entrepreneur funding is intended to provide one time support for new entrepreneur

initiatives.

- A maximum of 10% of the total grant award can be given to any individual entrepreneur or company.
- Building fit-up funds can only be used to offset the costs for building drawings, designwork, and/or construction

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds. Grant amounts listed are the maximum allowable award for each program. All applications are evaluated on a variety of factors. Some applications may not result in the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDNY or without prior written consent from National Grid.

How to Apply

To apply for the CleanTech Incubation Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com~~.

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CINDERELLA PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

Program Summary
For more than forty years, National Grid's Cinderella economic and community development program has helped to revitalize local communities throughout Brooklyn, Queens, Staten Island and Long Island. The downstate New York service territory of National Grid includes vacant buildings, urban corridors, and commercial districts with unrealized development potential and often with excess utility infrastructure and capacity. This program is designed to assist communities, businesses and cornerstone projects in promoting "smart growth" through the redevelopment of those underutilized assets, to create economic opportunities, attract new investment, increase existing capacities and capitalize on their distinct development potential.

This program is designed to assist communities in promoting "smart growth" through the redevelopment of those underutilized assets, to help improve their economic viability, attract new investment, and capitalize on their distinct development potential.

The **Cinderella Program** provides grants to municipal and non-profit development corporations to offset a portion of the costs of redeveloping and revitalizing, and maintaining strategic, sustainable programs to strengthen critical commercial districts and urban corridors.

Application requests may include, but are not limited to, the following:

- Development of pre-construction documents that advance an existing community accepted design plan, site preparation, and construction of commercial and industrial adaptive re-use projects;
- Renovation and rehabilitation of vacant commercial, industrial, and mixed-use buildings;
- Commercial corridor improvements including storefronts and public areas that have an economic community benefit;
- New construction on parcels where re-use is not possible/practical without demolition of the existing vacant structure;
- Economic Development Workshops for local development stakeholders.

Priority projects will be sustainable and demonstrate use of green building technologies/LEED certified initiatives (Leadership in Energy & Environmental Design) and Greening USA's 12 Traits of Sustainability. Preference will also be given to customers converting to innovative natural

gas technologies. This program is not intended to provide funding related to government operations or services. Projects must be located in an underutilized central business district, commercial area or targeted redevelopment area. Projects must demonstrate job creation and the ability to stimulate ancillary public and private investment will be viewed favorably in the evaluation process. Applications showing commitments from public funding resources such as the NYC Small Business Services, NYS Downtown Revitalization Initiative, NYS Housing & Community Renewal, Restore NY Programs, Governor's Office of Small Cities and Empire State Development are encouraged.

Minimum Program Requirements: *Please review the following program requirements and guidelines carefully. They will help you decide whether you want to apply for this program.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate New York service territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must be:

- A municipality and/or its authorized development corporation;
- A 501(c)(3), 501(c)(6), or 501(c)(4) corporation (nonprofits, business improvement districts, industrial development agencies, local development corporations or other equivalent organizations) with a board resolution or letter of support from the municipality and/or its Industrial Development Agency, Local Development Corporation or lead community development organization. Nonprofits must be in good standing and compliant with annual State and Federal filing requirements, including New York State Charities Bureau filings; or
- Be the owner or developer of the eligible site with the endorsement of the municipality, or the lead community development organization.

To be eligible for this program, the **project** must:

- Receive natural gas service from National Grid ~~or demonstrate a commitment to convert to National Grid gas service;~~ and
- Be located in a central business district, commercial corridor or targeted building, or redevelopment neighborhood;
- Show evidence of private sector job creation/retention and capital investment; and
- For building renovation and rehabilitation projects, ~~R~~reside in a building where the commercial space has been 100% vacant for a minimum of 1 year; and
- Show evidence of certificate of occupancy upon project completion
- For commercial corridor improvement projects, demonstrate economic community benefits for public areas (e.g., public plazas, flexible areas, green spaces) to increase accessibility and commercial opportunities
- For Economic Development Workshop projects, deliver Economic Development assistance including but not limited to small business development, entrepreneur planning, real estate development, government navigation, business retention/succession, neighborhood development strategies and financial training.

Applicants must provide a clear statement of need, projected outcome(s) and quantifiable goals for the organization, its stakeholders and constituencies.

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter.

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline the expectations of the grant program and the conditions upon which funds will be released.

Grant amounts listed are the maximum allowable award for each program. All applications are evaluated on a variety of factors. Some applications may not result in the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDNY or without prior written consent from National Grid.

- For mixed-use building renovation and rehabilitation projects, only the commercial or industrial portion(s) will be eligible for funding
- Grant amounts for Economic Development Workshops shall not exceed $25,000
- ~~Funding for eligible mixed-use projects will be appropriately scaled based on the proportion of commercial versus residential square footage and/or construction costs.~~
- Grant amounts will be determined based on the size of the **total** capital investment made in the project/facility (including energy and non-energy related investments) as follows:

Total Capital Investment	Total Avail Funding not to Exceed:
$50,000 to $250,000	$25,000
$250,000 to $1 Million	$50,000
$1 Million to $5 Million	$100,000
Above $5 Million	$250,000

- Program funds may only be used to offset fifty percent (50%) of costs (1:1 funding match required).
- Qualifying projects in Disadvantaged Communities, based on criteria issued by the Climate Justice Working Group will be given priority consideration and will be

eligible for up to an additional 25% of funding above the otherwise applicable awarded amount.

- Projects demonstrating *Greening USA's* "12 Steps of Sustainability" or receiving some level of LEED certification will receive priority consideration and the possibility of additional funding.
- Preference will also be given to customers converting to innovative natural gas technologies.
- Project must show evidence that a comprehensive assessment of energy efficiency measures was fully investigated and provide documentation pertaining to any completed or pending applications for energy efficiency incentives.
- Priority consideration during the grant award process will be given to projects that commit to using self-generated or purchased renewable natural gas to satisfy some or all of their supply requirements.

How to Apply

To apply for the Cinderella Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

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SUSTAINABLE GAS AND ECONOMIC DEVELOPMENT PROGRAM

Note to state, regional, and local economic developers: If you intend to use this program as part of an overall incentive offer to a company, you must submit a written request to National Grid's Economic Development Department in advance of the project announcement.

The Sustainable Gas and Economic Development Program will fund a limited number of projects in the National Grid service territory that demonstrate sustainable gas technologies while producing significant economic development benefits for the region. The program will provide matching grants of up to $250,000 for collaborative projects that involve a downstate research institution, one or more sustainable gas or gas transportation technologies, and a regional economic development sponsor. Eligible technologies include, but are not limited to, those that produce or utilize pipeline quality gas from biogas resulting from anaerobic digestion or gasification of waste materials for delivery in local distribution systems or use in natural gas vehicles.

Minimum Program Requirements: *Please review the program requirements and guidelines below prior to completing an application for funding.*

Note: Program assistance is only available to customers in good standing, located within National Grid's downstate franchise territory. Applicants must be current in payments with National Grid or have executed a deferred payment agreement with the Company.

To be eligible for this program, the **applicant** must be:

- A regional economic development entity in National Grid's downstate service territory;
- A university-based research organization with the endorsement of the authorized municipality where the project is taking place; **or**
- A 501(c)3, 501(c)6, or 501(c)4 corporation, working in tandem with a municipality, university, or regional economic development organization.

To be eligible for this program, the **project** must:

- Be located within the National Grid's downstate service area;
- Involve development and deployment of sustainable gas or gas transportation technologies such as bio-methane or gas blends processed to pipeline quality standards produced from landfill gas recovery, municipal wastewater operations, municipal solid wastes, wood and pulp wastes, farm or dairy wastes, or any other renewable material that is both produced and processed in New York State for delivery in a local distribution system or use in natural gas vehicles;

- Obtain matching funds on at least a 4:1 basis from other sources;
- Include involvement of a regional university research institution;
- Have one or more sustainable gas or related sustainable gas technology partners;
- Have a regional economic development sponsor; **and**
- Show specific evidence of regional economic development benefits by**:**
  1. Creating an asset that will enhance regional business attraction or expansion efforts; **or**
  2. Serving as a learning center for sustainable gas or sustainable gas transportation technologies.

Funding and Eligibility Guidelines

Program funding and parameters are established annually by National Grid. Grants are available on a continual basis until all funding is expended or until the end of National Grid's current rate agreement. Funding is released to a grant award recipient only after the recipient has met all conditions of the program. In all circumstances, funding should be viewed by the applicant as a reimbursement for work completed following grant approval in the form of an award letter

The grant award recipient should expect to execute a funding agreement with National Grid. The agreement will outline expectations of the grant program and the conditions for the release of funds.

The maximum allowable grant award for this program is $250,000. All applications are evaluated on a variety of factors. Some applications may not result in the maximum grant award.

If you are applying to more than one program for the same project, you must indicate that clearly on the application.

Under no circumstance will funding be released after the expiration of the current rate agreement for KEDNY or without prior written consent from National Grid.

Program funds may only be used to offset twenty percent (20%) of project costs (4:1 funding match required).

How to Apply

To apply for the Sustainable Gas and Economic Development Program please:

- Complete the program application online; and
- Upload all required documentation as noted at the end of your online application.

For additional information, please visit www.shovelready.com ~~For technical assistance in completing the application, please contact Karen Mousaw via email at Karen.Mousaw@nationalgrid.com.~~

Exhibit ___ (CP-9)

Schedule 2

KEDNY and KEDLI Economic Development Grant Programs

KEDNY and KEDLI Economic Development Grant Programs - Proposed Levels of Funding and Projected Expenditures

KEDNY

	Rate Year	Data Year 1	Data Year 2	Data Year 3
Rate Allowance	$1,818,937	$1,818,937	$1,818,937	$1,818,935
Amortization of Existing Deferral	$1,818,937	$1,818,937	$1,818,937	$1,818,935
Revenue Requirement Impact	$0	$0	$0	$0
Projected Deferral Starting Balance (1)	($7,275,746)	($5,456,809)	($3,637,872)	($1,818,935)
Forecasted Grant Spending	$1,818,937	$1,818,937	$1,818,937	$1,818,935
Projected Deferral Ending Balance	($5,456,809)	($3,637,872)	($1,818,935)	$0

KEDLI

Rate Allowance	$1,722,107	$1,722,107	$1,722,107	$1,722,108
Amortization of Existing Deferral	$1,722,107	$1,722,107	$1,722,107	$1,722,108
Revenue Requirement Impact	$0	$0	$0	$0
Projected Deferral Starting Balance (1)	($6,888,429)	($5,166,322)	($3,444,215)	($1,722,108)
Forecasted Grant Spending	$1,722,107	$1,722,107	$1,722,107	$1,722,108
Projected Deferral Ending Balance	($5,166,322)	($3,444,215)	($1,722,108)	$0

Notes:
(1) Starting balance for the Rate Year is a forecast of the grant program deferral balance (regulatory liability) as of April 1, 2024
(2) Rate Year: Year ending March 31, 2025
(3) Data Year 1: Year ending March 31,2026
(4) Data Year 2: Year ending March 31, 2027
(5) Data Year 3: Year ending March 31, 2028